



FINANCE DEPARTMENT GOVERNMENT OF SIKKIM



ANNUAL CONSOLIDATED AUDIT REPORT *on the accounts of Panchayati Raj Institutions & Municipalities* **FOR THE FINANCIAL YEAR 2024-25**

(To be laid before the Legislature, as required under Section 19 of the Sikkim Local Fund Audit Act, 2012)

**DIRECTORATE OF LOCAL FUND AUDIT
GANGTOK**



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I, P.S. Tamang (Golay), Minister-in-Charge of the Finance Department, do hereby authenticate the Annual Consolidated Audit Report on the Accounts of Panchayati Raj Institutions and Municipalities for the Financial Year 2024-25.

I approve the same for placing it on the table of the Sikkim Legislative Assembly.

Prem Singh Tamang (Golay)

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PREFACE

1. This **Annual Consolidated Audit Report (ACAR)** for the financial year ended 31st March, 2025, has been prepared for submission to the State Government in accordance with the mandatory provisions of **Section 19** of the *Sikkim Local Fund Audit Act, 2012* read with **Rule 19** of the *Sikkim Local Fund Audit Rules, 2014*.
2. The Directorate of Local Fund Audit is the statutory auditor for Local Authorities in the State of Sikkim. The mandate to conduct the audit of accounts is derived from **Section 4** of the *Sikkim Local Fund Audit Act, 2012*, **Section 86** of the *Sikkim Panchayat Act, 1993*, and **Section 60** of the *Sikkim Municipalities Act, 2007*.
3. This report consolidates the results of the post-audit of accounts of **199 Gram Panchayats, 6 Zilla Panchayats, and 7 Urban Local Bodies (Municipalities)** conducted during the audit cycle.
4. The timely preparation and placement of this report before the **State Legislative Assembly** is a statutory obligation of the State Government under Section 19 of the Act. Furthermore, the submission of audited accounts constitutes a critical conditionality for the release of Performance Grants to Local Bodies under the recommendations of the Central Finance Commission.
5. The observations included in this report are based on the records and statements of accounts made available by the respective Executive Authorities of the Local Bodies.
6. The Annual Consolidated Audit Report for the Financial Year 2024-25 is divided into two parts:
 - **Part I:** deals with selected audit observations concerning the Panchayati Raj Institutions, including Gram Panchayats and Zilla Panchayats.
 - **Part II:** focuses on selected audit observations related to the Municipalities, such as the Nagar Panchayats and Municipal Corporation.
7. This report aims to provide transparency and accountability in the financial management of local bodies in Sikkim. The audit process is crucial for identifying irregularities, ensuring compliance with rules, and improving the overall financial administration of these institutions.

GLOSSARY OF ABBREVIATIONS

AG	Accountant General
ATR	Action Taken Report
BAC	Block Administrative Center
BDO	Block Development Officer
CAG	Comptroller and Auditor General of India
CAR/ ACAR	Consolidated Audit Report/ Annual Consolidated Audit Report
CFC/ FC	Central Finance Commission/ Finance Commission
DLFA	Directorate of Local Fund Audit, Sikkim
DPR	Detailed Project Reports
GMC	Gangtok Municipal Corporation
GOS	Government of Sikkim
GP/ GPU	Gram Panchayat/Gram Panchayat Unit
GPK	Gram Prashasan Kendra
LFA	Local Fund Audit, Sikkim
MoRD	Ministry of Rural Development
MC	Municipal Council
OSR	Other Source Revenue
ORDP	Other Rural Development Programmes
PAA	Panchayat Accounts Assistant
PDA	Panchayat Development Assistant
PRI	Panchayati Raj Institutions
RLB	Rural Local Bodies
SFC	State Finance Commission
SFR	Sikkim Financial Rules
SPWD	Sikkim Public Works Department
SSR	Sikkim Service Rules
ULB	Urban Local Bodies
VAA	Village Administrative Assistant
VAC	Village Administrative Center
ZP	Zilla Panchayat

OVERVIEW

During the financial year 2025-26, the Directorate of Local Fund Audit audited the accounts of Local Bodies viz., Panchayati Raj Institutions for financial year 2024-25 and Municipalities for the financial year 2023-24 & 2024-25 as shown in the table below.

Sl. No	Name of the Institution	Total Units	District-wise Units covered by DLFA						Total Units covered	%
			Gan gtok	Gyals hing	Man gan	Nam chi	Paky ong	Sore ng		
1.	Gram Panchayat Unit	199	24	33	25	54	27	36	199	100.00
2.	Zilla Panchayat	6	1	1	1	1	1	1	6	100.00
3.	Nagar Panchayat	5	1	1	1	1	1	0	5	100.00
4.	Municipal Council	1	0	0	0	1	0	0	1	100.00
5.	Municipal Corporation	1	1	0	0	0	0	0	1	100.00
	Total	212	27	35	27	57	29	37	212	100.00

During the audit, various irregularities were noticed and are broadly segregated under different categories as mentioned below.

- Non-adherence/ Violation of Rules
- Irregularities in the Execution of Work
- Irregularities in Purchase Procedure
- Non-production of Records
- Diversion of Fund
- Non-remittance of Deductions
- Unadjusted Advances
- Non-utilization of Fund
- Excess Payments
- Doubtful Expenditure
- Wasteful Expenditure
- Irregularities regarding Revenue
- Miscellaneous

The gist of selected audit objections of Panchayati Raj Institutions and Municipalities which were raised during the year are included in the respective parts of the report.

The audit paras selected for inclusion in the Annual Consolidated Audit Report 2024-25 present a glimpse of financial administration being practised in the Local bodies.

On receipt of replies to the defects pointed out in the earlier reports which were duly supported by relevant evidence, records & documents, the audit objections were settled wherever the replies were found to be satisfactory.

INSTITUTIONS AUDITED

During the year 2025-26, the following Local Bodies were audited by the Local Fund Audit:

Sl. No	Name of the Institution	Total Units	Total Units covered	%
1.	Gram Panchayat Unit	199	199	100.00
2.	Zilla Panchayat	6	6	100.00
3.	Nagar Panchayat	5	5	100.00
4.	Municipal Council	1	1	100.00
5.	Municipal Corporation	1	1	100.00
	Total	212	212	100.00

The detailed list of Local Bodies audited during the year 2025-26 is given in **Appendix I**.

SCOPE OF AUDIT

The Directorate of Local Fund Audit (DLFA) is statutorily responsible for verifying several key aspects during post-audit of Panchayati Raj Institutions and Municipalities. These include Gram Panchayats, Zilla Panchayats, Nagar Panchayats, Municipal Council, and Municipal Corporations.

The scope of the audit includes verifying the following:

- **Proper accounting of taxes and fees:** The audit checks whether taxes, fees, and other revenues collected by Panchayati Raj Institutions and Municipalities are accurately recorded with full details in the books of accounts.
- **Periodic fund checks:** The DLFA ensures that funds are periodically checked with the Treasury or Bank to confirm their accuracy and availability.
- **Budgeted and sanctioned expenditures:** The audit examines whether expenditures were provided for in the budget of the respective institutions and were duly sanctioned by the competent authority, as per the relevant Acts, Rules or Executive Instructions by the Government.
- **Permitted use of funds:** The DLFA verifies that funds were used only for the purposes prescribed under the relevant Panchayat/Municipalities Acts and Rules.
- **Adherence to expenditure procedures:** The audit assesses whether the procedures prescribed by the Government in incurring expenditures and payments are properly followed and accounted for, with due classification in the books of accounts.
- **Maintenance of expenditure vouchers:** The DLFA checks that required vouchers for incurred expenditures are maintained.
- **Proper accounting and use of grants:** The audit ensures that grants received from different sources are properly accounted for and used for their intended purposes.
- **Compliance with Finance Commission guidelines:** The DLFA verifies that guidelines and structures outlined in the Finance Commission recommendations are followed in the utilisation of provided funds.

These checks are essential to ensure the financial integrity of local bodies. The DLFA aims to promote transparency, accountability, and adherence to financial regulations and guidelines. The audit process also intends to identify irregularities, address systemic issues, and improve overall financial administration. The DLFA's findings are compiled into the Annual Consolidated Audit Report (ACAR), which is presented to the Sikkim Legislative Assembly.

COMMON OBSERVATIONS

The audit of local bodies in Sikkim, conducted by the Directorate of Local Fund Audit (DLFA), revealed several recurring anomalies across Panchayati Raj Institutions (PRIs) and Municipalities. These common observations highlight systemic issues in financial management and a lack of adherence to established procedures.

Key recurring issues include:

- **Improper maintenance of books of accounts:** Local bodies frequently neglect to maintain their financial records accurately. This includes not keeping a proper cash book, which should record all daily cash receipts and payments.
- **Non-preparation of payment vouchers:** Many local bodies do not create payment vouchers for their expenditures, which are essential for validating transactions. This omission makes it difficult to verify the legitimacy of payments.
- **Non-preparation/late preparation of annual and supplementary budgets:** Some local bodies fail to prepare annual or supplementary budgets or do not adhere to the budget when incurring expenditures. This can lead to financial mismanagement.
- **Lack of monthly reconciliation with the bank:** Many local bodies do not regularly reconcile their accounts with bank statements. This lack of reconciliation can lead to discrepancies and errors in financial records.
- **Misutilisation of discretionary grants:** There are instances where discretionary grants are not used for their intended purposes.
- **Irregular payment of honorarium:** Honorariums, or payments to elected members, are sometimes paid irregularly. For example, advance payments of honorarium were made to members of the Khamdong GPU.
- **Non-realisation of royalty, GST, etc. at the source:** Local bodies frequently fail to deduct and remit taxes such as royalty, GST, and TDS at the source. This non-compliance leads to revenue loss for the government.
- **Improper maintenance of vouchers:** Vouchers, which serve as supporting documents for expenditures, are not properly maintained.
- **Non-deduction of stamp charges:** Stamp charges on certain transactions are often not deducted.
- **Non-maintenance of advance register:** Local bodies do not consistently maintain an advance register, which is necessary to track advance payments made to contractors or employees. This is critical for monitoring the justification, amount, and repayment status of advances.
- **Cheques drawn in favour of the President, Secretary, and other Staff instead of the actual payee:** Payments are often made to individuals instead of the actual payees.
- **Delay in the deposit of receipts:** Funds received are not always promptly deposited.

These anomalies are often repeated in every audit period, despite being brought to the attention of the concerned authorities. These issues indicate a lack of adherence to established norms and instructions.

The report emphasizes that these common issues are not isolated incidents but widespread problems within the local bodies. The Rural Development Department and Urban Development Department authorities are urged to intervene and provide proper training and awareness to the functionaries in the PRIs.

SOURCES OF FUND

1. The funds under Local Bodies (LB) constitute a self-generated fund and Grant-in-Aids received from the Government of India & State Government. The pattern of all the constituents of the Fund/Scheme is not uniform, though Annual Accounts contain all such constituents. The position is given below:

Sl. No.	Constituent of Fund	Remarks on post audit
1.	General Fund	The DLFA conducts the audit of accounts of ULBs & RLBs and submits the Annual Consolidated Audit Report to the Government and causes it to be placed on the table of the Sikkim Legislative Assembly.
2.	Central Finance Commission Grants	-do-
3.	State Finance Commission Grants	-do-
4.	Revenue	-do-

2. Under **sub-rule 3 of Rule 3 of The Sikkim Panchayat (Financial) Rules, 2003 notified vide No. 35(159)/93-94/RDD/P-III/33 dated 10-07-2003**, states that the account shall be maintained in the name and style of “**Panchayat Fund**” duly prefixing the name of the Panchayat President and Panchayat Secretary and jointly operated.

3. Under **sub-section 1 of Section 39 of The Sikkim Municipalities Act, 2007**, states that there shall be a fund to be called the “**Municipal Fund**” which shall be held by the Municipality in trust for this Act, and all money realized or realizable under this Act and all money otherwise received by the Municipality shall be credited thereto.

RECEIPTS AND PAYMENTS

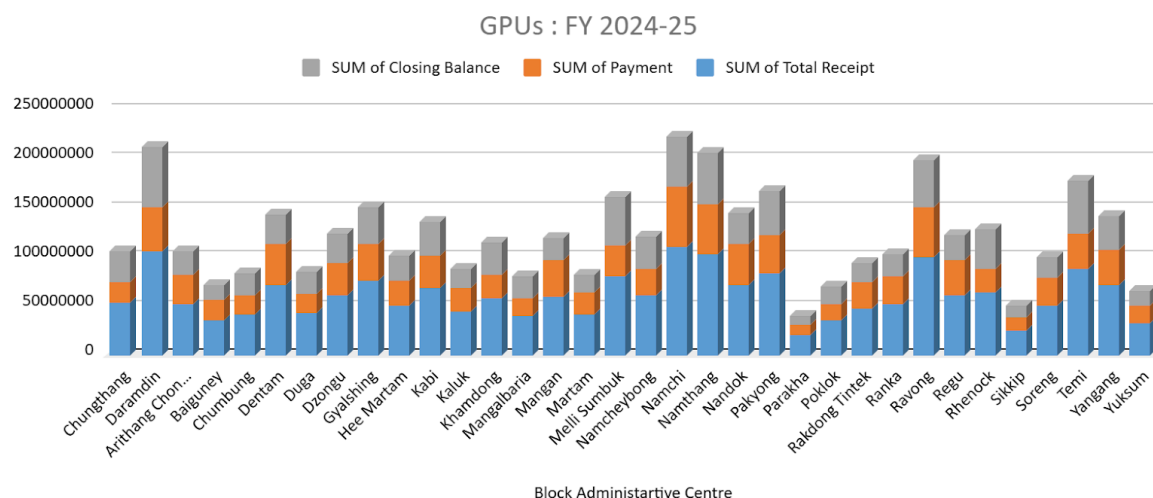
The Receipts and Payments are inclusive of the various grants received from Central and State Governments during the year 2024-25 by the Local Bodies audited during the period.

1. Gram Panchayat

1.1 The aggregate Receipts (inclusive of OB, Receipt, and Interest) & Payments audited during the year for the financial year 2024-25 are **Rs. 2,05,66,53,126/- and Rs. 1,02,63,86,993/-** respectively.

1.2 The aggregate Unspent Balance for the financial year 2024-25 are **Rs.1,02,99,70,387/-**.

1.3 The details of Gross Receipts and Payments are shown in **Appendix No. II** regarding the Gram Panchayat Unit.

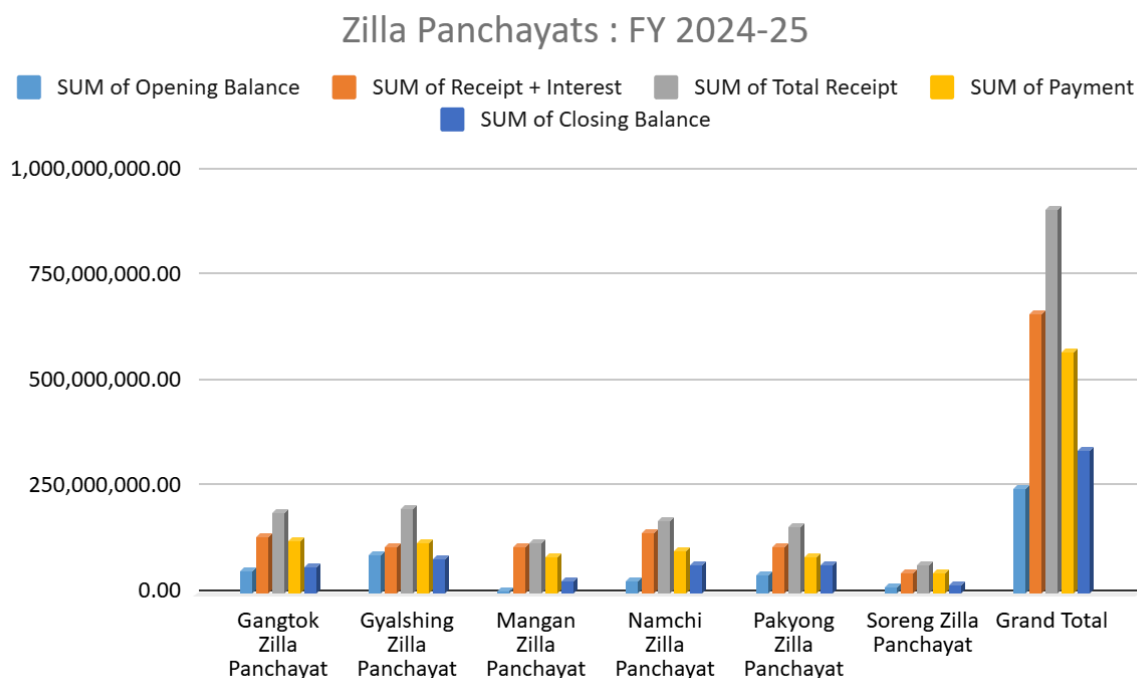


2. Zilla Panchayats

2.1 The aggregate Receipts (inclusive of OB, Receipt, and Interest) & Payments audited during the year for the financial year 2024-25 are **Rs 91,16,51,341/-** and **Rs 57,29,51,016/-** respectively.

2.2 The aggregate Unspent Balance for the financial year 2024-25 are **Rs.33,87,00,325/-**.

2.3 The details of Gross Receipts and Payments are shown in **Appendix No. III** regarding the Zilla Panchayat.



3. Nagar Panchayat

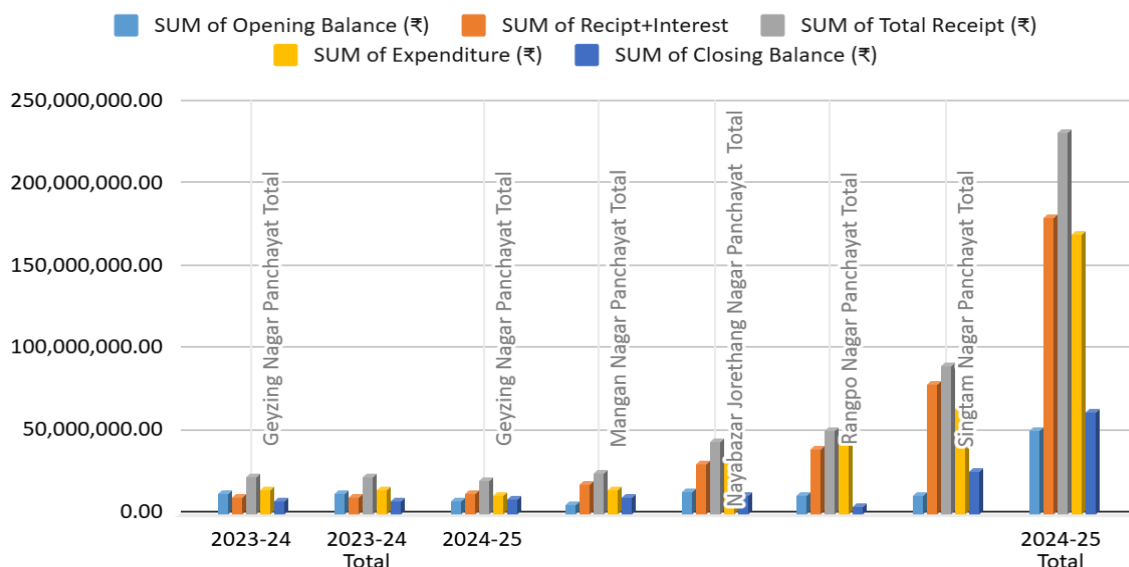
3.1 The aggregate Receipts (inclusive of OB, Receipt, and Interest) & Payments audited during the year for the financial year 2024-25 are **Rs. 23,21,54,563/-** & **Rs 16,98,80,177/-** respectively.

3.2 The aggregate Unspent Balance for the financial year 2024-25 are **Rs.6,22,74,386/-**.

3.3 The details of Gross Receipts and Payments are shown in **Appendix No. IV** regarding the

Nagar Panchayat.

Nagar Panchayats : FY 2023-24 & 2024-25



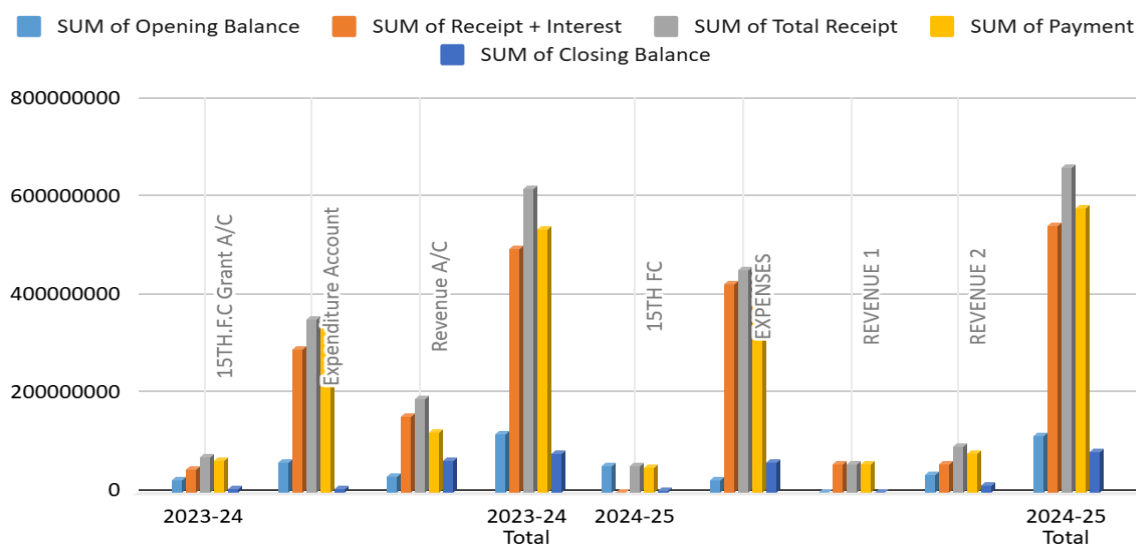
4. Gangtok Municipal Corporation

4.1 The aggregate Receipts (inclusive of OB, Receipt, and Interest) & Payments audited during the year for the financial year 2023-24 are **Rs. 61,97,24,692/- & Rs 53,75,22,431/-** respectively & 2024-25 **Rs 66,55,10,581/- & Rs 58,11,00,343/-** respectively.

4.2 The aggregate Unspent Balance for the financial year 2023-24 and 2024-25 are **Rs.8,22,02,261/- and Rs 8,44,10,238/-** respectively.

4.3 The details of Gross Receipts and Payments are shown in **Appendix No. V** regarding the Municipal Corporation.

GMC: FY 2023-24 & 2024-25



PART I - PANCHAYATI RAJ INSTITUTIONS

A. AUDIT PARAS OF GRAM PANCHAYATS

Some of the Audit Observations of Gram Panchayat units raised for the financial year 2024-25 audited during the year 2025-26 are enumerated below:-

1. NON-ADHERENCE TO RULES

1.1 ARITHANG CHONGRONG GPU & DHUPIDARA NARKHOLA GPU: Payment voucher not created.

During the verification of records of **Arithang Chongrong GPU** and **Dhupidara Narkhola GPU**, it was observed that payment vouchers were not created for several expenditures incurred during the Financial Year 2024–25. The absence of payment vouchers for the transactions listed below indicates non-compliance with prescribed financial procedures and reflects weak internal control over documentation and record maintenance, thereby affecting transparency and accountability.

(A) ARITHANG CHONGRONG GPU

Sl. No	Work	Cheque No. & Date	Amount
1	Expenditure on maintenance of phoongri Club House	054181/30.04.2024	1,44,100/-
2	Expenditure on senior citizen day	054188/06.08.2024	60,000/-
3	Expenditure on construction of a waiting shed at lower Chongrong.	055565/01.07.2024	1,40,000/-

(B) DHUPIDARA NARKHOLA GPU

Sl. No	Work	Cheque No. & Date	Amount
1	Expenditure on office stationeries.	044378/13.06.2024	65,900/-
2	Expenditure on awareness program on sports activity for children.	044484/17.12.2024	50,000/-
3	Expenditure on office expenses.	551265/08.07.2024	25,000/-

The non-creation of payment vouchers for the above expenditures is irregular and violative of basic accounting principles, as every payment must be supported by a duly prepared voucher along with relevant supporting documents. Such lapses may lead to audit risks, misclassification of expenditure, and reduced financial transparency.

1.2 TASHIDING GPU: Advance Payments Made but Advance Register Not Maintained.

Audit observed that the department had issued several advance payments, however, an Advance Register was not maintained to record these transactions. In the absence of a proper register, details such as name of the advance holder, purpose of advance, amount, date of issue, and date of adjustment could not be verified. This results in weak monitoring of advances and increases the risk of non-adjustment, misclassification, or potential misappropriation.

1.3 BEGHA GPU, YANGSUM GPU & BONGTEN SAPONG: Irregular Payment and Non-Entry in Stock Register

During scrutiny of records of Begha GPU and Bongten Sapong GPU, irregularities were noticed in payment procedures and maintenance of Stock Registers, indicating lapses in internal financial control and asset management.

A. BEGHA GPU: Scrutiny of records revealed that an amount of ₹39,700/- was paid vide Cheque No. 093225 from OSR Fund towards office expenses for purchases from *M/s Graphix Enterprise*. The payment was made to the Panchayat President instead of the actual supplier. Further, stock entry of the purchased items was not made in the Stock Register.

B. BONGTEN SAPONG GPU

Scrutiny of records revealed that stock entries were not made, leading to non-maintenance of proper asset records, in respect of the following purchases made from SFC fund:

- Purchase of Desktop Computers from M/s Graphix for ₹50,000/-, vide Cheque No. 089252 dated 14.11.2024.
- Purchase of Smartphone paid to Prime Enterprise for ₹20,000/-, vide Cheque No. 089269 dated 09.01.2025.

As per the prescribed financial rules, payments for purchases are required to be made directly to the concerned supplier/vendor. Further, all items purchased are required to be entered in the Stock Register immediately after receipt for the purpose of proper accounting and physical verification.

C. YANGSUM GPU:

Scrutiny of records relating to purchase of stationeries, furniture, and other office items revealed that Yangsum GPU had made several purchases from firms such as *M/s Shiv Shakti Furniture* and *M/s Web Link Enterprises*. However, the corresponding entries of the purchased items were not recorded in the Stock Register.

Non-maintenance of proper stock records weakens internal control mechanisms and makes it difficult to verify physical availability, reconcile purchases with usage, and ensure that items were utilized for the intended purpose.

1.4 Non-Preparation of Budget Estimate for the FY 2024-2025

Section 83(1) and Section 46(1) of the Sikkim Panchayat Act, 1993 states that, “every Gram Panchayat shall at such time and manner as may be prescribed, prepare in each year a budget of its estimated receipts and expenditure for the next financial year and submit it to the State government for approval.” and “Every Gram Panchayat shall, at such time and in such manner as may be prescribed, prepare each year a budget of its estimated receipts and disbursements for the following year and shall submit the budget to, the State Government for approval through the Zilla Panchayat of the District concerned.”, however, the following GPUs had incurred expenditures without the preparation of the budget estimate for the FY 2024-25.

- Chisopani GPU
- Dung Dung Thasa GPU
- Khamdong GPU
- Simik Lingzey GPU
- Sirwani GPU
- Aho Yangtam GPU
- Berfok Chandabong GPU
- Sapreynagi GPU
- Rumbuk GPU
- Dodak GPU
- Ribdi Bhareng GPU
- Upper Thambong GPU
- Lower Fambong GPU
- Sangadorjee GPU

1.5 Maniram Phalidara-Irregular Operation of 14th FC Account

During verification of the bank statements, it was observed that the GPU has been operating a combined bank account for 14th Finance Commission (FC) and 4th State Finance Commission (SFC) funds and are still in operation whose operations should have been formally closed after the completion of the scheme period. The closing balance reflected in the account is ₹17,58,450/-. Expenditure has also been incurred from the account during the audited period.

Bank A/c no. – Axis 915010044045467 for 14th FC/4th SFC schemes.

The continued operation of the accounts indicates weak financial management at the GPU level.

1.6 Nandugaon- Irregularities in verification of expenditure records

During the verification of financial records for FY 2024–25, the following irregularities were observed in connection with various expenditures incurred by the Gram Panchayat Unit (GPU):

Sl. No.	Particulars	Cheque no./date	Amount	Remarks
1.	Payment to Bhanu Sigdel for supply of table items	073334/03.04.2024	17,723/-	Bills were not certified
2.	Payment to PK entp. For supply of Disaster management	15FC/05.10.2024	1,01,000/-	Bills were not certified
3.	Released amount as support amount to PHC Nandugaon	074969/05.06.2024	20,000/-	Acknowledgment not found from the receiver

The above cases indicate non-compliance with mandatory financial procedures. Specifically:

i. Bills were not certified in multiple instances (sl no. 1 -3). Certification by the Panchayat President/Head of Office is essential and mandatory, as it:

- Confirms that goods/services have actually been received.
- Verifies quality, quantity, and rate.
- Ensures that the payment is justified, proper, and in accordance with rules.

ii. Acknowledgement receipt was not obtained for the support amount released to PHC Nandugaon. An acknowledgment is crucial because:

- It acts as proof that the amount has been received by the intended beneficiary.
- Prevents disputes or misuse of funds.
- Ensures transparency and accountability in public financial transactions.

1.7 Absence of payment voucher documentation in various GPUs.

As per Rule 38 of the Sikkim Financial Rules 1979 states:-

a) A Government servant entrusted with the payment of money shall obtain for every payment he makes, a voucher setting forth full and clear particulars of the claim and all information necessary for its proper classification and identification in the accounts.

b) Every voucher must bear or have attached to it an acknowledgement of the payment signed by the person by whom or on whose behalf the claim is put forward. The acknowledgement should be taken at the time of payment. In case of digital payment through the bank, the necessary guidelines need to be followed.

c) In all other cases in which it is not possible or expedient to support a payment by a voucher or by the payee's receipt, a certificate of payment made duly signed by the disbursing officer together with a note explaining the circumstances should invariably be kept on record.

d) Every voucher must bear a pay order signed or initialized by the Drawing and Disbursing Officer, specifying the amount payable, both in words and figures. All pay orders must be signed by hand and in ink.

e) All paid vouchers must be stamped "paid" so that they cannot be used a second time.

A. LUMGOR SANGTOK GPU:

On examination of the records and cash book of the Lumghor Sangtok GPU relating to the State Finance Commission (SFC) Scheme, it was observed that expenditures incurred under various sections mainly for office expenses, cleanliness drive, health awareness camp etc., were processed and payment was released without the prior preparation of corresponding payment vouchers. This practice is not in conformity with the prescribed financial procedures, which mandate that all payments must be supported by duly prepared and authorised vouchers to ensure proper documentation and accountability. The absence of vouchers at the time of payment constitutes a deviation from financial propriety and increases the risk of financial irregularities, misappropriation, or unauthorised disbursement of funds.

The details of such instances are illustrated below:

SI No	Particulars	Cheque No & Date	Amount
1	Expenditure on cleanliness drive at GPK area/surroundings	028381 04/05/2024	2,00,000/-
2	Expenditure on purchase of sofa set, utensil etc for GPK	028458 07/12/2024	1,00,000/-

B. PASSINGDANG SOPHU GPU

On examination of the records and cash book of Passingdang Saffo GPU pertaining to the State Finance Commission (SFC) Scheme, it was observed that expenditure incurred for conducting a health awareness camp was processed and disbursed without the prior preparation and approval of payment vouchers. Further scrutiny revealed that the cash memos submitted in support of the expenditure were not authentic. These memos appeared to non-computer generated bills thereby failing to serve as verifiable evidence of actual transactions.

The above practice is not in conformity with the prescribed financial procedures, which mandate that all payments must be supported by duly prepared and authorised vouchers to ensure proper documentation and accountability. The absence of vouchers at the time of payment constitutes a deviation from financial propriety and increases the risk of financial irregularities, misappropriation, or unauthorised disbursement of funds. The details of the such instances is as below:-

SI No	Particulars	Cheque No & Date	Amount
1	Expenditure on health awareness camp	001074 25/07/2024	28,052/-

C. BUDANG GPU

After perusal of the records and cash book of the Budang GPU for the State Finance Commission (SFC) scheme it was observed wherein expenditure incurred for office expenses, awareness programme etc, the payment was processed and released without the prior preparation of the corresponding payment vouchers. This practice deviates from the standard financial procedures, which requires all the payment to be supported by duly authorized vouchers to ensure proper accountability and documentation. The absence of vouchers at the time of payment increases the risk of financial irregularities, misappropriation or unauthorized disbursements. The details of which are illustrated as below :-

SI No	Particulars	Cheque No & Date	Amount
1	Expenditure on maintaining new office	632392 02/05/2024	55,000/-
2	Expenditure on awareness programme on health	765389 18/12/2024	24,000/-
3	Expenditure on purchase of computer etc	768591 03/03/2025	71,000/-

D. SUMBUK KARTIKEY GPU

After perusal of the records and cash book of the GPU for the State Finance Commission(SFC) scheme it was observed wherein few expenditure incurred on office expenses the payment was processed and released without the prior preparation of the corresponding payment vouchers . This practices deviates from the standard financial procedures, which requires all the payment to be supported by duly authorized vouchers to ensure proper accountability and documentation.The absence of vouchers at the time of payment increases the risk of financial irregularities , misappropriation or unauthorized disbursements.The details of which are illustrated as below :-

SI No	Particulars	Cheque No	Amount
1	Expenditure on purchase of furniture at GPK	170208 10/09/2024	1,36,998
2	Purchase of Inverter from office expenses	170204 10/09/2024	40,000

E. TURUK RAMABONG GPU

Upon examination of the records and cash book of the State Finance Commission (SFC), it was found that expenditure on garbage collection through the Resource Recovery Vehicle (RRV)—as per the agreement dated 03/10/2024 with six GPU under Sumbuk BAC and the Block Development Society (SRLM), at a monthly rate of Rs. 8,000/- was released without the prior preparation of the corresponding payment vouchers.. This practice deviates from the standard financial procedures,which requires all the payment to be supported by duly authorized vouchers to ensure proper accountability and documentation. The absence of a voucher at the time of payment increases the risk of financial irregularities, misappropriation or unauthorized disbursements. The details of which are illustrated as below :-

SI No	Particulars	Cheque No	Amount
1	Monthly expenditure incurred on the Resource Recovery Vehicle for the month of Oct 2024 to Jan 2025	805419 13/02/2025	32,000/-
2	Monthly expenditure incurred on the Resource Recovery Vehicle for the month of Feb 2025	805429 07/04/2025	8,000/-

2. IRREGULARITIES IN EXECUTION OF WORKS

The Gram Panchayat had executed various civil works including the works mentioned below during the financial year 2024-25. The general procedure for execution of civil works from the Gram Panchayat Fund is prescribed in the 'Sikkim Public Works' Code and Manual and also in the 'Gram Panchayat Development Plan Implementation Manual' by the nodal Department (Rural Development Department) in a simplified manner. A brief procedure for execution of works as per the Gram Panchayat Development Plan Implementation Manual is illustrated as below:

- In accordance with the provision in the approved budget of the year, the Gram Panchayat should obtain the administrative approval by the competent authority for execution of any work which is incorporated in the annual plan.
- The president of the Gram Panchayat after administrative approval forwards the same in particular file to the Engineering Cell of the BAC through BDO for draw of estimate with Technical Sanction of the estimate.
- The approved work with estimated cost is then put on tender processes widely floating NIT in local newspapers, notice board of the BAC and GPK for obtaining lowest bidder if the value of work exceeds rupees one lakh or more. In such tender processes, generally the lowest bidder is accepted except in any unavoidable circumstances for execution of the work by the tender committee already

formed.

iv. Issuance of work order and draw of agreement in the prescribed formats are done by the Engineering Cell of the BAC in coordination with the Gram Panchayat.

v. After completion of work or during the progress of work as the case may be, the concerned Junior Engineer prepares bill in prescribed format (form No. 24) after taking physical measurement of the work which he/she enters in concerned Measurement Book duly showing details of work done and progress of work to submit to the Gram Panchayat with necessary certificates as per the check lists for onward action.

vi. On receipt of the bill with all details at GPK, the President submits the file to the BAC for calculation and verification of necessary taxes, deductions and recoveries that should be deducted from the contractor's bill through the Block Development Officer and pass order of the amount of bill by the concerned officer of Engineering Cell for release of payments.

vii. After completing the above actions, the file along with measurement book and other documents is sent to the Gram Panchayat for release of payment of the contractor and other recoveries from the contractor's bill to be immediately deposited in the relevant accounts of the government. The drawl of cheque/FTO must follow the Pay Order from the President concerned at Gram Panchayat level indicating cheque number/FTO/Vr. Number, date and name of payee in each payment both in measurement book and in contractor's bills.

viii. Accordingly, the payments are to be recorded in the 'Work Register' as prescribed in the manual.

ix. All the above procedures are to be mentioned in the 'Note sheets' of the file related to the work.

2.1 BEGHA: Irregular Issue of Pass Order and Absence of Technical Sanction.

An expenditure of ₹1,38,000/- was incurred towards maintenance of a village footpath from *Dairy to Singshore*. Scrutiny of records revealed that the Pass Order and Pay Order were issued by the Block Development Officer (BDO) instead of the competent technical authority, namely the Junior Engineer (JE) / Assistant Engineer (AE). Further, Technical Sanction for the said work was not found on record. As per the prescribed financial and engineering rules, execution of civil works requires prior Technical Sanction from the competent technical authority. Additionally, works involving measurements are required to be certified and passed by the JE/AE before release of payment.

2.2 BONGTEN SAPONG GPU: Non-compliance with Mandatory Conditions.

In Construction of Sanitary Complex at Som Ward

An amount of **₹3,00,000/-** was sanctioned under the **15th Finance Commission (15th FC)** for the construction of a sanitary complex at **Som Ward**. As per prescribed conditions, the work was required to be supported by a **Completion Certificate duly signed by the competent authority**. However, the said Completion Certificate was **not found on record**. Further, **geo-tagging**, which was a mandatory requirement, was also **not recorded in the relevant file**.

Non-compliance with these conditions indicates deficient documentation and procedural lapses.

2.3 Budang Kamerey GPU: Irregularities in Documentation for the Repairing of CC Footpath at Upper Pachak PHSC.

A payment of ₹1,60,200/- was made to Mr. Amber Rai on 22/10/2025 through PFMS for the repairing of a CC footpath at Upper Pachak PHSC. Upon review of the supporting documentation, the following irregularities were identified:

- Missing Pass Order and Pay Order in Measurement Book (MB): The Measurement Book did not contain the required pass order and pay order, which are essential authorizations prior to payment processing as per the Sikkim PWD Code (Chapter 13 – Measurement Book Guidelines).

- **Measurement Book Not Certified:**The MB entries were not certified by the concerned Engineer or Officer, violating standard procedures under PWD Manual Para 275, which requires all measurements to be verified and certified by a competent authority to confirm the correctness of executed work.
- **Delayed Submission of Forest Royalty Challan:**A Forest Royalty Challan of ₹3,736/- dated 02/10/2024 was found in the file. However, the work completion date was recorded as 25/09/2025, indicating that the challan was submitted after the completion of the work, contrary to PWD Manual Para 391, which requires such dues to be cleared before or during execution and not post-completion.
- **Blank Memorandum of Payment Form:**The Memorandum of Payment (MoP) form was blank, which is a breach of PWD Code Para 194, where the MoP must summarize the bill, relevant references, and certifications, serving as an internal approval document.
- **Missing Commercial Tax NOC:**The file did not contain a Commercial Tax No Objection Certificate (NOC), which is mandatory for contractual payments exceeding prescribed thresholds under the Sikkim Commercial Tax Regulations and should be ensured before final payment release.

2.4 Delay in execution of civil works in various GPUs.

The Gram Panchayat had executed various civil works during the financial year 2024-25. The general procedure for execution of civil works from the Gram Panchayat Fund is prescribed in the 'Sikkim Public Works' Code and Manual and in 'Gram Panchayat Development Plan Implementation Manual' by the nodal Department (Rural Development Deptt) in a simplified manner.

A. CHISOPANI GPU:

On scrutiny of files and records related to civil works, it was noticed that there was severe delay in execution of works, as the payment for works which were approved as per the 2022-2023 plan was made only in the Financial Year 2024-25.

Sl. No.	Name of Work	Source of Fund	Plan Year	Sanction Amount
1.	Augmentation and retrofitting at Gugay source Lower Teniok Ward	15 th FC	2022-23	1,80,000
2	Source development in all 5 wards	5 th SFC	-	5,99,000

Further, for serial no 1 mentioned above, it was also observed that the abstract of cost does not reflect individual item wise rates, only a lump-sum amount has been provided. Furthermore, the Measurement Book (MB) also lacks the necessary details of rates against the respective items of work. This compromises the transparency and verifiability of the expenditure incurred. Additionally, while reviewing the Utilization Certificate submitted by the GPU, it was noted that the GPU has declared 100% utilization of the sanctioned amount. However, audit findings reveal that a portion of the fund remains unutilized and is still parked in the GPU's account. This misreporting may lead to incorrect financial reporting and calls for necessary rectification and stricter compliance in future submissions.

In connection with the source development works carried out in all five wards, several procedural and compliance lapses were observed. The work orders were issued directly by the Panchayat President without obtaining the mandatory Gram Sabha resolution, which is a violation of the established norms for community-based project approvals. The works executed were not part of the approved Action Plan, raising concerns about the legitimacy and prioritization of these activities. Payment for the works was made solely through Muster Rolls (MRs), with no supporting contractor bills or detailed expenditure breakdowns. Furthermore, the bills and vouchers were signed only by the Assistant Director and the Panchayat functionary, without the involvement of other designated verifying officers. The required tendering process was also not followed, indicating a lack of transparency and

competitiveness in the award of work. Additionally, labour cess deductions were not made as per statutory requirements. These irregularities point to significant deviations from prescribed financial and administrative procedures and warrant immediate corrective action.

B. KHAMDONG GPU:

On scrutiny of files and records related to civil works, it was noticed that in few cases, there was severe delay in execution of works, as the payment for works which were approved as per the 2021-2022 plan was made only in the Financial Year 2024-25.

Sl. No.	Name of Work	Source of Fund	Plan Year	Sanctioned Amount
1.	CSC at Badang Ward (Sanitation)	15 th FC	2021-22	3,00,000
2.	Operation and maintenance needs related to solid waste management	15 th FC	2021-22	1,02,000

C. SUMIN LINGZEY GPU

In the cases mentioned below, no such justification or documented reasoning was found on record for opting for departmental execution over contracting.

Sl No.	Particulars	Sanction Amount	Scheme
1	Construction of drinking water restoration tank at Middle Sumin Ward	85,000	15 th FC
2	Repair of mid-day meal at Lower Lingzey Sec. School	1,49,135	15 th FC

D. RAKDONG TINTEK GPU

On scrutiny of files and records related to civil works, it was noticed that in few cases, there was severe delay in execution of works, as the payment for works which were approved as per the 2021-2022 plan was made only in the Financial Year 2024-25.

Sl. No.	Name of Work	Source of Fund	Plan Year	Sanctioned Amount (Rs.)	Royalty
1.	Construction of crematorium shed at Teesta Ghat	15 th FC	2021-22	4,00,000	1434

The Government of Sikkim follows a system which is associated with the collection of fees for the use and extraction of forest resources. This system known as the "Forest Royalty" system is crucial for managing the state's rich biodiversity and ensuring sustainable use of its forests. The revenue generated from these royalties is often used for forest conservation, community development and maintaining the ecological balance in the state.

The Forest and Environment Department, Government of Sikkim, had laid down the royalty rates and fees on various forest produce and services vide notification no 305/GOS/FEWMD dated 30/03/2016. However, in some cases the GPU had deducted forest royalty while making payment to the contractor, but the deducted amount was still in the GPUs bank account. The deducted forest royalty should have been brought into the system and streamlined into a proper channel by depositing it in the respective government account. By not depositing the forest royalty, the GPU hampers the revenue collection of the forest department.

2.5 Kitam GPU, Mamley GPU & Temi GPU -Non compliance of rule on execution of works in following GPUs.

A. Kitam GPU: On scrutiny of the relevant records and files of the following works, several procedural irregularities were noticed:

Sl. No.	Particulars	Cheque no./date	Amount
1.	Construction of community compost pit at GPU	PFMS/12.11.2024	72793/-
2.	Construction of protective wall at Upper Kitam (SFC)	074348/07.10.2024	49500/-

Sl. No. 1:

- Pass order was not obtained.
- The date of completion of work is recorded as 27.09.2024; however, the royalty challan is dated 07.10.2024, which raises doubt on the authenticity of work completion records.
- Material bills submitted are without GST and are katcha bills, which is irregular and non-compliant with GST regulations and standard financial procedures.

For Sl. No.2

- The work was executed without preparation & approval of an estimate, violating the prescribed norms for execution of civil works.

The above lapses indicate serious non-compliance with financial & technical procedures, leading to lack of accountability in fund utilisation. Execution of work without sanctioned estimates and use of katcha bills may result in misstatement of expenditure & possible financial irregularities & loss of Government revenue.

B. Mamley GPU: Audit scrutiny of records revealed that an expenditure of ₹1,17,000/- was incurred towards construction of cabin for newly appointed staff under Mamley GPU vide Cheque No. 125436 dated 16.11.2024 from SFC fund.

It was observed that:

- The estimate of work was not found on record. The work was executed and completed without preparation and approval of estimate, violating the prescribed procedures for execution of works.
- The Muster Roll (MR) sheet supporting the labour component of the work was not produced, hence, the authenticity of payment to labourers could not be verified.

Execution of work without a sanctioned estimate and supporting MR sheet indicates deviation from established financial and technical norms, leading to risk of excess expenditure and lack of transparency.

C. TEMI GPU: Audit scrutiny of records relating to execution of works by the Gram Panchayat Unit (GPU) revealed several instances of non-compliance with prescribed financial and procedural rules, as detailed below:

Sl. No.	Particulars	Cheque no./date	Amount
1.	Repair of ceiling & replacement of GCI sheet at Gangchung.	260705/02.07.2024	260705/-

Sl. No. 1:

- Bills were not certified by the concerned Assistant Engineer (AE), which is mandatory to ensure measurement and quality verification.
- As per the existing GST norms, 2% GST-TDS must be deducted from the bills of Registered Contractor and 18% GST is applicable for unregistered contractors for work orders valued at Rs 2,50,000/- & above. However, neither the 2% TDS was deducted and remitted to the commercial tax division nor was the 18% GST (amounting to ₹39,214/-) deducted from the payment made to the contractor, despite the work value exceeding the prescribed threshold. Also, Rs 39,214/- has been included in the estimate but not deducted by the GPU. The entire amount was paid directly to the contractor, resulting in violation of GST norms and potential revenue loss.
- No pay order was recorded on the MB & bill prior to payment.

These lapses reflect serious deficiencies in adherence to the Sikkim Financial Rules, 1979 and the guidelines governing Panchayat works, leading to irregular expenditure, non-deduction of statutory

dues, and execution of works without mandatory clearances.

2.6 YANGSUM GPU :Observation on the execution of the civil work “Repairing of ICDS Centre at Daragoan amounting to Rs 1,06,600/- under 15th FC.

During the financial year 2024–25, the Yangsum GPU undertook the implementation of various civil works under the 15th Finance Commission and the State Finance Commission, inclusive of those cited above. The standard procedure for the execution of civil works for utilizing funds is outlined in the Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual, as issued by the nodal Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

On examination of files and records the Yangsum GPU had mostly followed all the procedures as specified under the rules, although there were few oversights that were observed during the audit for the above mentioned work “**Repairing of ICDS Centre at Daragoan**” which are stated as below:-

- a) Pay order related to the said work was issued directly by the Engineering Section of the BAC instead of being processed through the Accounts Section. This is contrary to the Departmental Financial Rules which states all payments be authorised and routed through the Accounts Section to ensure proper financial control and verification.
- b) Despite being applicable, professional tax payable by registered contractors engaged in civil construction works was not carried out as deduction from the contractors’ bills.

2.7 DODAK GPU : Observation on the execution of the civil work “Construction of CCFP from Chawtara Dara to Devithan Gairi Goan ward no 01 amounting to Rs 1,70,600/- under 15th FC

During the financial year 2024–25, the Dodak GPU undertook the implementation of various civil works under the 15th Finance Commission and the State Finance Commission, inclusive of those cited above. The standard procedure for the execution of civil works for utilizing funds is outlined in the Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual, as issued by the nodal Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

On examination of files and records the Dodak GPU had mostly followed all the procedures as specified under the rules, although there were few oversights that were observed during the audit for the above mentioned work “**Construction of CCFP from Chawtara Dara to Devithan Gairi Gaon**” which are stated as below:-

- a) An amount of Rs 25,804/- representing GST@ 2% deducted from the contractors bill was not deposited into the designated Government head of account, instead the amount was wrongly accounted under the GPUs account.
- b) Required deduction of professional tax from the bills of registered civil contractors was not effected and the corresponding amount was not remitted into the Government account.
- c) The PFMS payment of the total work value amounting to Rs 1,36,086/- paid to the contractor was disbursed into two instalments of Rs 81,651/- and Rs 54,435/- .However, the basis for such bifurcation was not evident from the online payment records.

2.8 BURIAKHOP GPU :Observation on the execution of the civil work “Construction of waiting shed at ward no 4 amounting to Rs 2,50,000/- under 15th FC

During the financial year 2024–25, the Buriakhop GPU undertook the implementation of various civil works under the 15th Finance Commission and the State Finance Commission, inclusive of those cited above. The standard procedure for the execution of civil works for utilizing funds is outlined in the

Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual, as issued by the nodal Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

On examination of files and records the Buriakhop GPU had mostly followed all the procedures as specified under the rules, although there were few oversights that were observed during the audit for the above mentioned work “**Construction of waiting shed at Ward no 4**” which are stated as below:-

- a) Contract agreement the formal signed agreement which defines the scope of work, payment terms, completion schedules, responsibilities and legal obligations of the contractor and the client pertaining to the above civil works was not enclosed in the file.
- b) The mandatory professional tax deduction from the bills of registered civil contractors was not carried out and the corresponding liability was not remitted into the Government account.

2.9 OKHREY GPU : Non-compliance with open competitive tendering procedure on certain civil works

As per the provisions of the *Sikkim Financial Rules, 1979* and the *Sikkim Public Works Department Manual, 2009* (Para 96 – General Rules) all civil works must be executed through an open and transparent tendering system. The tenders are required to be invited in the most open and transparent manner — preferably through advertisement in the *Sikkim Herald*, national and local newspapers and by displaying notices in public places. Additionally, tender notices should be hosted on the departmental website to ensure transparent competition among bidders. The prescribed costs of tender forms based on the estimated value of works, are fixed as under:

- a) Up to Rs 5 lakhs-Rs100
- b) Above Rs 5 lakhs and up to Rs 11 lakhs- Rs 250
- c) Above Rs 11 lakhs and up to Rs 20 lakhs- Rs 500
- d) Above Rs 20 lakhs and up to Rs 50 lakhs- Rs 1500
- e) Above Rs 50 lakhs and up to Rs 1 crore- Rs 5000
- f) Above Rs 1crore and up to Rs 3 crore- Rs 30,000
- g) Above Rs 3 crore and up to Rs 10 crore- Rs 50,000
- h) Above Rs 10 crore and above, if any – Rs 2,00,000

A review of the procurement and work-execution records of Okhrey GPU for the financial year 2024–25 revealed significant deviations from established procurement procedures. A considerable share of civil works financed under the 15th Finance Commission were executed Departmentally rather than through the mandated open competitive tendering process. Furthermore, the GPU proceeded with Departmental execution without obtaining the requisite prior approval or sanction from the competent authority, thereby contravening the prescribed procurement norms. Examination of the filled audit requisition details for financial year 2024–25 shows that the GPU executed a total of 12 civil works, of which 2 were undertaken departmentally. The details of these works are presented below.

SL NO	PARTICULARS	SCHEME	AMOUNT
1	Construction of soak pit and composite pit under Okhrey GPU	15 th FC	40,420/-
2	Construction of community sanitary complex at public playground at Middle Okhrey		1,90,000/-
	Total		2,30,420/-

The open tendering process is designed to promote transparency, fairness, and competitiveness while also creating an additional revenue stream for the GPU by allowing bidders to

compete on both cost and quality. However, the failure to float tenders in accordance with the SPWD Manual 2009 and the Sikkim Financial Rules 1979 resulted in Okhrey GPU being deprived of substantial potential revenue that could otherwise have been realized through the prescribed tendering mechanism.

2.10 LINGTHEM LINGDEM GPU : Observation on the execution of the civil work “Source Development at Lingdem Upper Dzongu amounting to Rs 1,46,700/- under 15th FC.

During the financial year 2024–25, the Lingthem Lingdem GPU undertook the implementation of various civil works under the 15th Finance Commission and the State Finance Commission, inclusive of those cited above. The standard procedure for the execution of civil works for utilizing funds is outlined in the Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual, as issued by the nodal Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

On examination of files and records the Lingthem Lingdem GPU had mostly followed all the procedures as specified under the rules, although there were few oversights that were observed during the audit for the above mentioned work “**Source Development at Lingdem Upper Dzongu**” which are stated as below:-

- a) It was observed that the Notice Inviting Tender (NIT) was not floated for the above work instead the work was executed through Departmental arrangements. However, as per the provisions of the Sikkim Financial Rules, works beyond the prescribed monetary limit should ordinarily be executed through the tender process for transparency and competitiveness.
- b) An escalation of 7.5%, equivalent to ₹31,558/-, was added to the estimate to provide for possible increases in material, labour, and transportation costs during the course of execution. It is observed that this provision was included without the sanction or concurrence of the competent authority, as required under the prevailing financial rules.
- c) Pay order pertaining to the said work was issued by the Engineering section of the BAC rather than being processed through the accounts section. As per the Departmental financial rules, all payments are to be authorised and routed through the accounts section to ensure proper financial control and verification.

2.11 HEE GYATHANG GPU : Observation on the execution of the civil work “Repairing of water supply at Sangdong ward amounting to Rs 1,37,100 under 15th FC

During the financial year 2024–25, the Hee Gyathang GPU undertook the implementation of various civil works under the 15th Finance Commission and the State Finance Commission, inclusive of those cited above. The standard procedure for the execution of civil works for utilizing funds is outlined in the Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual, as issued by the nodal Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

On examination of files and records the Hee Gyathang GPU had mostly followed all the procedures as specified under the rules, although there were few oversights that were observed during the audit for the above mentioned work “Repairing of water supply at Sangdong ward” which are stated as below:-

- a) Pay order pertaining to the said work was issued by the Engineering section of the BAC rather than being processed through the accounts section. As per the Departmental financial rules, all payments are to be authorised and routed through the accounts section to ensure proper financial control and verification.
- b) A sum equivalent to 2% GST on the total value of work amounting to ₹2,742/- was deducted from the contractor’s bill but was not remitted into the prescribed Government account.

- c) Storage charges at the rate of 5% amounting to ₹170/- was deducted from the contractor's bill but were not remitted into the Government account and were instead retained in the accounts of the GPU.
- d) Professional tax liable on registered contractors was omitted as deduction in the above works bill.

2.12 LINGDONG BARFOK GPU : Observation on the execution of the civil work “Construction of VAC office at Lingding amounting to Rs 3,00,000/- under SFC

During the financial year 2024–25, the Lingdong Barfok GPU undertook the implementation of various civil works under the 15th Finance Commission and the State Finance Commission, inclusive of those cited above. The standard procedure for the execution of civil works for utilizing funds is outlined in the Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual, as issued by the nodal Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

On scrutiny of files and records the Lingdong Barfok GPU had mostly followed all the procedures as specified under the rules, although there were few oversights that were observed during the audit for the above mentioned work “Construction of VAC office at Lingding” which are stated as below :-

- a) It was observed that the measurement book(MB) was not maintained for the above mentioned works. In the absence of a measurement book the accuracy of the quantities executed and the corresponding payments could not be verified.
- b) No completion certificate was enclosed in the file thereby limiting to ascertain whether the work was executed and completed as per the requirements.
- c) The technical report was not enclosed for the executed work. The absence of this critical document restricts the verification of whether the work was carried out in accordance with the prescribed technical standards and specifications.
- d) The annual plan and the Minutes of meeting specify the allocated expenditure of Rs 3,00,000/- for construction of VAC office at Lingding. However, the actual expenditure incurred amounted to Rs 3,86,500/- exceeding the approved allocation of Rs 86,500/-. Neither the approval from the competent authority for this excess amount was obtained. Proper sanctioning of any expenditure beyond the allocated budget is necessary to ensure compliance with the financial rules. The comprehensive details of the cost involved are detailed as below :-

PARTICULARS	SOURCE OF FUND	CHEQUE NO & DATE	AMOUNT
Construction of CCFP at new VAC office Lingdong	SFC	022630,02/05/2024 038912, 05/07/2024	45,000/-
Renovation works at newly constructed VAC office Lingdong		038914 30/07/2024	70,000/-
Renovation works at newly constructed VAC office Lingdong		038916 27/08/2024	51,500/-
Renovation works at newly constructed VAC office Lingdong		038919 16/09/2024	57,000/-
Electrical connection at newly constructed VAC office Lingdong		038922 01/10/2024	82,000/-
Renovation works at newly constructed VAC office Lingdong		038927 07/10/2024	31,000/-
Renovation works at newly constructed VAC office Lingdong		038928 29/10/2024	50,000/-
Total			3,86,500/-

2.13 TINGVONG GPU : Non compliance with open competitive tendering procedure on certain civil works.

As per the provisions of the *Sikkim Financial Rules, 1979* and the *Sikkim Public Works Department Manual, 2009* (Para 96 – General Rules) all civil works must be executed through an open and transparent tendering system. The tenders are required to be invited in the most open and transparent manner — preferably through advertisement in the *Sikkim Herald*, national and local newspapers and by displaying notices in public places. Additionally, tender notices should be hosted on the departmental website to ensure transparent competition among bidders. The prescribed costs of tender forms based on the estimated value of works, are fixed as under:

- i) Up to Rs 5 lakhs-Rs100
- j) Above Rs 5 lakhs and up to Rs 11 lakhs- Rs 250
- k) Above Rs 11 lakhs and up to Rs 20 lakhs- Rs 500
- l) Above Rs 20 lakhs and up to Rs 50 lakhs- Rs 1500
- m) Above Rs 50 lakhs and up to Rs 1 crore- Rs 5000
- n) Above Rs 1crore and up to Rs 3 crore- Rs 30,000
- o) Above Rs 3 crore and up to Rs 10 crore- Rs 50,000
- p) Above Rs 10 crore and above, if any – Rs 2,00,000

Review of procurement and work execution records of **Tingvong GPU** for the financial year **2024–25** revealed that a substantial portion of civil works funded under the **15th Finance Commission** and the **State Finance Commission** were executed **departmentally** instead of being carried out through the **open competitive tendering process**. On the other hand neither prior approval nor sanction from the competent authority was obtained for executing the works departmentally, bypassing the required open competitive tender process in contravention of the established procurement rules. The filled requisition details for the financial year 2024–25 unveils, the GPU had executed 17 works out of which 6 were executed departmentally. The particulars of these works are as follows:

SL NO	PARTICULARS	SCHEME	AMOUNT
1	Minor repair of Dysfunctional of pipes	15 th FC	1,31,500/-
2	CSC at Tingvong PHC		90,000/-
3	Log Bridge at Lingko I		50,000/-
4	Maintenance of solid waste management unit		50,000/-
5	Construction of toilet at crematorium shed at Lingko		55,000/-
6	Water supply connection at VAC Tingvong		1,00,000/-
	Total		4,76,500/-

The open tendering process not only ensures **transparency and fairness** but also generates additional income for the GPU while providing an opportunity for bidders to compete on cost and quality. Non-floating of tenders as per the SPWD Manual 2009 and Sikkim Financial Rules 1979 deprived the Tingvong GPU a significant portion of potential revenue that could have been earned through the tendering process. Also, review of **Annexure V** of the GPU's revenue receipts revealed a **decrease in revenue from tender form sales**, falling from ₹21,500 in the previous financial year to ₹16,500 in the current year, indicating a reduction in Departmental earnings.

2.14 SORENG GPU : Observation on the execution of the civil work “Installation of solar street light in Road ward no 4 amounting to Rs 2,35,000/- under 15th FC.

During the financial year 2024–25, the Soreng GPU undertook the implementation of various civil works under the 15th Finance Commission and the State Finance Commission, inclusive of those cited

above. The standard procedure for the execution of civil works for utilizing funds is outlined in the Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual, as issued by the nodal Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

On examination of files and records the Soreng GPU had mostly followed all the procedures as specified under the rules, although there were few oversights that were observed during the audit for the above mentioned work “**Installation of solar street light in Road ward no 4**” which are stated as below:-

- a) While works bills are generally passed by the Engineering Cell following verification of measurements, rates, and compliance with applicable guidelines, for the works cited above, the order was issued by the Accounts Section of the BAC rather than the Engineer concerned.
- b) Professional tax applicable to registered contractors earning income from civil construction was not deducted from the contractors bill and remitted into the Government accounts.

2.15 KARTHOK BOJEK GPU : Observation on the execution of the civil work “Construction of CCFP at Lower Yangthang amounting to Rs 1,24,000/- under SFC

During the financial year 2024–25, the Karthok Bojek GPU undertook the implementation of various civil works under the 15th Finance Commission and the State Finance Commission, inclusive of those cited above. The standard procedure for the execution of civil works for utilizing funds is outlined in the Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual as issued by the nodal Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

On examination of files and records for the above mentioned works, the Karthok Bojek GPU had mostly followed all the procedures as specified under the rules, although there were few oversights that were observed during the audit for the above mentioned work “**Construction of CCFP at Lower Yangthang**” which are stated as below:-

- a) After issuance of the passed order by the Engineer concerned, the bill is to be prepared and passed for the payment with the details of the Pay order (such as cheque no, bill no, date and amount) are to be recorded in the measurement book against the corresponding payments. However, in this case it was observed that the Pay order was not recorded in the measurement book and the payment was released.
- b) Bills and vouchers are the primary financial documents supporting payments made to the contractors or suppliers. These documents are required to be checked, verified and certified by the competent authority before any payment is released. It has been noticed that the bills lacked the required certification from the authorized officers before the payment was sanctioned.
- c) Professional tax applicable to registered contractors earning income from civil construction was not deducted from the contractors bill and remitted into the Government accounts.

2.16 MALBASEY GPU : Observation on the execution of the civil work “Construction of community centre at Malbasey Tholo Gaon ward amounting to Rs 3,30,477/- .

During the financial year 2024–25, the Malbasey GPU undertook the implementation of various civil works under the 15th Finance Commission and the State Finance Commission, inclusive of those cited above. The standard procedure for the execution of civil works for utilizing funds is outlined in the Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual, as issued by the nodal Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

On examination of files and records the Malbasey GPU had mostly followed all the procedures as

specified under the rules, although there were few oversights that were observed during the audit for the above mentioned work “**Construction of community centre at Malbasey Tholo Gaon ward**” which are stated as below:-

- a) Labour clearance certificate for the given work has not been furnished prior to the payment released. It is necessary to obtain the certificate from the competent authority to ensure compliance with the labour regulations before processing for final payment.
- b) The total work value exceeds the statutory GST threshold, however GST remittance was not effected at the time of payment which has conferred undue benefit upon the contractor in contravention of the applicable GST provisions.

2.17 Namli GPU -GST not included while execution of civil works

During scrutiny of records relating to the work “Construction of View Point at Giri Turning, Tumbler under Beng Ward”, sanctioned for ₹3,33,000/-, several discrepancies and violations of prescribed procedures were observed.

- i. As per circular no. GoS/CTD/2018-19/12-A2(80)/4 dated 15.07.2022, the GST component in any work estimate should be shown separately at the time of calling tender. The work order may be issued to a successful bidder for work value including GST if he is registered holding valid GSTIN. In event of the successful bidder being unregistered, the concerned paying authority may take sanction of the fund excluding GST amount.

Further, Section 51 of the CGST Act 2017 mandates for deduction of tax by the Government Agencies (Deductor) or any other person to be notified in this regard, from the payment made or credited to the supplier (Deductee) of taxable goods or services or both, where the total value of such supply, under a contract, exceeds 2.5L. The amount deducted as tax under this section shall be paid to the Government by deductor within ten days after the end of the month in which such deductions is made along with a return in FORM GSTR-7.

However, the Engineering cell did not include GST component in the estimate, contrary to the above circular. And the accounts section did not deduct GST TDS @ 2% which constitutes a violation of Section 51 of the CGST Act 2017. This constitutes non-compliance with statutory GST requirements and has resulted in potential revenue loss to the Government.

- ii. Although 1% Labour Cess (₹3,298/-) was shown as to be deducted in the estimate, the amount was not deposited by the Accounts section of BAC to the Labour Department. Nor the Labour Clearance Certificate obtained by the contractor. Therefore, the entire payment was released to the contractor.

3. IRREGULARITIES IN PURCHASE PROCEDURE

The Sikkim Panchayat Act, 1993, provides a framework for the functioning of Panchayat in Sikkim to handle various administrative and financial procedures, including purchases. The Act aims to empower local self-governments and ensure transparency and accountability in their operations. The general overview of the purchase procedure as outlined under the Sikkim Panchayat Act, 1993 are stated below:-

- Approval of the Purchase.
- Preparation of Purchase Estimates.
- Evaluation of Tenders/Quotations
- IT Clearance for Purchase of Computer.
- Approval and Placement of Order.
- Receipt and Inspection of Goods/Services.
- Payment Processing.
- Record Keeping and Documentation.
- Compliance with Rules and Regulations.

3.1 Non adherence to purchase procedure in various GPUs.

A. Lingdong Barfok GPU: Expenditure of Rs 1,01,000/- for Purchase of computer at GPU,

- 1) No quotations were received for the purchase and therefore no comparative statement was prepared. The absence of quotations and a comparative statement indicates a deviation from the established procedures and prevents verification of whether the expenditure was justified, competitive, and in line with the approved budget.
- 2) Preparation of supply order is a critical step in a procurement process, as it serves as an official document authorising the supplier to deliver the goods and services as per the agreed specifications, quantities and rate. Nevertheless the supply order was not prepared for the purchase made.
- 3) Review of procurement documentation indicated that the procedure for obtaining the approval of the competent authority before the purchase was made was incomplete or not followed as per the established guidelines.

B. Upper Timburbong GPU : Expenditure on purchase of furniture for Aganwadi Centre- 50,000/- under SFC.

Some discrepancies were noticed in the procedure followed which are stated as under:-

- i) Quotations were not obtained for the purchase of the furniture contrary to the standard procurement guidelines. On following the procedure of obtaining quotations from multiple vendors, the GPU would have been able to compare prices effectively and select the most cost-efficient option, thereby ensuring the best value for money.
- ii) Stamp duty charges were not deducted in the contingent bill prepared for the purchase of furniture. This omission is contrary to the regulatory mandate which states deduction of stamp duty on all financial transactions above the ceiling limit of Rs 5000/-.

C. Sukrabarey Suntaley GPU: Expenditure for Disaster Mitigation Items Sadam Suntaley GPU- 4,05,000/- under SFC

Few anomalies were observed on the payment made :-

- i) Once quotations are received, preparing a comparative statement is an essential step, it facilitates cost comparison, aids in budgeting, ensures transparency, supports supplier evaluation, strengthens negotiation leverage, and helps manage risk. However, this critical step was bypassed and the purchase proceeded without it.
- ii) Payment voucher being an important part of documentation that supports the entry being made in the cash book before initiating any payment was not prepared by the GPU for the above expenditure.
- iii) Although issuing a delivery challan is mandatory to formally acknowledge receipt of goods and services, this requirement was neglected for the aforementioned purchase.
- iv) The GPU failed to maintain the stock register being a fundamental record for basic bookkeeping and inventory control, despite its critical importance in tracking items held in stock.

D. Chumbung GPU

An amount of ₹83,700/- was incurred for the purchase of office stationeries vide Cheque No. 766222 dated 25.02.2025. On scrutiny of the records, it was observed that the following irregularities were noticed:

- i. Quotation was not invited, and no comparative statement was prepared, thereby violating the prescribed purchase procedure.
- ii. Payment vouchers were not created, resulting in lack of proper financial documentation.
- iii. Payment was made on the basis of a katcha bill, without a valid GST invoice, which is irregular and not in conformity with financial rules.

The executive authority should ensure that all future procurements strictly adhere to the prescribed

procedures — including calling for quotations, preparing comparative statements, and making payments only against valid GST invoices — to maintain transparency and accountability in financial transactions.

E. Namcheybong GPU

During the audit of accounts for the financial year 2024–25, it was observed that the entity procured Purchase of sound system amounting to Rs 1,04,000. The purchase procedure as mentioned above has not been followed by the GPU for the following payments.

SL NO	PARTICULARS	AMOUNT	SCHEME	CHEQUE NO
1	Purchase of sound system	1,04,000	5 th SFC	<u>070326</u> 24-12-24

Necessary steps like calling of quotation, preparation of comparative statement and issuing supply order were omitted for the purchase above.

F. Dalapchand GPU:

The purchase procedure as mentioned above has not been followed by the GPU for the following payments.

SL NO	PARTICULARS	AMOUNT	SCHEME	DATE
1	Purchase of a bee box for bee keeping.	3,20,000	5 th SFC	<u>068577</u> 07-10-24

For the purchase mentioned above it was noticed that the quotation was not called, comparative statement was not prepared and the beneficiary documents are not present.

3.2 Maneybong Dentam GPU: Irregular Payment for Purchase of Office Stationery

An amount of ₹1,32,000/- was paid for the purchase of office stationery to **office staff**, instead of the actual supplier **M/s Prime Enterprise**, from whom the stationery items were procured. Further scrutiny revealed that the **Supply Order** relating to the said purchase was **not found on record**. The **Comparative Statement of rates** obtained from different suppliers was also **not available for audit verification**.

As per prescribed financial rules, payment for any purchase is required to be made **directly to the concerned supplier/vendor**. Further, every procurement must be supported by a valid Supply Order and a Comparative Statement to ensure transparency and reasonableness of rates.

3.3 Non-creation of Payment Voucher and Non-obtaining of IT Clearance

A. Sopakha -An amount of ₹99,727/- was paid vide Cheque No. **080947 dated 29.04.2024** towards **expenditure on GPU**. Further, an amount of ₹79,980/- was paid **through PFMS** for **purchase of a Desktop from M/s Graphix**. However, it was observed that: **The payment voucher was not created/maintained** for the above expenditure.

The mandatory IT Clearance was also not obtained prior to purchase of the desktop computer.

B. Manebong:-An amount of ₹99,500/- was paid vide Cheque No. **082476 dated 25.10.2024** towards **purchase of a computer**. However, it was observed that the **mandatory IT Clearance was not obtained** prior to making the said purchase.

As per the prescribed government financial and IT procurement guidelines, **prior IT clearance is compulsory** for purchase of computer systems and related IT equipment to ensure standardization and avoid duplication.

C. Gyalshing Omchung -Non-creation of Payment Voucher.

An expenditure of ₹1,40,000/- was incurred towards **purchase of office furniture** vide Cheque No. **219332 dated 20.02.2025**. Scrutiny of records revealed that the **prescribed purchase procedure**

was not followed. Further, the **Payment Voucher was not prepared**, and the **stock entry of the purchased furniture was also not made** in the Stock Register.

As per financial rules, all purchases must follow the **prescribed procurement procedure**, supported by proper **Payment Voucher, and Stock Register entry** for accounting and verification purposes.

As per financial rules, every expenditure must be supported by a **properly prepared payment voucher** with full documentation. Further, **prior IT clearance is compulsory** for procurement of computers and IT equipment as per government IT procurement guidelines.

3.4 Mangshila-Non-issuance of Notice Inviting Tender (NIT)

Audit scrutiny revealed that **Notice Inviting Tender (NIT) was not issued** in respect of the **purchase of computer and xerox machine**, for which an amount of **₹1,66,831/-** was paid vide **Cheque No. 402259 dated 15.05.2024**.

As per prescribed procurement rules, purchases and works are required to be made by following the tendering procedure to ensure transparency and competitiveness.

3.5 Rateypani GPU: Unauthorised Procurement of Laptop.

During the audit of financial records of Rateypani Gram Panchayat Unit (GPU) for FY 2024–25, it was observed that a payment of ₹67,200 was made via cheque no. 667735 dated 22/04/2024 to Universal Enterprises for the purchase of a laptop. The audit review noted the following violations of established financial and procurement norms:

- a) **Uncertified Bill:** The bill submitted for the purchase was not certified by the concerned officer, in contravention of standard financial procedures.
- b) **Non-GST-Compliant Invoice:** The invoice lacked a GSTIN and was issued as a handwritten ("kaccha") bill, which does not meet GST compliance requirements.
- c) **Absence of IT Department Clearance:** The procurement was made without the mandatory vetting and approval of the Directorate of Information, Government of Sikkim.

3.6 Lingmoo Paiyong GPU: Irregularities on Purchase of Projector and Laptops

During the audit of accounts for the financial year 2024–25, it was observed that the entity procured laptops and a projector set amounting to a total of ₹1,59,799/- through three separate transactions, without obtaining the mandatory clearance from the Department of Information Technology, Government of Sikkim, and without following prescribed procurement procedures such as inviting quotations or preparing a comparative statement.

The following transactions were made towards the purchase of laptops and projector set:

Date	Amount (₹)	Mode of Payment	Instrument No.	Remarks
04/10/2024	50,000	Cheque	712819	Laptop
01/03/2025	59,999	Cheque	722271	Projector
05/03/2025	49,800	PFMS	N/A	Laptop

- No clearance certificate was obtained from the Department of Information Technology, Government of Sikkim for the above purchases.
- No quotations were invited, and no comparative statement was found in the procurement records.
- The purchases were made on a single-vendor basis without documented justification.

3.7 Men Rongrong – Irregularities on purchase of Desktop

As per Sikkim Government Gazette no. 309 dated 25.10.2021 relating to Department of Information Technology (DIT), Government of Sikkim, it is stated that "proposals for procurements of computers and peripherals by Government Department will be vetted by the DIT with an aim to get value for the

money and to standardize the equipment”.

Sl. No.	Particulars	Cheque no./date	Amount
1.	Paid to Siddhivinyak solution, Gangtok for supply of 1 computer set & 1 Laptop 1 Printer (SFC)	934590/21.12.2024	1,30,000/-
2.	Purchase of computer with printer (SFC)	934574/01.07.2024	68,8000/-
3.	Purchase of office tables & book case from rajen Ent.	934592/24.12.2024	1,11,450/-

But on contrary to the above rule, it was seen that GPK incurred the expenditure for purchase of Laptop without obtaining necessary concurrence from Information Technology (IT) Department. The office verifies the rates of devices which are proposed to be purchased so that the GPK gets standardized equipment at reasonable rates.

Further, entries of stationery received were not recorded in the invoice.

E-NOC of suppliers was also not obtained from Commercial tax which is mandatory before payment.

4. NON PRODUCTION OF RECORDS

As per Rule 18 of Sikkim Financial Rules 1979 - A subordinate authority affords all reasonable facilities to Audit for the discharge of his functions and furnish fullest possible information required by him for the preparation of any official account or report. Also, as per Rule 19 of SFR 1979 - A subordinate authority shall not hold information, books or other documents required by audit. The Sachiva shall ensure the safe custody of all books of accounts and records of the Gram Panchayat and shall produce them for inspection to the auditors authorized by the Government.

4.1 Karzi Mangnam GPU: Non production of Records

According to the prevailing Sikkim Gram Panchayat Financial Rule it is not sufficient that an officer's account should be correct to his own satisfaction. A Disbursing Officer has to satisfy not only him but also the audit that a claim which has been accepted is valid, that a file or voucher is a complete proof of the payment which it supports and that the account is correct in all respects. It is necessary that all the accounts should be kept and the details so fully recorded as to afford the requisite means of satisfying any enquiry.

It is further essential that the records of payment must be clear and self-contained to be producible as satisfactory and convincing evidence of facts, if required, in a court of law. However the Karzi Mangnam GPU failed to produce the following files, documents and vouchers to the audit.

SL NO	DESCRIPTION
1	Construction and Maintenance of Classroom Flooring Fund: 5th State Finance Commission Amount: ₹1,01,250/-
2	Augmentation of Existing Sources of Drinking Water Fund: 15th Finance Commission Amount: ₹89,100/-
3	Augmentation of Existing Sources of Drinking Water Fund: 5th State Finance Commission Amount: ₹1,33,500/-

4.2 Hee GPU: Non-Production of Form No. 24 and Measurement Book (MB)

During the course of audit, it was observed that **Form No. 24 and the Measurement Book (MB) were not produced for verification** in respect of the following works executed under the **State Finance Commission (SFC)**:

Sl. No.	Name of Work	Amount	Cheque No. & Date
1	Construction of Village Footpath	80,000/-	Cheque No. 648978 dated 25.07.2024
2	Construction of Village Footpath	80,000/-	Cheque No. 650294 dated 07.10.2024
3	Extension of Milk Construction Centre	80,000/-	Cheque No. 648979 dated 25.07.2024

4.3 LINGCHOM TIKJEK- Non-availability of Comparative Statement

During the course of audit, it was observed that the Comparative Statement was not produced in support of the following works executed under the State Finance Commission (SFC) fund:

- Installation of Solar Light from Green Valley Academy to Tikjek Zero – ₹1,20,000

Cheque No. 530938 dated 11.12.2024

- Installation of Solar Light at Upper Lingchom – ₹1,00,000

Cheque No. 530935 dated 11.12.2024

In the absence of Comparative Statements, the process of quotation comparison and selection of the lowest or most suitable bidder could not be verified in audit. This constitutes a deviation from prescribed procurement and financial procedures, and consequently, the transparency, economy, and justification of expenditure amounting to ₹2,20,000 could not be ascertained.

4.4 SINGYANG CHUMBUNG: Non-production of Measurement Book (MB) and Form No. 24

During the course of audit, it was observed that the **Measurement Book (MB)** and **Form No. 24** were **not produced** in support of the following works, even though the payments had already been made:

- **Construction of Protection Wall – ₹57,000**

Cheque No. **526372 dated 25.10.2024** (SFC Fund)

- **Construction of CSC at Crematory Centre, Radong – ₹54,000**

Paid through **PFMS on 22.07.2024** (15th Finance Commission)

- **Construction of CSC at Srajong Club Centre, Upper Chumbung – ₹47,000**

Paid through **PFMS on 30.10.2024** (15th Finance Commission)

- **Repair of Water Pipeline at 3rd Mile, Sardong – ₹1,00,000**

Paid through **PFMS on 30.10.2024** (15th Finance Commission)

Thus, the genuineness and correctness of expenditure amounting to **₹2,58,000** could not be verified in audit due to non-availability of mandatory supporting records. This is in violation of the prescribed financial rules which require proper measurement and certification of works prior to release of payment.

4.5 Karey Kabrey GPU

The audit observed that records supporting the following two expenditures incurred by Karey Kabrey GPU were not produced for verification:

- a) Purchase of Office Items

Amount: ₹4,30,000

Date: 30/09/2024

Cheque No.: 546711

- b) Purchase of Aadhaar Card Setup Machine

Amount: ₹70,000

Date: 25/11/2024

Cheque No.: 546710

4.6-Kateng Pamphok GPU: Non-production of Records for Various Payments Made by GPU

During the course of audit, it was observed that the Gram Panchayat Unit incurred the following expenditures during FY 2024–25. However, supporting records such as vouchers, bills, sanction orders, utilization certificates, quotations/procurement files, and work orders were not produced for verification:

Purpose	Amount (₹)	Cheque No.	Date
Awareness Program on JJM	20,000/-	530869	29/04/2024
Purchases of stationeries	37,950/-	841045	16/12/2024
Exposure Tour	67,500/-	841052	26/12/2024

The auditee failed to produce supporting records for payments totaling ₹1,25,450/-, comprising program expenditure and procurement of assets.

The non-production of records impairs audit verification and raises concerns over transparency and accountability in the use of public funds.

4.7:Sripatam Gagyong GPU:Non-Production of Records for Specified Expenditures under 15th FC

During the audit of Sripatam Gagyong GPU for the financial year 2024–25, it was observed that records supporting specific payments made under the 15th Finance Commission funds were not produced for audit verification. The details of the unverified transactions are as follows:

Sl. No.	Date of Expenditure	Purpose	Amount (₹)
1	09/08/2024	Ambulance Service	2,00,000
2	04/06/2024	Supply of Water Supply Materials	1,80,000
3	04/10/2024	Health Camp	1,50,000
		Total	5,30,000

Despite repeated requests, the following records related to the above expenditures were not provided:

- Sanction orders / administrative approvals
- Work orders or procurement documents
- Bills/invoices and payment vouchers
- Utilization certificates (where applicable)
- Resolutions of the Gram Panchayat or Gram Sabha
- Supporting documentation such as attendance registers (for health camp), delivery challans, service agreements (for ambulance), etc.

4.8: Non Production of Files under various GPUs

As per section 87 of the Sikkim Panchayat Act-1993, “The Sabhapati or, as the case may be, the Adhakshaya shall produce, or cause to be produced to the auditor all such accounts of the fund of the Gram Panchayat or the Zilla Panchayat concerned as may be required by the auditor.”

A. NANDOK SARAMSA GPU-

However, the following files were not produced during the time of auditing:

Sl No.	Particulars	Amount
1	Fencing at Tambutar	3,00,000
2	Repair of toilet at L. Nandok JHS	1,00,000

B. BERING TAREYTHANG GPU:

However, the following files were not produced during the time of auditing:

SI No.	Particulars	Amount	Cheque no
1	Purchase of stationary	40,200	790673 28-3-25

C. PACHEY SAMSING GPU:

However, the following files were not produced during the time of auditing:

SI No.	Particulars	Amount	Cheque no
1	Purchase of office stationery	1,55,200	027924 30-09-24

D. RHENOCK GPU

However, the following files were not produced during the time of auditing:

SI No.	Particulars	Amount	Cheque no
1	Payment to Digital World Computer Institute	2,10,000	094458 09-10-24

4.9 Khaniserbong- Non production of records

All financial transactions must be supported with vouchers, bills, and relevant records. Non-production of the supporting documents for the above payments constitutes a violation of the prescribed rules. During the course of audit, the following transactions could not be verified as the relevant supporting records were not produced:

SI. No.	Particulars	Cheque no./date	Amount
1.	Purchase of TV Initialisation of CCTV	635888/15.06.2024	93000/-
2.	Supply of fittings materials	635872/22.08.2024	72400/-
3.	Paid for sports activities	642053/30.09.2024	50,000/-

The concerned authority should ensure that all supporting records for payments are maintained and promptly produced during audit. It is suggested to produce the above files & records to the audit within 4 weeks of receipt of the observation.

4.10 Parengaon -Non production of records

The Sachiva shall ensure the safe custody of all books of accounts and records of the Gram Panchayat and shall produce them for inspection to the auditors authorised by the Government.

However, GP had incurred the following expenditures from 15th FC scheme during the audited periods as per their cash book & bank statement but they could not produce records & files for the below mentioned works to the audit team for scrutiny.

SI. No.	Particulars	Cheque no./date	Amount
1.	Construction of work from 15 th fc untied fund (no details)	PFMS/05.10.2024	187907/-
2.	Paid for SBM for Swachh Diwas/ Iron wall painting	PFMS/24.10.2024	70650/-
3.	Construction of work from 15 th FC (no details)	PFMS/10.01.2025	189546/-

The concerned authority should ensure that all records related to the above payments are properly maintained and produced for audit verification.

4.11 RIBDI BHARENG GPU : Absence of Payment Documentation in the file

As per established documentation standards, internal control policies, and good governance practices, every financial transaction must be supported by complete, accurate, and verifiable payment documentation. This includes payment vouchers, approvals, invoices, receipts and evidence of remittance. Maintaining comprehensive supporting documents is essential for ensuring transparency in financial operations and safeguarding the organization against errors, fraud, and unauthorized transactions. Proper documentation also facilitates effective monitoring, reconciliation, and accountability forming a critical component of a strong internal control environment.

During the course of audit, it was found the noting in the file reviewed lacked the required detailed evidence of disbursement of payment. The absence of these records prevents verification of whether the payments were duly authorised, accurately processed and aligned with the underlying transactions. The details of the works/purchases without the corresponding payment documentation in the note sheet page of the file are outlined as below:-

PARTICULARS	PAYMENT DETAILS	AMOUNT
Development of child friendly room at Bharang PS	Through PFMS	1,50,000/-
Repair of fencing at Ribdi Bhareng GPU		1,71,000/-

As per standard documentation and internal control requirements, all financial transactions should be supported by proper and complete payment documentation. Management should ensure that **all payment-related documents** are properly maintained, filed and attached with corresponding transaction records. A periodic review process should also be implemented to confirm completeness of documentation.

5. DIVERSION OF FUND

5.1 Maneybong Dentam: Diversion of Funds under Thematic Programme

An amount of ₹1,32,000/- was sanctioned and booked under the theme “**Village with Good Governance – Undertaking Disaster Preparedness Activities (Poverty Alleviation Programme)**”. However, scrutiny of records revealed that the said amount was **utilized for purchase of office stationery**, which is **not related to disaster preparedness or poverty alleviation activities**.

Funds released under a specific scheme or theme are required to be utilized **strictly for the approved purpose** as per the scheme guidelines.

Utilization of scheme funds for office stationery constitutes **misutilization and diversion of funds**, defeating the objective of the programme.

5.2 Turung Mamring GPU: Irregular Transfer of ₹2,35,314 from 5th SFC Fund to OSR Account

During the audit of 21 Turung Mamring Gram Panchayat Unit (GPU) for the financial year 2024–2025, it was observed that an amount of ₹2,35,314 was transferred from the 5th State Finance Commission (SFC) grant account to the Own Source Revenue (OSR) account on 21/06/2024, vide Cheque No. 510542.

This transaction represents a diversion of earmarked grant-in-aid funds, and no supporting documentation or sanction from the competent authority was provided to justify the transfer. The 5th SFC funds are released by the State Government with specific objectives, primarily to strengthen the financial capacity of Panchayati Raj Institutions for delivering core civic services.

As per Rule 44 of the Sikkim Panchayati Raj (Financial) Rules, 2001, all grants-in-aid received by a Gram Panchayat must be utilized strictly for the purposes for which they are sanctioned, and should be maintained in a separate account. Furthermore, the diversion or re-appropriation of such funds to

other accounts (such as OSR) without explicit government approval constitutes a violation of financial propriety and Panchayati Raj fund management norms.

This irregular transfer undermines financial transparency and may result in misrepresentation of actual expenditure, hindering the tracking of grant fund utilization and potentially affecting the GPU's eligibility for future fund allocations.

5.3 Chota Samdong GPU – Diversion of funds

As per the Annual Plan and Gram Sabha Resolution, funds were approved for supporting bio-fertilizer initiatives. However, during scrutiny of records, it was observed that the funds were diverted and utilized for purposes other than those approved, such as purchasing furniture for the VLW Centre, Church, ICDS Schools, etc., in the form of donations.

A payment of ₹1,79,500/- was made in favour of Shri Navin Gurung vide Cheque No. 632342 dated 21.09.2024 from the SFC Fund.

This constitutes a diversion of funds, as the expenditure was not utilized for the purpose sanctioned by the Gram Sabha, thereby violating the principles of financial propriety and accountability under the Sikkim Financial Rules, 1979.

Audit has recommended that the concerned authority to ensure that all expenditures strictly adhere to approved purposes and that prior re-appropriation approval be obtained before diverting funds from sanctioned schemes.

5.4 Namphing -Irregular Diversion of COVID-19 Fund and Non-maintenance of Records -

Audit scrutiny revealed that an amount of ₹2,43,333/- was sanctioned during 2022-23 for preparation of COVID-19. The fund, however, remained unutilised for the intended purpose and was later diverted/donated for distribution of essential commodities and purchase of furniture for VLW, Church, ICDS centre, etc. The office also failed to adhere to the Gram Panchayat Development Plan (GPDP) annual plan, in violation of mandated procedures for planning and utilisation of funds. In addition, no acknowledgement of receipt of commodities/furniture was obtained from the ICDS centre, rendering the actual utilisation unverifiable in audit.

Further, an advance of ₹1,50,000/- was withdrawn for the purpose, but no Advance Register was maintained to record the transaction.

6. NON-REMITTANCE OF DEDUCTIONS/ RECOVERIES FROM VOUCHERS/ BILLS

All money received by or on behalf of the Government shall be brought into the Government account without delay. As per the rule, the head of every officer shall be responsible to ensure that all revenue, receipts, or other sums due to the Government are regularly and promptly assessed, realized, and credited to the Government account under the relevant head of account.

6.1 SAPREYNAGI GPU: Non deduction/Remittance of Stamp Duty on few expenditure transactions

As per the provisions of the *Indian Stamp Act, 1899* (as applicable to the State of Sikkim) and relevant State Government instructions, **stamp duty is required to be deducted** on execution of contracts, agreements, or other instruments involving financial transactions with contractors, suppliers, or service providers. The purpose of this deduction is to ensure legal validity of the agreement and compliance with statutory requirements.

During the audit, it was observed that stamp duty was not deducted/paid on the payment made to the recipient on the following expenditures:-

Cheque No	Date	Amount	Nature of Expenditure
440108	21/08/2024	17,480/-	Office Expenses
440111	16/12/2024	37,000/-	CSC Maintenance

The stamp duty applicable for the above transaction was neither deducted nor accounted for under the proper head. Consequently, the payment was made in full, contrary to statutory requirements, indicating non-compliance and potential loss to government revenue. Proper deduction and remittance of stamp duty are mandatory prior to or at the time of execution of financial transactions. The GPU should ensure that **stamp duty is duly deducted and remitted** to the competent authority at the time of making payments in compliance with the *Indian Stamp Act, 1899* and the relevant State Government notifications.

6.2 SANGADORJEE GPU: Non observations of Stamp Duty provisions in payment transactions

As per the provisions of the *Indian Stamp Act, 1899* (as applicable to the State of Sikkim) and relevant State Government instructions, *stamp duty is required to be deducted* on execution of contracts, agreements or other instruments involving financial transactions with contractors, suppliers, or service providers. The purpose of this deduction is to ensure legal validity of the agreement and compliance with statutory requirements.

During the examination of records, it was noted that payments to suppliers/contractors were released without deducting the applicable stamp duty as mandated under the relevant rules. For example, scrutiny showed that an amount of ₹96,200/- (**Cheque No. 449339 dated 03/09/2024**) was disbursed for procurement of stationery items. The stamp duty payable on this transaction was neither calculated nor recorded under the appropriate account head and the full amount was released without the mandatory deduction. This reflects non-adherence to statutory requirements, resulting in financial irregularity and avoidable loss of government revenue.

Proper deduction and remittance of stamp duty are statutory requirements that must be fulfilled prior to or at the time of executing financial transactions. The GPU is responsible for ensuring that stamp duty is correctly deducted and promptly remitted to the competent authority in accordance with the *Indian Stamp Act, 1899* and the applicable State Government notifications.

6.3 THARPU GPU : Non observations of Stamp Duty provisions in payment transactions

As per the provisions of the *Indian Stamp Act, 1899* (as applicable to the State of Sikkim) and relevant State Government instructions, **stamp duty is required to be deducted** on execution of contracts, agreements, or other instruments involving financial transactions with contractors, suppliers, or service providers. The purpose of this deduction is to ensure legal validity of the agreement and compliance with statutory requirements.

During the scrutiny of records, it was observed that **payments were made to suppliers/contractors without deduction of the applicable stamp duty** as required under the rule. For instance, scrutiny revealed that a payment amounting to ₹1,98,889/- (**Cheque No. 523985 dated 03/07/2024**) was made towards the purchase of furniture, however, the stamp duty chargeable on the transaction was not accounted under the appropriate head and entire amount being disbursed without deduction of the statutory duty. This indicates **non-compliance with statutory provisions**, resulting in potential financial irregularity and loss of government revenue.

Proper deduction and remittance of stamp duty are mandatory prior to or at the time of execution of financial transactions. The GPU should ensure that **stamp duty is duly deducted and remitted** to the competent authority at the time of making payments in compliance with the *Indian Stamp Act, 1899* and the relevant State Government notifications. Hence, further necessary corrective actions may be taken for past instances of non-deduction to regularize the transactions.

7. ADVANCES

Under rule 6 subsection (i) of Sikkim Gram Panchayat (Financial) Rules, 2003 notified vide Notification No.35(159)/93-94/RDD/P-III/33 dated 03-07-2003, "No money shall be drawn from the Bank unless it

is required for immediate disbursement.

” Also as per rule 28 of the Sikkim Financial Rules-1979, “No money shall be drawn from the bank unless it is required for immediate disbursement. It is not permissible to draw money from the bank in anticipation of demands or to prevent the lapse of budget grant.”

7.1: Advance payment of Panchayat Honorarium

Scrutiny of records of various Gram Panchayat Units (GPUs) revealed a recurring and systemic practice of advance, premature, or irregular disbursement of Panchayat Honorarium in contravention of the prescribed financial rules.

A. GITAN KARMATAR GPU

Scrutiny of records revealed that there exists a **system of granting salary advance to Panchayat**, which is **against the prescribed financial rules**. In this connection, an amount of **₹2,58,000/-** was paid vide Cheque No. **083812**. Further, an amount of **₹1,29,000/-** was also paid to the **Panchayat President** vide Cheque No. **081853** as advance.

B. MANEYBONG DENTAM

An amount of **₹2,95,000/-** was paid as **advance Panchayat honorarium** vide **Cheque No. 085241** dated **01.06.2024**. However, scrutiny of records revealed that the payment was made **without proper adjustment** against actual disbursement and **without maintaining supporting honorarium payment details or adjustment statements**.

C. YANGTEY

Scrutiny of records revealed that **advance payment of Panchayat honorarium** was repeatedly made in violation of prescribed financial rules. The following advance payments were noticed:

- Cheque No. 294302 dated 31.05.2024 – Amount ₹3,87,000/-
- Cheque No. 526410 dated 10.10.2024 – Amount ₹2,58,000/-
- Cheque No. 158351 dated 29.10.2024 – Amount ₹2,58,000/-

D. KHECHUPERI

On scrutiny of the cash book it was observed Honorarium paid in advance to elected members of the GPU.

Sl. No.	Particulars	Cheque no	Date	Amount
1.	Honorarium to Vice President from Sept-October 2024.	692963	10/10/2024	38,000
2.	Honorarium to Panchayat members from Sept-October 2024.	692960	10/10/2024	36,000
3.	Honorarium to Panchayat members from Sept-October 2024.	692961	10/10/2024	36,000
4.	Honorarium to President from Sept-October 2024.	692964	10/10/2024	40,000
5.	Honorarium to Panchayat members disbursed upto March 2025.	692987	12/02/2025	2,79,000

E. LOWER TIMBURBONG GPU :

During the scrutiny of cash book records, it was observed that the honorarium paid from the month of September 2024 till December 2024 was drawn as an advance and credited into the accounts of the Panchayat President, Vice President, and Panchayat Members, which is not permissible under the aforementioned rules.

The details of the advance honorarium payment recorded in the cash book is as follows:

Date	Particulars	Cheque no	Amount
25/09/2024	Being amount paid to Panchayat President on a/c of honorarium of all Panchayats for month of September 2024 to December 2024	103360	3.72.000

F. MANGSARI MANGERJUNG GPU

During the scrutiny of cash book records, it was observed that the honorarium pertaining to certain months of financial year 2024–25 was drawn as an advance and credited to the accounts of the elected representatives of the Panchayat in contravention of the relevant rules. The following table provides details of the advance honorarium payments as recorded in the cash book:-

Date	Particulars	Cheque no	Amount
12/07/2024	Bill prepared for advance honorarium from July to September 2024	316225	60,000/-
10/02/2025	By bank amount paid for honorarium as advance from Jan to Feb 2025	639899	36,000/-
15/02/2025	By bank amount paid as honorarium for the month of May 2025	770001	20,000/-
04/03/2025	By bank amount paid for honorarium as advance	770004	20,000/-

G. LUNGCHOK KAMAREY GPU:

During the scrutiny of cash book records, it was observed that the Honorarium paid to elected members of the GPU for month June 2024 was drawn 28 days as an advance into the accounts of Panchayat President, Vice President and Panchayat members which is impermissible. The details of honorarium paid as advance in cash book is illustrated below:-

Date	Particulars	Cheque no	Amount
03/06/2024	Being amount released to PP as honorarium of Panchayats for the month of April to June 2024	202640	3,87,000

H. SANGANATH GPU :

During the scrutiny of cash book records, it was observed that the Honorarium paid to elected members of the GPU for the month of was drawn as an advance for 26 days in June 2024, 18 days in August 2024, 29 days in October 2024, 19 days in February 2025, 50 days in the month of March 2025 into the accounts of Panchayat President, Vice President and Panchayat members which is prohibited. The details of honorarium paid as advance in cash book is illustrated below:-

Date	Particulars	Cheque no	Amount
05/06/2024	Being payment made to Panchayat Honorarium for the month of April to June 2024	116699	2,32,000
14/08/2024	Being payment made for Panchayat Honorarium for the month of July to Aug 2024	116656	1,86,000
03/10/2024	Being payment made for Panchayat Honorarium for the month of Sept to Oct 2024	116669	1,86,000
10/02/2025	Being payment made for Panchayat Honorarium for the month of Feb to March 2025	132122	1,86,000

As per financial rules, **salary is required to be paid only after it becomes due**, and **advance payment of salary is not permissible** except under specific provisions with the approval of the competent authority.

7.2 RONGLI CHANGEYLAKHA GPU: Non Adjustment of Advance Payments

Audit scrutiny revealed that about 90% advance payments were released for certain expenditures listed below. However, it was noticed that the balance 10% of the payments was not adjusted, and no supporting documents such as adjustment vouchers were found in the records.

SL NO	F.Y.	PARTICULARS	TO WHOM PAID	SCHEME	ADVANCE AMOUNT	SANCTIONED AMOUNT	CHEQUE NO & DATE
1	2024-25	Computer Training	Hi-Tech Institute	5 th SFC	1,00,000	1,38,166	052243 12-04-2024
2	2024-25	Computer Training	Hi-Tech Institute	5 th SFC	80,000	1,20,425	062401 27-09-2024
3	2024-25	Computer Training	Hi-Tech Institute	5 th SFC	90,000	1,20,425	062415 24-12-2024

As per Sikkim Financial Rules, 1979, all advances must be adjusted and accounted for immediately after the purpose for which they were sanctioned has been fulfilled. Failure to adjust advances within a reasonable period indicates weak financial control and non-compliance with prescribed accounting procedures.

8. NON-UTILIZATION OF FUND

8.1 DEYTHANG GPU: UNUTILISED FUND OF BIODIVERSITY MANAGEMENT

It was observed that an amount of ₹93,910 available under the Biodiversity Management Fund has remained unutilised till date. The non-utilisation of the fund indicates inadequate planning and delayed execution of activities related to biodiversity conservation and management. Such delays may adversely affect the implementation of programmes intended for the protection, preservation, and sustainable use of local biodiversity resources.

The continued non-utilisation of the allocated fund defeats the purpose for which the fund was created and may hinder timely conservation efforts.

8.2 Parking / Low Utilisation of 15th Finance Commission (15th FC) Grants during FY 2024–25

The 15th Finance Commission (15th FC) grants are allocated to strengthen local self-governance, improve basic public services, ensure infrastructure development, promote transparency, and enhance socio-economic well-being. The grants are intended to be utilised in a timely and planned manner through proper implementation of approved Gram Panchayat Development Plans (GPDs). However, scrutiny of cash books, bank statements and related records of various Gram Panchayat Units (GPUs) revealed substantial unutilised balances under the 15th FC Account during Financial Year 2024–25, indicating parking of funds, delayed execution of works, and weak financial planning.

Sl. No.	Name of GPU	Total Receipts (₹)	Expenditure (₹)	Closing Balance (₹)	Utilisation %
1	Karzi Magnam GPU	8,49,155	20,000	8,29,155	2.42%
2	Khamdong GPU	70,10,163	3,10,180	66,99,983	4.42%
3	Sirwani GPU	48,32,546	4,53,370	43,79,176	9.38%
4	Namcheybong GPU	97,73,567	26,07,190	71,66,377	26.68%
5	Amba GPU	33,87,420	4,98,737	28,88,683	14.73%
6	Chalamthang Pacheykhani GPU	47,47,916	10,08,526	37,39,390	21.25%

7	Taza GPU	25,66,637	2,78,890	22,87,747	10.86%
8	Dalapchand GPU	38,51,265	7,74,604	30,76,661	20.11%
9	Regu GPU	35,85,739	8,01,213	27,84,526	22.36%
10	Rolep Lamaten GPU	22,85,796	6,33,346	16,52,450	27.71%
11	Rongli Changeylakha GPU	31,17,098	8,33,311	22,83,787	26.73%
12	Aritar GPU	54,59,649	11,68,070	42,91,579	21.39%
13	Rhenock GPU	1,08,35,236	28,09,949	80,25,287	25.93%
14	Takuthang GPU	49,32,935	9,62,200	39,70,734	19.51%
15	Martam Nazitam GPU	67,97,645	17,73,218	50,24,427	26.09%
16	Damthang GPU	36,52,509	6,07,378	30,45,131	16.63%
17	Rongbul GPU	23,21,463	3,69,705	19,51,758	15.92%
18	Denchung GPU	12,49,400	2,09,600	10,39,800	16.78%
19	Upper Thambong GPU	67,18,710	7,34,702	59,84,008	10.93%
20	Lower Fambong GPU	65,90,961	12,05,278	53,85,683	18.29%
21	Sukrabarey Suntaley GPU	83,49,447	18,77,543	64,71,904	22.49%
22	Turuk Ramabong GPU	75,03,732	10,85,912	64,17,820	14.47%

Across the above GPUs, a substantial portion of 15th FC grants remained unutilised at the end of FY 2024–25. In several cases:

- Utilisation percentage was extremely low.
- Only one or two civil works were executed.
- No works were undertaken as per approved annual action plan.
- Funds were retained in bank accounts instead of being deployed for intended developmental purposes.

9. EXCESS PAYMENT

9.1 – Kyongsola GPU - Excess payment due to deviation from quoted rate by supplier

Audit scrutiny revealed that payment was made to M/s Sailesh Trading for the installation of garbage disposal bins at five wards under the 15th Finance Commission fund, vide cheque dated 24.05.2024.

As per the quotation submitted by the supplier, the rate quoted was ₹36,000/- per bin (inclusive of CGST and SGST). However, it was observed that the Gram Panchayat Unit (GPU) issued a supply order at ₹37,620/- per bin, and payment was made accordingly. This resulted in an excess payment of ₹1,620/- per bin, amounting to a total overpayment of ₹8,100/- (₹1,620 × 5 bins).

It is pertinent to note that the supplier himself had quoted a lower rate in the submitted quotation; therefore, the basis on which the GPU approved and processed payment at an enhanced rate remains unjustified and irregular. Such action indicates weak internal controls.

10. DOUBTFUL EXPENDITURE

10.1 RONGAY TATHANGCHEN GPU: Irregular Withdrawal of Scheme Funds through Cheques Issued in Individual Names

Audit scrutiny of the financial records revealed serious irregularities in the handling of funds under the Own Source Revenue (OSR) as well as 5th State Finance Commission (SFC) account. It was observed that most payments from the OSR account were made by issuing cheques in the name of

Village Grievances Redressal Assistant (VGRA). Further, there were several instances where funds from the 5th SFC and OSR account were withdrawn through cheques issued to PDAs and VRGAs in their personal names.

As per the present norms, public funds must be withdrawn and utilized strictly for official purposes with payments made to vendors, contractors or beneficiaries against duly sanctioned works. Issuing cheques in the name of individual officials contravenes the principle of financial propriety and exposes the system to risks of misutilisation, diversion of funds or fraudulent withdrawals.

Sl No.	Particulars	Amount (Rs)
1	Total payment made to VGRA	4,75,000 approx
2	Total payment made to PDA	4,40,000 approx

11. WASTEFUL EXPENDITURE

11.1 GNATHANG GPU: Excessive Expenditure on Garbage Truck Operation relative to Revenue

During the audit of Gnathang Gram Panchayat Unit (GPU) for the financial year 2024–25, it was found that the GPU had generated a total own source revenue (OSR) of ₹7,32,337. However, a substantial expenditure of ₹11,03,684 was incurred on the operation and maintenance of a garbage truck, excluding the driver's salary. This includes:

- Repairs: ₹4,60,640
- Tyre Purchase: ₹1,20,800
- Dumping Charges: ₹1,60,000
- Fuel: ₹3,62,244

The details of which have been listed below:

REPAIR OF GARBAGE TRUCK

SL NO	SCHEME	AMOUNT	CHEQUE NO	DATE
1	OSR	95000	459275	26-04-24
2	OSR	39018	582851	27-05-24
3	5 TH SFC	25500	016027	30-11-24
4	5 TH SFC	22080	016044	12-02-25
5	5 TH SFC	4130	016039	17-01-25
6	15 TH FC	141000	PFMS	23-07-24
7	15 TH FC	31951	PFMS	07-01-25
8	15 TH FC	743	PFMS	14-01-25
9	15 TH FC	58218	PFMS	26-03-25
10	OSR	43,000	582854	04-07-24
	TOTAL	4,60,640		

PURCHASE OF TYRE FOR GARBAGE TRUCK

SL NO	SCHEME	AMOUNT	CHEQUE NO	DATE
1	15 TH FC	77,000 (6NOS)	PFMS	23-07-24
2	15 TH FC	43,800 (4 NOS)	PFMS	19-11-24
	TOTAL	1,20,800		

PAYMENT FOR DUMPING OF GARBAGE AT 32 NO.

SL NO	SCHEME	AMOUNT	CHEQUE NO	DATE
1	5 TH SFC	60,000	012166	11-06-24

2	5 TH SFC	30,000	016030	12-12-24
3	OSR	40,000	582853	15-06-24
4	OSR	30,000	582863	09-09-24
	TOTAL	1,60,000		

PAYMENT FOR HSD OF GARBAGE TRUCK

SL NO	SCHEME	AMOUNT	CHEQUE NO	DATE
1	OSR	32762	582856	02-08-24
2	OSR	34036	582861	12-09-24
3	OSR	39342	582864	30-10-24
4	OSR	37662	582865	02-12-24
5	OSR	37920	582866	17-12-24
6	OSR	18309	582867	06-02-25
7	OSR	42283	582869	11-03-25
8	OSR	19094	582872	31-03-25
9	5 TH SFC	100836	012165	11-06-24
	TOTAL	3,62,244		

GRAND TOTAL: Rs 11,03,684 /-

This expenditure was met from a combination of 15th Finance Commission, 5th State Finance Commission (SFC), and Own Source Revenue (OSR) funds.

Although a revenue recovery mechanism (e.g., user charges or garbage collection fees) may have been put in place by the GPU, it may be insufficient, as the total revenue receipts remain significantly lower than the expenditure on waste management operations.

11.2 Boomtar - Excessive Office Expenses

According to Sikkim Financial Rule 1979, Rule 11, every officer incurring or authorising expenditure from public moneys should be guided by high standard of financial propriety. Expenditure from public money should not be incurred for the benefit of a particular person or a section of the people unless in exceptional cases.

However, during verification of accounts for FY 2024–25, it was observed that the expenditure incurred under Office Expenses appears unusually high. As per the requisition furnished by the GPU, the expenditure incurred for office purposes are as follows:

- From OSR: ₹ 1,14,870/-
 - From 5th SFC: ₹ 1,80,288/-
- Total Office Expenses: ₹ 2,95,158/-

Such high expenditure under office expenses raises concerns whether all expenditures were genuinely required for official functioning and whether proper financial prudence and economic measures were followed. Any inflated or unjustified spending violates the financial propriety standards expected of public officers.

12. IRREGULARITIES REGARDING REVENUE

12.1 LATUK BARAPATHING GPU: Minimal Revenue Generation

Generating revenue in a Gram Panchayat is essential for fostering local development and improving governance. It provides the financial foundation needed to meet local needs, improve infrastructure and services, and empower the public for long term growth and prosperity. Many factors help improve the revenue generation of the GPU such as Trade License, NOC, Tender form, etc.

The revenue generated by Latuk Barapathing GPU for the financial year 2024-25 is Rs 12,520/- which in comparison to other GPUs is very less. This lack of financial resources in term reduces the ability of the

GPU to address local needs and increases its dependency on state or central funds.

The details are given in the table below:

SCHEME	OPENING BALANCE	RECEIPT	INTEREST	TOTAL RECEIPT	PAYMENT	CLOSING BALANCE
OSR	213150	12,520	5563	231233	86,800	1,44,433

13.2 RIWA MACHONG GPU: Minimal Revenue Generation

Generating revenue in a Gram Panchayat is essential for fostering local development and improving governance. It provides the financial foundation needed to meet local needs, improve infrastructure and services, and empower the public for long term growth and prosperity. Many factors help improve the revenue generation of the GPU such as Trade License, NOC, Tender form, etc.

The revenue generated by Riwa Machong GPU for the financial year 2024-25 is Rs 23,117/- which in comparison to other GPUs is very less. This lack of financial resources in term reduces the ability of the GPU to address local needs and increases its dependency on state or central funds.

The details are given in the table below:

SCHEME	OPENING BALANCE	RECEIPT	INTEREST	TOTAL RECEIPT	PAYMENT	CLOSING BALANCE
OSR	213860	23,117	8174	245151	19,074	2,26,077

13. MISCELLANEOUS

13.1 ASSAM LINGZEY GPU: Irregular Payment of Salary and Honorarium through PAA's Account

Audit scrutiny revealed that the salaries of the PDA, PAA, BFE as well as the panchayat members, were not credited to their respective individual bank accounts. Instead, these payments were routed through the PAA's personal bank account. It must be realized by the GPU that all salary and honorarium must be made directly to the accounts of the respective employees/beneficiaries to ensure accountability and accuracy. Routing such payments through a third party's account is highly irregular and creates risk.

The details are as under:

SI No.	Particulars	Amount	Cheque no
1	Salary of PAA,PDAand BFE for April & May 2025	1,02,286	111483_05-06-24
2	Panchayat Honorarium paid from April to June 2025	2,95,000	111482_05-06-24

13.2 BHUSUK NAITAM GPU: Negative Closing Balance and Improper Scheme-wise Fund Management

During the audit of Bhusuk Naitam Gram Panchayat Unit (GPU) for the financial year 2024-25, it was observed that the scheme-wise financial position revealed a negative closing balance of ₹(-14,404.71) under the 5th State Finance Commission (SFC) fund. Upon inquiry, the negative balance was attributed to technical issues, as the 5th SFC account was being operated jointly with the GIA and 4th SFC accounts.

It is important to note that the GPU does not maintain a Contingent Audit Register, which is essential for monitoring the scheme-wise financial position. Contingent Audit Register is of utmost importance if the funds of more than one scheme are being credited in a single account. Such a register should reflect the different heads, opening balance, receipts, expenditure, progressive totals, and closing balance of each scheme. The absence of this register hampers effective financial control and internal monitoring.

13.3 Lingchom Tingda– Paid to Panchayat member instead of Supplier

On scrutiny of payment records, it was observed that on 10.03.2025, two cheques were released for procurement of furniture and water purifiers. The items were purchased from Himalayan Care Furniture and for supply to Schools/ICDS respectively.

As per SFR Rule, all contingent and miscellaneous payments must be drawn in the name of the actual payee/supplier. However, instead of issuing the cheques in favour of the suppliers, the cheques were drawn in the name of Panchayat Member of the GPU, which is irregular. Releasing cheques in the name of an elected Panchayat Member instead of the supplier constitutes a clear violation of the above rules.

Sl. No.	Particulars	Cheque no/date	Amount
1.	Supply of Furniture	938144/10.03.2025	1,16,000/-
2.	Supply of water purifier to Schools/ICDS	9938145/10.03.2025	1,70,000/-

13.4 Irregularities in pilgrimage tour - Mikkhola

A pilgrimage tour for senior citizens was organized by the GPU during the financial year 2024–25 wherein an expenditure of ₹1,10,000/- was incurred from the 5th SFC scheme vide Cheque No. 103043 dated 29.01.2025.

On scrutiny of the related records, the following irregularities were observed:

- The beneficiaries list of participants was not found on record.
- Supporting documents such as bus tickets were not enclosed with the vouchers.

The absence of supporting records and beneficiary details indicates non-compliance with prescribed financial procedures and creates doubt on its proper utilization of public funds.

13.5 Excess Requisition of Grants under GIA (Salaries)

The Grant-in-Aid under Salaries is provided by the State Government to Gram Panchayat Units (GPUs) to ensure the smooth functioning of local self-governance as mandated under the Sikkim Panchayat Act, 1993. This financial assistance is specifically intended to meet the salary obligations of duly sanctioned and approved staff engaged in the administrative, developmental, and service-delivery functions of the GPU. By extending GIA-Salaries, the Government aims to support the operational capacity of grassroots institutions, prevent disruptions in essential public services, and reduce the financial burden on local bodies that may not have adequate internal revenue sources. The provision of these salary grants enables GPUs to maintain continuity in governance activities, uphold accountability in staff deployment, and ensure that Panchayat institutions remain functional, efficient, and capable of addressing community needs.

During examination of GIA (Salaries) accounts for FY 2024–25, it was observed that:

- Unutilized balances remained at the close of the financial year.

GPU-wise Details of Excess Requisition

Sl. No.	Name of GPU	Unutilized Closing Balance	Observation
1	Lungchok Salangdang GPU	3,75,964	Requisition exceeded actual admissible salary requirement.
2	Siktam Tikpur GPU	2,95,560	Grant drawn higher than permissible salary expenditure.

13.6 SANGANATH GPU : Inappropriate handling of files and documents

File is a collection of data which acts as a proof of all the approval and sanction made while any activity is being carried out and filing is the central record keeping system of every Gram Panchayat unit and it should be done appropriate in order to ensure that the documents are kept safe and also act a reference or proof when it is required.

However, scrutiny of the file records revealed that the file index was not maintained and file number was also not entered in almost all the files associated with the GPU.

13.7 Phensang- Irregularities under OSR fund

On scrutiny of the records relating to the Beautification Project at Bakcha Bridge, it was observed that a payment of ₹3,16,997/- was made to the contractor as mobilisation bill from Own Source Revenue (OSR) funds vide Cheque No. 568146 dated 13.08.2024. The total sanctioned amount for the work was ₹5,00,000/-.

As per the GST norms & the approved estimate of work, ₹75,630/- was to be deducted at source as GST-TDS towards statutory deductions; however, it was found that the entire amount was released to the contractor without any deduction, which is in violation of financial rules and deduction procedures.

Other discrepancies observed:

- i.No Commercial Tax Invoice was attached to the file.
- ii.Memorandum of Payment (Form 24) was not furnished.
- iii.Bills were not certified by the competent authority.
- iv.Pass Order and Pay Order were not recorded in the Measurement Book (MB).

The above irregularities indicate serious lapses in financial control and procedural compliance during execution of works. Non-deduction of statutory dues such as GST and other applicable taxes leads to loss of revenue to the Government. Absence of certification and documentation raises doubts over the authenticity and quality of work executed.

B. AUDIT PARAS OF ZILLA PANCHAYAT

Some of the selected audit objections of Zilla Panchayats for the financial year 2024-25 raised during the year 2025-26 are enumerated below:

1. NON ADHERENCE TO RULE

1.1 Non-Maintenance of Revenue Collection Register

This observation addresses the failure of the Namchi District Zilla Panchayat to maintain a Revenue Collection Register as mandated by Sikkim Financial Rule chapter IV "Revenue Receipts" rule 50 . The absence of a properly maintained register has implications for financial management and transparency in revenue collection.

- During the period of audit, it was observed that the Namchi District Zilla Panchayat has not maintained a Revenue Collection Register for the period under review. The absence of this register hinders the ability to track and verify revenue collections, which affects transparency and accountability. It also complicates the audit process and financial oversight.

DETAILS OF REVENUE RECEIPT FOR THE FY 2024- 2025

SI NO.	YEAR	CATEGORY/HEAD	AMOUNT (RS)
1	2024-2025	Parking Fees	81000
2	2024-2025	ATM Rent	90735
3	2024-2025	Canteen	22400
4	2024-2025	Guest House	43,000
5	2024-2025	Interest earned	25016
TOTAL			<u>262151</u>

Impact on Financial Management: -

- Lack of Transparency:** Without a proper register, there is a risk of unrecorded or misreported revenue, potentially leading to financial mismanagement.
- Audit Difficulties:** The absence of a Revenue Collection Register creates challenges in verifying the accuracy of reported revenue and reconciling discrepancies.

The non-maintenance of the Revenue Collection Register by the Namchi District Zilla Panchayat has significant implications for financial management and transparency. Immediate corrective actions and preventive measures are essential to comply with Sikkim Financial Rules and ensure proper oversight of revenue collections.

1.2 VIOLATION OF RULES: GANGTOK DISTRICT ZILLA PANCHAYAT : Non-availability of Mandatory Documents for Works Executed under 15th Finance Commission and 5th State Finance Commission

During audit of records relating to works executed under the 15th Finance Commission (FC) and the 5th State Finance Commission (SFC), it was observed that essential and mandatory documents were not enclosed for most of the works. Specifically, No Objection Certificates (NOCs), completion reports, and photographic evidence of completed works were not made available for audit verification.

The absence of NOCs raises concerns regarding compliance with departmental requirements prior to execution of works. Non-availability of completion reports makes it difficult to ascertain whether the works were completed as per approved estimates, specifications, and timelines. Further, the lack of photographs before, during, and after execution of works hampers physical verification and casts doubt on the actual execution and quality of the works claimed to have been completed.

1.3 PAKYONG DISTRICT ZILLA PANCHAYAT: Non-Maintenance of Vehicle History Sheet and Incomplete Servicing Records

As per Para 16 of Appendix 3A of the Sikkim Financial Rules, 1979, it is mandatory to maintain a history sheet for each government vehicle, including detailed records of repairs, replacements, servicing, and cumulative expenditure incurred over its operational life.

During the audit, it was observed that for Vehicle No. SK-03G-0197, which was procured in May 2015, the cumulative expenditure and usage records were not properly maintained in the prescribed history sheet. Furthermore, only two servicing records and two tyre replacement entries were found on file, which appears grossly inadequate considering the vehicle's age and expected usage.

2. IRREGULARITIES IN THE EXECUTION OF WORKS

2.1 Namchi Zilla Panchayat :Non-Compliance with Tendering Procedures in Execution of Civil Works

The audit of Namchi Zilla Panchayat Office for the financial year 2024-25 included a review of civil works undertaken during the year. The objective was to examine whether the works were awarded and executed in accordance with the prescribed financial rules and procedures laid down in the Sikkim Public Works Department (PWD) Code and Manual.

Audit scrutiny covered civil works undertaken by the office during FY 2024-25, particularly those funded under the 15th Finance Commission (15th FC) and the State Finance Commission (SFC).

Audit Criteria:

- Sikkim PWD Code and Manual, Chapter II – Contracts and Tenders
 - o Rule 102: All works estimated to cost more than ₹1,00,000/- (or the limit prescribed by the State Government from time to time) shall be executed through open tendering.
 - o Rule 103: Limited or single tendering may be permitted only in exceptional circumstances, duly recorded in writing, with prior approval of the competent authority.

Audit observed that civil works executed by Namchi Zilla Panchayat Office during FY 2024-25, funded under the 15th FC and SFC grants, were carried out without inviting open tenders. The works were executed on a departmental basis. No records were made available to audit justifying exemption from tendering, nor was approval from the competent authority produced. This indicates non-compliance with the mandatory provisions of the Sikkim PWD Code and Manual.

2.2 ZILLA MANGAN : Observation on execution and procedure for the civil works“ Renovation of waiting shed at Lingchom Tingda Zilla Territorial Constituency , North Sikkim under SFC

During the financial year 2024–25, Mangan Zilla Panchayat undertook the implementation of various civil works, inclusive of those cited above. The standard procedure for the execution of civil works for utilizing Zilla Panchayat Funds is outlined in the Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual, as issued by the nodal Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

Upon scrutiny of the relevant files and records pertaining to the aforementioned works, it was observed that the Mangan Zilla Panchayat had in general adhered to the procedures prescribed under the applicable rules and regulations. However, a few procedural lapses and oversights were noted during the course of the audit. These observations are detailed below:-

- a) As per the files and records through NSP no 1, the work was awarded directly to Mr. Nim Tshering Lingda, but from the execution records the work was not carried out through the said individual instead the work was executed departmentally using departmental resources and no contractual engagement with Mr. Nim Tshering Lingda was acknowledged for the execution of the given work.

b) It was observed that the Notice Inviting Tender (NIT) was not floated for the execution of the above-mentioned work. The non-floating of NIT undermines the principles of transparency and fair competition in the tendering process and may result in non-compliance with the procurement procedures and norms prescribed under the Sikkim Public Works Code and Manual.

c) Form No 24 an essential record of contingent expenditure detailing final measurements, quantities executed, and payments made was not enclosed with the file.

d) Execution of the works planned under the Annual Plan were not completed as scheduled. The above work relates to the previous two financial years, highlighting the need for improved planning, monitoring, and timely implementation. The reasons for such non-execution may include resource constraints, deficiencies in planning, contractual or administrative issues, and unforeseen circumstances beyond the control of the executing agency.

2.3 ZILLA SORENG : Observation on execution and procedure for the civil works carried out by Zilla Panchayat -Soreng

During the financial year 2024–25, Zilla Panchayat-Soreng undertook the implementation of various civil works, inclusive of those cited below. The standard procedure for the execution of civil works for utilizing funds is outlined in the Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual, as issued by the nodal Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

A) Zip Lining from Deorali Dara to Aganaya Dhunga under Chakung(SFC)- Rs 5,34,000/-

B) Drinking water Connection from Dhupreytannki to Chakung (SFC)- Rs 1,00,000/-

On scrutiny of files and other records for the above mentioned works, the Zilla Panchayat-Soreng had mostly followed all the procedures as specified under the rules, although there were few oversights that were observed during the audit which are stated as below:-

➤ A completion certificate being the critical part of the final work bill or the first and the final bill which certifies the work has been executed as per the sanctioned scope ,following the quality standards and being ready for use or handing over was not attached with the file documents for the works labeled above as A and B.

➤ For the work labeled as A, the work was administratively sanctioned and granted approval under the State Finance Commission while the expenditure for the given work was met from the 15th FC allocation. Nevertheless the adjustment or recouped of the work amount was done as on 11th April 2025 i.e during the financial year 2025-26.

2.4 GANGTOK DISTRICT ZILLA PANCHAYAT : Irregularities on execution for release of payment for civil works

As per section 154 of the Sikkim Public Works Code, 2009, “Works may be executed in two ways (a) through Department by engaging labour (b) and through contractor.

(a) The work in the Department may be carried out departmentally if it is found more economical or urgent or for reasons of special importance, than through a contractor. In such case, the work is done through labour engaged by the Department, supplying materials to the works.” and if the work is executed through a contractor, a Notice Inviting Tender should be issued. However, in majority of the cases the ZP has executed civil work without issuing a notice inviting tender and also without mentioning the reason for executing the work departmentally.

Further, audit scrutiny revealed that 10% contractor's profit deducted from civil works was not reflected under Own Source Revenue or in any other books of account of the Zilla Panchayat. It was observed that most of the civil works were executed departmentally, and therefore, the contractor's profit deducted from such works should have been retained by the department and accounted for as revenue. However, no corresponding receipts or accounting entries were found during the audit. This results in loss of revenue of the Zilla Panchayat and reflects inadequate accounting practices.

2.5 GANGTOK DISTRICT ZILLA PANCHAYAT : Irregularities in Procurement Process

To ensure the quality and reasonable rates of any item, and to keep a record of the payment and accounting of stores, the steps mentioned below have to be taken into consideration:

- i) The firm/Supplier must be reliable and registered firm for selling/supplying the items,
- ii) Quotations of at least three such firms have to be obtained to ensure the reasonable rates,
- iii) Comparative statement has to be prepared for approval of lowest rate quoted.
- iv) After approval of rates, supply order is to be issued and on receipt of bill, payment be made.
- v) Payments shall be made through cheque only and after making the necessary entries in the Cash Book and recording the details of payment on the counterfoil of the cheque.
- vi) A contingent bill, wherein all the details of the payment including the amount, a concise narration, deductions if necessary, cheque no, date and initials of the concerned authority should be prepared.
- vii) The materials thus received after payment of cheque should be examined, counted, measured or weighed as the case maybe, at the time of delivery. The details of the materials should be entered in the stock register/inventory register.

*For procurement of electronic items IT clearance should be obtained.

The purchase procedure as mentioned above has not been followed by the ZP for the following payments.

SL NO	PARTICULARS	AMOUNT	CHEQUE NO	DATE
1	Supply of various items and repair of GDZP conference hall	280894	000026	15-06-24
2	Procurement of various items of GDZP	3812147 + 1660054 = 54,72,201	000069 & 000196	22-07-24 & 10-10-24

For the purchase mentioned above it was noticed that:

For Serial no 1, the Contingent Bill was the only supporting document enclosed in the file. Necessary steps like calling of quotation, issuing supply order and keeping a copy of the tax invoice was omitted by the ZP.

For Serial no 2, during audit scrutiny, it was observed that a tax invoice for only Rs 6,71,274/- was enclosed in the file. The tax invoice for the remaining amount of Rs. 48,00,927/- was not made available to the audit.

2.6 PAKYONG DISTRICT ZILLA PANCHAYAT: Irregularities relating to civil works with focus on eco-friendly footpath

During the audit of the eco-friendly footpath construction undertaken by the Pakyong District Zilla Panchayat for the financial year 2024–25, it was observed that the total expenditure incurred was ₹1,18,54,790. The project was almost entirely executed departmentally. However, as per Section 154 of the Sikkim Public Works Code, 2009, "Works may be executed in two ways (a) through Department by engaging labour (b) and through contractor.

(a) The work in the Department may be carried out departmentally if it is found more economical or urgent or for reasons of special importance, than through a contractor. In such cases, the work is done through labour engaged by the Department, supplying materials to the works." In the present case, no such justification or documented reasoning was found on record for opting for departmental execution over contracting.

Out of the total expenditure, ₹86,32,095 (approximately 72.8%) was disbursed through Muster Roll (MR) payments, indicating that a major portion of the expenditure was incurred on labour costs.

Additionally, while scrutinizing the Measurement Book (MB), it was observed that 10% contractor's profit was deducted during measurement calculations, but this deduction was not reflected in the final payment. This inconsistency indicates potential overpayment. Since, the total expenditure incurred

was ₹1,18,54,790, it can be said that ₹11,85,479 (10%) as contractor's profit was lost as revenue by the Zilla Panchayat for the financial year 2024–25.

These lapses highlight significant deviations from prescribed procedures, warranting appropriate corrective measures and accountability.

Some of the works are mentioned below:

SL NO	DETAILS	MR PAYMENT AMOUNT	SUPPLY BILL AMOUNT	TOTAL AMOUNT
1	Construction of eco friendly foot path from Lower Samsing Andheri Khola to Babulall Turning	4,56,500	98,878	5,55,378
2	Construction of eco friendly foot path from Lassi Gaon to Pekcha Gaon	4,61,900	93,389	5,55,289
3	Construction of eco friendly foot path from Tanhi Dara to Pachey Gumpa	4,26,595	1,25,837	5,52,432

2.7 PAKYONG DISTRICT ZILLA PANCHAYAT: Irregular maintenance of Cash Book

During the audit of Pakyong District Zilla Panchayat (PDZP), it was observed that the cash book entries were not maintained in strict chronological order, particularly with respect to cheque numbers. Cheque numbers were not recorded in a serial sequence, indicating that financial transactions were not entered on the actual date of occurrence.

This practice is in violation of Sub-Rule (ii) of Rule 49 of the Sikkim Financial Rules, 1979, which clearly states: "All monetary transactions should be entered in the cash book on the date on which they actually occur and strictly in the order of occurrence and attested by the head of the department/office in token of check."

The observed deviation suggests poor financial discipline and weak internal controls in the maintenance of the cash book. Such irregularities can lead to inaccurate financial reporting, delay in detection of errors or fraud, and reduced accountability in public fund management. It is recommended that the cash book be updated in real-time and in strict sequence, duly attested by the competent authority as per rules.

3. NON PRODUCTION OF FILES

3.1 PAKYONG DISTRICT ZILLA PANCHAYAT: Non Production of Files

As per section 87 of the Sikkim Panchayat Act-1993, "The Sabhapati or, as the case may be, the Adhakshaya shall produce, or cause to be produced to the auditor all such accounts of the fund of the Gram Panchayat or the Zilla Panchayat concerned as may be required by the auditor." However, the following files were not produced during the time of auditing:

SI No.	Particulars	Voucher no/ Cheque no	Amount
1	Repair and renovation of 3 storied building (Nepali Dharmasala) at Sawmy under West Pendam TC	000532 19/08/2024	3,48,095
2	Const of protective wall at kit Golai, pacheykhani	000672-73 03/10/2024	1,63,704+1,26,880

4. DIVERSION OF FUND

4.1 GANGTOK DISTRICT ZILLA PANCHAYAT : Diversion of Funds from 5th State Finance Commission Scheme to Eco-friendly Footpath Account

Audit scrutiny revealed diversion of funds amounting to ₹1,45,842 from the 5th State Finance

Commission (SFC) scheme to the Eco-friendly Footpath account. It was observed that the diverted amount was utilised for payment of Muster Roll (MR) wages amounting to ₹1,24,685 and for purchase of materials amounting to ₹21,157 for the construction of a footpath from PWD Road to Old Horse Road at Ramitay under Dung Dung Thasa Territorial Constituency (TC).

5. NON-UTILIZATION OF FUND

5.1 Namchi Zilla Panchayat :Parking of 15th Finance Commission (FC) and State Finance Commission (SFC) Funds in Bank Accounts.

The audit of Namchi Zilla Panchayat Office for the financial year 2024-25 included verification of fund management under the 15th Finance Commission (FC) and the State Finance Commission (SFC). The purpose was to examine whether the funds released were properly utilized in line with the objectives prescribed under the schemes and the Sikkim Panchayati Raj Act, 1993.

Audit scrutiny covered the receipts, payments, and balances of FC and SFC funds maintained in ICICI Bank and Union Bank accounts during FY 2024-25.

Section 130 of the Sikkim Panchayati Raj Act, 1993 stipulates that all funds of a Zilla Panchayat shall be kept in such manner as prescribed and applied for the purposes of the Act.

- Rule 55 of the Sikkim Panchayati Raj (Financial) Rules, 2004 provides that Panchayat funds should be utilized promptly for developmental purposes and should not remain idle.

Audit scrutiny revealed that substantial funds under the 15th FC and SFC remained parked in bank accounts without adequate utilization during FY 2024-25. The details are as follows:

1. 15th Finance Commission Fund (ICICI Bank A/c No. 306101000416)

- Opening Balance: ₹1,19,70,025
- Receipts during the year: ₹4,56,55,206
- Interest earned: ₹4,93,153
- Payments made: ₹1,60,08,408
- Closing Balance: ₹4,21,09,976

2. State Finance Commission Fund (Union Bank A/c No. 676402010009109)

- Opening Balance: ₹1,63,15,326
- Receipts during the year: ₹4,17,93,485
- Interest earned: ₹5,16,632
- Payments made: ₹3,47,98,128
- Closing Balance: ₹2,38,27,315

From the above, it is evident that against total available funds of ₹5,81,18,384 (15th FC) and ₹5,86,25,443 (SFC), only ₹1,60,08,408 (27.5%) and ₹3,47,98,128 (59.3%) were utilized respectively. A significant portion of funds — ₹4,21,09,976 (15th FC) and ₹2,38,27,315 (SFC) — remained unutilized and parked in banks.

This indicates delays in the execution of developmental works and non-compliance with the intent of the Finance Commission grants, which are meant to be utilized timely for local governance and service delivery.

5.2 ZILLA GYALSHING : Retention of Funds under BRGF and Roof Water Harvesting Scheme

The Backward Region Grant Fund (BRGF) was launched by the Government of India with the objectives of addressing regional imbalances in the development. It aims to provide financial support to bridge critical infrastructure gaps, strengthen local governance and promote inclusive and equitable development.

Similarly the Roof Water Harvesting scheme launched by the Government of India is intended to promote rainwater harvesting through roof water collections systems in public buildings, institutions and households with the objectives of conservation of rainwater, augmentation of ground water levels, reduction of water scarcity and sustainable water management at local body level. The implementing

authority of both the above mentioned scheme is primarily through Zilla Panchayat and Panchayati Raj Institutions (PRIs) with plans prepared and approved by the District Planning Committee (DPC) and the funds being intended for area-specific developmental projects, creation of basic infrastructure and capacity building at the local level.

Audit scrutiny revealed that funds released under the Backward Regions Grant Fund (BRGF) and Roof Water Harvesting Scheme were kept unutilized for prolonged periods in the bank account of the Gyalshing Zilla Panchayat. Despite the availability of funds, the approved works were not taken up or remained incomplete resulting in parking of funds under both the schemes. It was further observed that during the financial year 2024-25, the closing balance under the BRGF scheme of Rs 37, 92,043/- and Rs 45, 57,874 /- under the Roof Water Harvesting Scheme remained unutilised. No expenditure was also not incurred during the financial year and neither any additional funds were received under either of the schemes.

Such continued retention of funds clearly indicates deficiencies in planning and lack of proactive initiative on the part of the implementing agency to commence and execute the approved works. The failure to utilize the allotted resources over an extended period not only reflects weak financial and administrative management but also results in non-achievement of the intended benefits of the schemes. Consequently, the objectives for which the funds were sanctioned remain unfulfilled rendering the schemes ineffective

6. IRREGULARITIES IN PURCHASE PROCEDURE

6.1 ZILLA GYALSHING : Purchase Procedure not followed for supply of utensils to various societies under Darap Nambhu amounting to Rs 5,98,446/- under SFC

The Sikkim Panchayat Act, 1993 lays down the statutory framework governing the functioning of Panchayats in the State of Sikkim. It prescribes the procedures to be followed in carrying out various administrative and financial activities, including the procurement of goods and services. The Act seeks to strengthen local self-governance while promoting financial discipline, transparency, and accountability. In accordance with the provisions of the Act, the purchase process followed by Zilla Panchayat and the Gram Panchayat Unit broadly comprises the following stages:

- a) Sanction of Purchase Proposal.
- b) Preparation of Cost Estimates.
- c) Invitation and Evaluation of Quotations/Tenders.
- d) Approval and Issuance of Purchase Order.
- e) Receipt and Quality Inspection of Goods/Services.
- f) Processing and Release of Payments.
- g) Maintenance of Purchase Records and Documentation.
- h) Adherence to Applicable Rules, Guidelines, and Regulations.

In order to ensure quality standards and cost-effectiveness in procurement, the steps outlined above must be adhered to. Nevertheless, some discrepancies were noticed in the payment related process which are mentioned as under :-

- i) When purchasing items quotations and comparative statements is a key step for cost comparison, budgeting, transparency, supplier evaluation, negotiation tool, risk management but the process of inviting quotations and comparative statements was defiant and purchase was initiated.
- ii) The purchase of utensils to various societies was made without the issuance of a formal supply order. Although supply order being a formal document contains key details namely order details, pricing, delivery terms, payment terms, contact information, terms and conditions etc.
- iii) No supporting vouchers were also not available to substantiate the payment made to the supplier for the supply of utensils.
- iv) To acknowledge the delivery of goods and services the practice of issuing challan is obligatory but the same was overlooked for the above purchase made.

7. WASTEFUL EXPENDITURE

7.1 ZILLA GYALSHING : Utilisation of Award Grant Funds towards procurement of Government vehicle

The Incentivization of Panchayat Scheme under DDUPSP-2022 is a performance-based grant provided to Gram Panchayats in recognition of their exemplary performance in the areas of good governance, transparency, service delivery, financial management and implementation of developmental programmes. Under this scheme Zilla Panchayat achieving prescribed benchmarks are awarded financial incentives to encourage sustained excellence and to strengthen institutional capacity at the grassroots level. The objective of the grant is not only to reward performance but also to enable Zilla Panchayats to further enhance administrative efficiency and improve delivery of public services. The grant received under DDUPSP-2022 is subjected for adherence to Government guidelines and may be utilized for activities that contribute to:-

- ✓ Strengthening Panchayat infrastructure.
- ✓ Improving administrative and operational efficiency.
- ✓ Enhancing monitoring and supervision of developmental works.
- ✓ Supporting implementation of Government schemes and programmes.

As per the Incentivization of Panchayats Scheme awarded under DDUPSP-2022 for the Appraisal Year 2021-22, vide order dated 21st April 2022, the Ministry of Panchayati Raj, Government of India released a grant of 50 lakhs to the Geyzing Zilla Panchayat as an untied fund to be utilized only for public purposes particularly for livelihood support, asset creation, provision of civic amenities, and bridging the gaps in the funds received from the union/State Government for various projects of the Zilla Panchayat.

However, out of the said grant an amount of Rs 10, 81,401/- was utilized by the Geyzing Zilla Panchayat towards the procurement of a Bolero vehicle, based on a proposal approved in a coordination meeting. It is observed that the scheme guidelines do not categorically state procurement of Government vehicles from the incentive grant under DDUPSP-2022 as admissible. The guidelines prescribes that the grant, though untied in nature, shall be utilized exclusively for public purpose oriented developmental activities such as livelihood support, creation of community assets, provision of civic amenities and bridging funding gaps in approved projects.

Procurement of a Government vehicle constitutes an administrative capital expenditure which does not directly fall within the categories of permissible utilization explicitly outlined in the scheme guidelines. It is therefore observed that the expenditure incurred towards procurement of a Government vehicle does not find explicit sanction under the prescribed scheme guidelines which emphasises utilization of incentive grants for public purpose oriented developmental activities.

8. MISCELLANEOUS

8.1 ZILLA MANGAN : Delegation of cheque issuing authority to the Drawing & Disbursing Officer along with the District Planning Officer

In accordance with Rules 15 and 16 of the Sikkim Financial Rules, 2025 the Accounts Officer shall be accountable for the strict implementation of all financial provisions. They shall be the Head of the Accounts of the Departments or Offices and Financial Advisor to the Head of Department or Head of Office. Their advice is obligatory before sanctioning any expenditure in the Department. All proposals involving any financial implication should be vetted by the Accounts Officer in the respective department before forwarding to the Government through the Finance department. Also, the Drawing & Disbursing officer shall be responsible for seeing that the rules regarding the preparation of bills are observed, that the money is required for immediate disbursement or has already been paid from the permanent advance, that the expenditure is within the available appropriation and that all steps have been taken with a view to obtaining an additional appropriation if the original appropriation has either

been exceeded or is likely to be exceeded.

Under the existing arrangement the cheque issuing authority in the office of Zilla Panchayat Mangan is vested exclusively with the District Planning Officer(DPO) ensuring centralized control and accountability in financial transactions. However, considering the role of the Drawing and Disbursing Officer (DDO) as the financial advisor responsible for budget management and expenditure scrutiny, it is proposed to extend cheque issuing powers to the Drawing & Disbursing Officer (DDO) as well. This would facilitate timely disbursement of funds, improve administrative efficiency and strengthen financial oversight while adhering to established rules and safeguards.

Further, since the DDO possesses requisite financial expertise and statutory responsibility, extending cheque issuing powers would strengthen financial oversight while maintaining accountability. Such delegation may be exercised strictly in accordance with prescribed financial rules, limits and internal controls as approved by the competent authority.

It is therefore recommended that the cheque issuing authority may also be vested with the Drawing & Disbursing Officer subject to prescribed financial limits and safeguards to ensure smooth and accountable financial operations in the office of the Zilla Panchayat.

8.2 ZILLA SORENG: Miss-classification of expenditure head under 15th FC Grant.

The 15th Finance Commission was constituted to recommend the distribution of taxes revenues between the centre and the states for the period 2020-21 to 2025-26. The Commission allocated grants to states under the several heads to ensure equitable development, strengthen local bodies and improve fiscal management. The Grants are disbursed in the form of tied and untied manner with clear guidelines on usage and accountability. The accounting classification head for 15th FC payment would typically involve:-

1) Local Bodies Grant (Rural & Urban):

These would involve:-

a) Basic Grants

Used for sanitation, water supply, street lighting, roads etc.

b) Tied Grants-

Purpose bound for water and sanitation(rural), solid waste and ambient air quality(urban).

2) Disaster Risk Management Grants -

These are routed through State Disaster Response Fund(SDRF).

3) Sector Specific and Performance based Grants-

These may include health grants, education infrastructure and agricultural reforms etc.

4) Revenue Deficit Grants-

Specifically meant to cover the gap in revenue accounts of the states.

Typically the most common object head used for payment of 15th FC Grants would mostly involve:-

Object Head	Purpose
02	Wages(laborers)
06	Materials and Supplies
13	Office Expenses
27	Minor works
28	Professional Services
50	Other Charges

However, on scrutiny of records and cash books it was observed the payments pertaining to the supply of goods and services were booked under the Wages head instead of the appropriate expenditure head during the utilization of the 15th FC funds. The object head 02 specifically for the purpose of wages for laborers used as classification head for the payment of supply bill for various development works which are stated as below :-

PARTICULARS	CLASSIFICATION	AMOUNT
Supply bill for construction of waiting shed near crematorium at Samthang Malbassey GPU ward no 1	2059-101-02(wages)	79,245
Supply bill for repairing of boys toilet at Gelling Sr Sec School under 11-Gelling Baiguney GPU	4210-105-02(wages)	71,027
Procurement of furniture for Segeng JHS	2059-102-02(wages)	1,38,050
Installation of CCTV & Inverter set at KGSSS Daramdin	2059-102-02(wages)	1,40,000
Procurement of computer and accessories for Bloom Academy ,Chumbung and Namam Valley Academy, Budang	2059-102-02(wages)	1.58,048
Repairing and providing protective wall below the main tank drinking water supply tank near the house of Dawa Tshering Tamang at Kopcheri	2215-103-02(wages)	64,383

As such miss-classification of expenditure head may lead to inaccurate financial reporting , non compliance with the guidelines issued for the utilization of the 15th FC funds. Therefore, it is advised to take corrective action to reclassify the expenditure under the correct head and also ensure that all the future expenditures under 15th FC grants are classified appropriately in accordance with the sanctioned guidelines.

PART II - MUNICIPALITIES

A. AUDIT PARAS OF NAGAR PANCHAYAT

Some of the selected audit objections of Nagar Panchayat for the financial year 2023-24 and 2024-25 are enumerated below.

1. NON ADHERENCE TO RULES

1.1 GEYZING NAGAR PANCHAYAT: Festival Advance drawn in favour of Consolidated/Muster Roll Employees

Rule 205 of Sikkim Financial Rules states under power of sanction states "A Head of Department may sanction an advance to a Government Servant under his administrative control on the eye of important festivals. The conditions of eligibility being

i) the advance shall be admissible to all the regular Government servants and also to work charged employees drawing salary on regular scale of pay

ii) Where the Government Servant is of temporary status, he shall furnish a surety from a permanent Government servant of equal or higher status than him undertaking to repay in full to Government in the event of failure of the informer to repay the advance".

On scrutiny of the relevant files and records, it was observed that the Gyalshing Nagar Panchayat comprised a total of 5 Board of Councillors, including the President and 4 other members, along with 3 regular staff, 9 consolidated employees and 3 Muster Roll (MR) employees.

However, as per the applicable rules, only regular employees and the work charged employees drawing on regular scale of pay are entitled to receive the festival advance. Despite this, festival advance at the rate of Rs 30,000 each was drawn by all the 5 members of the Board of Councillors, and an amount of Rs 2,000 each was disbursed to a total of 15 personnel including regular, consolidated, and MR employees thereby deviating from the entitlements norms wherein the eligibility criteria being only for 3 regular staffs. A summary of the festival advance details is furnished below:-

SL No	PARTICULARS	CHEQUE NO & DATE	AMOUNT
1	FA to Gopal Prasad Sharma	085580 18/10/2023	30,000
2	FA to Laki Doma Bhutia	085576 18/10/2023	30,000
3	FA to Praveen Darjee	085577 18/10/2023	30,000
4	FA to Devendra Prasad Sharma	085541 18/10/2023	30,000
5	FA to Rinzing Bhutia	085578 18/10/2023	30,000
6	FA to Khim Maya Tewari	085579 18/10/2023	30,000
7	FA to 15nos of staffs	08554421/10/2023	30,000

In conclusion, as per the applicable rules and guidelines, only regular employees are eligible to receive festival advance. Consolidated and Muster roll employees do not fall under the category of eligible beneficiaries. Therefore disbursement of festival advances to employees not entitled under the existing rules constitutes deviation from the prescribed norms and not in conformity with the approved provisions.

1.2 Nayabazar Jorethang Nagar Panchayat :Improper Supporting Bills and Lack of Certification for Expenditure

During examination of vouchers and expenditure records of Nayabazar Jorethang Nagar Panchayat, it was observed that several bills submitted for payment were not proper tax invoices as per statutory and financial requirements. The following irregularities were noticed:

Sl. No.	Particulars	Head of Account	Amount (₹)	Instrument Details	Date	Observation
1	Yoga Day Celebration	Revenue Head (SFC)	71,328	Chq. No. 320828	05-08-2024	Bill without GSTIN; uncertified "kachcha" cash memo
2	Clearance of Drainage	Revenue Head (SFC)	1,48,500	Chq. No. 320859	25-09-2024	Handwritten bill without GSTIN; no officer certification
3	Cleanliness Drive	15th Finance Commission (15th FC Head)	1,81,985	PFMS Transaction	16-08-2024	Cash memo from local shop; not supported by tax invoice or certification

It was further noted that:

- The bills submitted are "kachcha bills" or simple cash memos, lacking vendor details, GSTIN, and proper invoice format.
- None of the bills were certified by the concerned officer to confirm that goods/services were received and utilized for the stated purpose.
- No quotation or procurement documentation was available for verification of reasonableness of rates.
- Payments have been made despite these deficiencies, indicating weak internal control over financial documentation.

Rule 93(1) of the Sikkim Financial Rules, 1979 provides:

"No payment shall be made unless the claim is supported by proper vouchers duly verified and certified by the competent authority."

Rule 93(2) of the Sikkim Financial Rules, 1979 further states:

"Each voucher shall bear a pay order signed by the drawing officer specifying the amount payable and the head of account to which it is to be charged."

Risk :

- **Non-Genuine Expenditure:** Lack of valid bills increases the risk of fictitious or inflated payments.
- **Non-Compliance with Financial and Tax Regulations:** Payments without GSTIN and certification contravene the Sikkim Financial Rules and GST provisions.
- **Audit Qualification:** Such irregularities weaken the reliability of financial records and may attract audit objections or disallowances.
- **Accountability Risk:** Absence of certification by the competent officer implies no confirmation that expenditure was actually incurred for the intended purpose.

2. IRREGULARITIES IN EXECUTION OF WORKS

2.1 GEYZING NAGAR PANCHAYAT :

Observation on execution and procedure for the civil works" Construction of CC footpath along with the protective wall at SNT ,Gyalshing amounting to Rs 7,83,138/- under 15th FC

During the financial year 2024–25, Geyzing Nagar Panchayat undertook the implementation of various civil works, inclusive of those cited above. The standard procedure for the execution of civil works for utilizing Gram Panchayat Funds is outlined in the Sikkim Public Works Code and Manual and the Gram Panchayat Development Plan Implementation Manual, as issued by the nodal

Department—Rural Development Department. These documents serve as the primary legislative and operational framework governing public works executed by Panchayati Raj Institutions in Sikkim.

Upon scrutiny of the relevant files and records pertaining to the aforementioned works, it was observed that the Geyzing Nagar Panchayat had in general adhered to the procedures prescribed under the applicable rules and regulations. However, a few procedural lapses and oversights were noted during the course of the audit. These observations are detailed below:-

- a) It was observed the Notice Inviting Tender (NIT) was not floated for the execution of the above mentioned work. Non floating of NIT compromises transparency and competitiveness in the tendering process, potentially violating procurement norms as prescribed in the Sikkim Public works code and manual.
- b) Form no 24 a crucial document that reflects the final measurements, quantities executed and the corresponding payment details was not certified by the concerned technical authority before processing the payments.
- c) Muster Roll which forms the basis for wage disbursement were not acknowledged or nor duly signed by the concerned workers or the site supervisor. In this instance, the work was carried out departmentally using muster roll labour, however, the payment was processed in the name of the contractor contrary to prescribed procedures.
- d) Supply bills were not certified by the concerned technical authority prior to processing for payments. Hence failure to certify supply bills raises concerns about the authenticity of transactions and may result in payment for undelivered or substandard materials, fictitious billing etc.

2.2 Mangan NP Non-deduction of TDS

During the course of the audit, it was observed that Tax Deducted at Source (TDS), as applicable, were not deducted from payments made for the work "Construction of Reserve Recovery Centre", despite the payments exceeding the prescribed threshold prevailing Government norms.

Details of Expenditure

Total Sanctioned Amount: ₹60,22,600/-

1. Payment to Shri Sreenath Prasad

- Bill No.: SNPR/24-25/64
- Bill Date: 14.01.2024
- Cheque No.: 260448
- Cheque Date: 11.04.2024

Bill Details:

- Bill Amount: ₹13,35,213/-
- CGST @ 9%: ₹1,20,169/-
- SGST @ 9%: ₹1,20,169/-

Gross Amount Paid: ₹15,75,552/-

Observation:

No TDS was deducted on the taxable value of the bill, despite the payment being liable for deduction.

2. Payment to M/s Thakur & Sons

- Total Work Done: ₹45,15,344/-
- Less: Contractor's Profit @10%: ₹4,51,534/-
- Net Amount: ₹40,63,809/-
- Escalation @24.46%: ₹9,94,008/-
- Sub-Total: ₹50,57,817/-
- GST @18%: ₹9,10,408/-
- 1% Cess: ₹59,682/-
- Total Amount Payable: ₹60,27,908/-

Additional Bill Details:

- Bill No.: 321
- Date: Not recorded
- Total Bill Amount: ₹9,44,297/-
- CGST(9%): ₹84,986.77
- SGST (9%): ₹84,986.77
- Gross Amount: ₹11,14,271/-

Observation: TDS was deducted at the time of releasing the above payments. Further, the bill date was not recorded, indicating weak financial documentation.

Non-deduction of TDS and cess constitutes non-compliance with statutory provisions, resulting in:

- ✓ Potential loss of Government revenue.
- ✓ Risk of interest and penalty liability on the executing authority.

2.3: MNP Irregularities in Utilization of State Finance Commission (SFC) Fund

During audit scrutiny of records relating to utilization of State Finance Commission (SFC) funds, it was noticed that payments were made for execution of civil works without adhering to the prescribed procedural and technical requirements.

Audit observed that payments amounting to Rs. 3,00,000/- were released for construction of protection walls at different locations, as detailed below:

- Construction of protection wall at RN Marg – Cheque No. 200987 dated 31.10.2024, amount Rs. 1,00,000/-
- Construction of wall at Power Colony Ward – Cheque No. 200988 dated 30.10.2024, amount Rs. 1,00,000/-
- Construction of protection wall at LMB – Cheque No. 200991 dated 30.10.2024, amount Rs. 1,00,000/-

Audit further observed that Measurement Books were not enclosed, Muster Roll (MR) sheets were not found, and supply orders for procurement of raw materials were not available on record. In addition, technical sanction of the competent authority was not obtained prior to execution of the works, and Form No. 24 was also not enclosed with the work files.

As per the provisions of the Sikkim Finance Rules, 1979, execution of works shall be undertaken only after obtaining proper technical sanction, maintaining Measurement Books and MR sheets, issuing supply orders, and completion of all prescribed forms and records. Non-maintenance of these mandatory documents renders the expenditure irregular and unverifiable.

Due to the absence of essential records and sanctions, the expenditure incurred from the SFC fund on the above works could not be verified for execution, quantity, quality, and reasonableness, thereby resulting in irregular utilization of SFC funds.

2.4: Irregularities in Execution of Work of Water Fountain at Lal Bazar, Ward No. 04 under Singtam Nagar Panchayat

During audit scrutiny of records relating to the work of the water fountain at Lal Bazar, Ward No. 04 under Singtam Nagar Panchayat (SNP), several irregularities were noticed in the execution and payment of the work.

Audit observed that a payment amounting to Rs. 3,91,575/- was released vide Cheque No. 000741.

It was further noticed that technical sanction of the competent authority was not obtained prior to execution of the work. In addition, the Vigilance Committee report was not enclosed with the work file. Audit also observed that the contractor's profit at the prescribed rate of 10 % was not deducted from the bill, resulting in excess and irregular payment.

Further scrutiny revealed that Form No. 24, which is a mandatory document for recording completion and verification of works, was not found on record.

As per the provisions of the Sikkim Finance Rules, 1979, execution of works shall be undertaken only after obtaining proper technical sanction, and all prescribed documents, including Vigilance Committee report and Form No. 24, are required to be maintained. Further, contractor's profit is required to be deducted at the prescribed rate wherever applicable. Non-compliance with these provisions rendered the expenditure irregular and unverifiable.

Due to the above lapses, the expenditure incurred on the water fountain work could not be verified for execution, quality, and financial propriety, resulting in irregular utilization of public funds.

3. IRREGULARITIES IN REVENUE

3.1 Non-Recovery of Rent from Haat Shed Traders at Nayabazar Jorethang Nagar Panchayat

Audit scrutiny of records relating to Haat Shed rent collection revealed that a total ₹1,34,564/- remains outstanding for recovery from various traders occupying the Haat Sheds under the jurisdiction of Nayabazar Jorethang Nagar Panchayat (NJNP).

Examination of the "Name of Haat Shed Traders under NJNP" register showed that several traders have not paid rent dues since as early as 2018, and in many cases, partial payments were recorded without follow-up action. It was further observed that:

1. Monthly demand notices were not issued regularly to the traders.
2. No follow-up or recovery action has been initiated for long-overdue rent amounts.
3. Traders continue to occupy the sheds despite non-payment for extended periods.

Summary of Outstanding Haat Shed Rent Dues :

Sl. No.	Name	Due from	Total Amount (₹)	Amount Paid (₹)	Outstanding Amount (₹)
1	Meena Pradhan	Jan.2023	14,400	4,000	10,400
2	Purni Maya Tamang	Apr.2025	3,040	0	3,040
3	Binai Pradhan	Apr.2020	27,880	17,000	10,880
4	Bikash Chettri	Jul.2022	19,803	9,803	10,000
5	Ratna Maya Chettri	Jul.2023	11,426	5,000	6,426
6	Shanker Darnal	Apr.2025	3,440	1,677	1,763
7	Shivaji Gupta	Feb.2021	21,750	0	21,750
8	Sumitra Chettri	Apr.2025	3,240	0	3,240
9	Ram Chandra Prasad	Apr.2022	18,920	0	18,920
10	Jaleshwar Prasad	Jan.2025	4,510	0	4,510
11	Manju Devi	Apr.2025	3,960	1,932	2,028
12	Jas Kumari Rai	Apr.2025	3,736	1,821	1,915
13	Runa Devi	Apr.2025	9,085	6,282	2,803
14	Shanti Darjee	Jan.2024	9,405	0	9,405
15	Ramji Prasad	Mar.2025	3,924	0	3,924
16	Krishna Kumar Gupta	Apr.2025	7,885	3,735	4,150
17	Lalan Sha	May.2024	22,410	3,000	19,410

Total Outstanding Amount = ₹1,34,564/-

As per Rule 94 of the Sikkim Financial Rules, 1979:

"All receipts due to the Government or Local Authority shall be promptly realized and credited to the appropriate head of account without undue delay."

- Absence of a structured Demand, Collection and Balance (DCB) Register for rental tracking.
- Lack of periodic review of rent collection and arrears.
- Inadequate enforcement of lease terms and non-issuance of demand notices.

3.2 Non-Recovery of Rent from Shopping Complex and Parking Areas under Nayabazar Jorethang Nagar Panchayat

Audit scrutiny of rent collection records of the Shopping Complex and Vehicle Parking Facilities under Nayabazar Jorethang Nagar Panchayat (NJNP) revealed that significant amounts remain outstanding towards rent and parking fees from various tenants and contractors.

Review of the lease agreements and receipts indicated that the Panchayat has not enforced the agreed payment terms, particularly the clause requiring rent payment by the 10th of every month, with 10% interest applicable for delay.

The details of outstanding rent and parking fees are summarized below:

Sl. No.	Name / Entity	Location / Shop No.	Period of Due	Monthly Rent / Amount (₹)	Total Rent / Contract Amount (₹)	Amount Paid (₹)	Outstanding Amount (₹)	Remarks
1	Bhuwan Tiwari	Shopping Complex, Shop No. 22	Dec 2024 – Sep 2025 (10 months)	1,740	17,400	0	17,400	Rent not paid since Dec 2024
2	Buddha & Bir Jogi	Shopping Complex, Shop No. 4	Dec 2024 – Sep 2025 (10 months)	1,740	17,400	0	17,400	Rent overdue beyond 10th each month; liable for 10% interest per agreement
3	Doma Sherpa	Car Parking	—	—	1,99,481	0	1,99,481	Entire parking fee pending
4	Dorjee Tamang	Car Parking, Jorethang Bazar	—	—	5,16,000	4,08,000	1,08,000	Partial payment received
5	Benzamin Rai	Two-Wheeler Parking	—	—	1,60,000	1,10,000	50,000	Partial payment received

Total Outstanding (Shopping Complex + Parking) = ₹3,92,281

As per **Rule 94 of the Sikkim Financial Rules, 1979**:

“All receipts due to the Government or Local Authority shall be promptly realized and credited to the appropriate head of account without undue delay.”

Further, as per the **rent agreement** for the Shopping Complex:

“Rent shall be paid by the 10th day of every month. Failure to do so shall attract an interest of 10% on the monthly rent amount until payment is made.”

Cause:

- Lack of follow-up and enforcement of rent payment schedule.
- Non-imposition of interest on overdue rent despite clear contractual provisions.
- Weak monitoring and absence of a consolidated rent and fee recovery register.

Effect :

- **Revenue Loss:** Delay and non-recovery of rent and parking charges reduce the Panchayat's revenue and impact its financial sustainability.
- **Violation of Lease Terms:** Non-enforcement of rent payment timelines and penalty clauses undermines contractual governance.
- **Weak Financial Control:** Inadequate tracking of receipts and dues may lead to accumulation of arrears and potential misuse of NJNP assets.
- **Interest Loss:** Non-levy of 10% interest on delayed payments results in avoidable financial loss to the Panchayat.

3.3 Irregularities in garbage collection outsourcing Zone I

As per prescribed procedures, contracts must be awarded through a transparent tendering process, with proper record-keeping and approval by a board or committee.

Facts / Findings

- As per official records, Zone-1 consists of 1,248 households.

- No records were available for April to July 2024, indicating a complete lack of documentation for four months.
- For eight months (August 2024 to March 2025), the tender process was postponed due to enforcement of the Code of Conduct.
- The agent for Zone-1 was appointed without following due process. No Board Meeting was held, nor was any formal selection procedure conducted.
- The contract for household fee and garbage collection for Zone-1 was awarded arbitrarily to Mr. Hemant Manger and Mrs. Durga Pradhan at a rate of ₹60 per household.

Financial Analysis

Total households in Zone-1: 1,248

Collection @ ₹60 per household = ₹74,880 per month
= ₹8,98,560 per year

The outsourced agent was required to deposit ₹21,000 per month (₹3,000 + ₹18,000) into the RNP account.

Annual deposit received by RNP: ₹2,52,000

Amount retained by outsource agent annually:

₹8,98,560 – ₹2,52,000 = ₹6,46,560

This indicates that the outsourced agents retained more than three times the amount deposited into the RNP account. Further, it was noted that RNP continues to incur several operational expenses associated with garbage collection, such as vehicle operation and maintenance, fuel expenses, manpower costs and other logistical expenditures.

Despite bearing these additional costs, the Nagar Panchayat is receiving only a small portion of the total garbage collection revenue, while the major share is being retained by the outsourced agents, leading to significant financial imbalance and loss of potential municipal revenue.

Implications/Effect

- There is a significant loss of revenue to the Nagar Panchayat (RNP), with only a fraction of the total collected amount being deposited in the official account.
- The outsourcing process lacked transparency and compliance with established procedures, raising concerns about fairness and accountability.

Cause

- Non-adherence to proper procedure for selection and appointment of outsource agents.
- Lack of documentation for certain periods.
- Absence of oversight or board meeting minutes.

3.4 RANGPO NP: Irregularities in Garbage Fee Collection – Zone II

During scrutiny of records related to garbage fee collection in Zone-II, significant procedural lapses were noted in the outsourcing and fee collection processes. Zone II, comprises 4,216 households across four wards.

Out of 4216 households, there were 1692 households in ward 2 (IBM), 976 households in ward 3 (Mandi Bazar), 1040 households in ward 4 (Upper Bazar) & 508 households in ward 5 (Chanatar).

As per municipal financial norms and outsourcing protocols:

- All outsourced agents must be formally appointed through documented agreements.
- Monthly garbage collection fees must be deposited into the Rangpo Nagar Panchayat (RNP) account.
- Records of agent allotment, fee collection, and deposit must be maintained for audit trail and accountability.

As per rule, an agent Srijana Bhujel was designated to collect fees for Ward 2 at ₹60 per household and deposit ₹18,000/month into an RNP account.

But for the remaining 2,524 households (Wards 3–5), it was found that no formal agreement or documentation of outsourcing was found. No garbage fee deposits were recorded in the RNP account.

from 2023 to March 2025 for these households which are highly objectionable. The expected revenue for these periods would have been Rs. 36,34,560/-

April 2023 to March 2025: $2524 \times ₹60 = ₹1,51,440 \text{ p.m.} \times 24 \text{ months} = ₹ 36,34,560/-$

The entire amount remains uncollected or unaccounted, reflecting substantial revenue loss. Further, the RNP continues to incur all related operational costs for garbage management including vehicle operation, fuel expenditure, and manpower wages. Despite bearing these costs, the Nagar Panchayat failed to collect revenue for two consecutive financial years, indicating negligence and poor financial control. Verbal allotments were reportedly made, but no written agreements or deposit records exist.

Effect:

- Significant revenue loss due to uncollected or unaccounted garbage fees.
- High probability for misappropriation or informal practices.
- Non-compliance with municipal financial procedures.

3.5. RANGPO NP: Incomplete Revenue Records, Lack of Staff Support, and Critical Need for Improved Revenue Management.

During scrutiny, the following observations were made while reviewing the revenue records of Rangpo Nagar Panchayat:

- i. Difficulty obtaining detailed revenue collection information due to incomplete records. Revenue receipts are not categorized or regularly tabulated, hindering transparency and accountability.
- ii. There appears to be a lack of proper record maintenance by revenue collection staff. This creates significant challenges for the accounts section in managing and processing revenue data.

Impact:

- Incomplete revenue records make it difficult to assess the Nagar Panchayat's financial health and hinder effective revenue management.
- The lack of categorization and tabulation raises concerns about transparency and the ability to track revenue sources.
- An understaffed accounts section is further burdened by the need to reconcile and organize poorly maintained revenue collection records, increasing the risk of errors and delays in processing. By addressing the following recommendations, the Nagar Panchayat can improve revenue management, ensure transparency, and streamline the workload for both revenue collection staff and the accounts section.
- The Nagar Panchayat should implement a system for regular (weekly/monthly) recording and tabulation of revenue receipts, categorized by source (e.g., taxes, fees, fines).
- Provide training to revenue collection staff on proper record-keeping practices. This includes emphasizing the importance of accurate and complete data entry, timely record keeping, and proper categorization of receipts.
- Evaluate staffing needs within the accounts section. Consider providing additional support staff or outsourcing specific data entry tasks to alleviate the workload.
- Foster a collaborative environment where revenue collection staff understand the importance of their role in supporting the accounts section and maintaining accurate financial records.

The action taken in this matter may be intimated to audit as early as possible.

3.6: MANGAN NP: Car Parking Contract – Irregularity

During audit scrutiny, it was noticed that the car parking contract of **Mangan Nagar Panchayat** was awarded to **Mr. Yogesh Pradhan** for **two consecutive financial years, viz. 2024-25 and 2025-26**. The prescribed contract fee for the financial year **2024-25 was Rs. 1,25,690/-**, while the prescribed contract fee for the financial year **2025-26 was Rs. 1,31,975/-**.

However, the audit observed that **only an amount of Rs. 1,25,690/-**, applicable to the financial year **2024-25**, was realized, despite the contract being allowed to continue for both financial years. The revenue-generating contracts are required to be awarded **for each financial year separately**, with

levy and realization of the prescribed fee for the respective year. Award of a contract for more than one financial year against receipt of a single year's fee is **not in conformity with the prescribed financial rules**.

As a result, the Nagar Panchayat **failed to realize the contract fee of Rs. 1,31,975/- for the financial year 2025-26**, leading to a **loss of revenue to the extent of Rs. 1,31,975/-**.

4. ADVANCE

4.1 Nayabazar Jorethang Nagar :Advance not adjusted

It was observed during the audit of accounts of Nayabazar Jorethang Nagar Panchayat that an amount of ₹1,68,150 was paid as 50% advance to a vendor for the work related to the "Website Development and Formation of Nagar Panchayat Management System" vide Cheque No. 305996 dated 02/04/2024, against the total project cost of ₹2,85,000.

However, as on the date of audit, the advance remains unadjusted. No completion certificate, final bill, or utilization statement was found on record to substantiate that the work was completed and the advance settled.

There is also no entry in the Advance Register or any follow-up correspondence with the vendor regarding the adjustment or recovery of the pending advance amount.

Rule 95(1) of the Sikkim Financial Rules, 1979 states:

"No advance shall be granted unless it is absolutely necessary, and every advance shall be properly recorded and adjusted as soon as the purpose for which it was made has been fulfilled."

4.2 Rangpo Nagar Panchayat-Unsettled advance travelling allowance

As per Government financial rules and municipal accounting procedures, all advances must be settled within the prescribed timeframe, generally within 15 to 30 days of return, along with supporting documents such as travel bills, tickets, hotel receipts, and expenditure statements. Any advance remaining unsettled beyond this period must be flagged and recovered to ensure financial discipline.

Contrary to these provisions, it was observed that an advance Travelling Allowance of ₹50,000/- was released in favour of the President, Rangpo Nagar Panchayat (RNP) for attending a training programme in Hyderabad (South India) vide Cheque No. 398650 dated 29/07/2024.

However, the advance remains unsettled as on the date of audit, and no supporting documents, vouchers, or expenditure statements were found in the records.

This constitutes a violation of financial norms related to timely settlement of advances and reflects poor financial control and misutilization risk of public funds.

5. DIVERSION OF FUND

5.1 RANGPO NAGAR PANCHAYAT - Diversion of Rs 32,00,000/-

The amount of ₹32,00,000/- was diverted from various Own Source Revenue (OSR) accounts to the 5th State Finance Commission (SFC) account during FY 2024-25. But the diverted amounts were not recouped back to the respective OSR accounts as of the date of audit.

As per norms, OSR funds are meant to be utilised exclusively for local development activities, including:

- Delivery of basic civic services,
- Maintenance of local infrastructure,
- Functions related to economic development and social justice entrusted by the State Government.

Sl. No.	From	To	Ch. No/date	Amount	Remarks
1.	OSR (Revenue)	5th SFC (A/C 2267)	394017/30/11/2024	10,00,000/-	Not recouped
2.	OSR (A/C 6297)	5th SFC (A/C 2267)	394074/24/02/2024	10,00,000/-	Not recouped
3.	OSR (A/C 6297)	5th SFC (A/C 2267)	402641/01.09.2024	4,00,000/-	Not recouped
4.	OSR (A/C 6297)	5th SFC (A/C 2267)	402648/01.10.2024	3,00,000/-	Not recouped
5.	OSR (A/C 6297)	5th SFC (A/C 2267)	402660/31.10.2024	5,00,000/-	Not recouped
			Total	32,00,000/-	

Since OSR funds cannot be diverted for other schemes without proper sanction, this diversion results in:

- Budgeting inaccuracies and misclassification of expenditures.
- Non-recoupment, reflecting weak financial controls and inadequate internal oversight.
- Violation of Sikkim Financial Rules (SFR) regarding fund integrity and proper utilization.
- Liquidity constraints for essential local development activities.
- Compromising the financial autonomy and intended utilization of OSR funds.

6. MISCELLANEOUS

6.1 GEYZING NAGAR PANCHAYAT: Non-utilization of DBT mode for 15th FC payment (2023-24)

Direct Benefit Transfer (DBT) is a system initiated by the Government of India to transfer funds directly into the beneficiaries' bank accounts ensuring transparency, accountability and efficiency in public fund utilization. The central guidelines on Direct Benefit Transfer for 15th FC would involve:-

- Adherence to PFMS: All payments must be tracked through the Public Financial Management System (PFMS).
- Geo-tagging and Beneficiary Identification: For physical assets created under 15th FC grants, geo-tagging and linking to beneficiary data is often required.
- Third-Party Audits: Many schemes include provisions for third-party evaluation, where DBT traceability is a key audit factor.

As aligned with the above cited rules and procedures and on examination of relevant documents and cash book of 15th Finance Commission for Gyalshing Nagar Panchayat it was observed that the payments related to 15th FC grants during financial year 2023-24 were not routed through PFMS, instead payments were made in the form of cheque in contrary to the prescribed norms. The following table details the disbursed amount in the form of the cheque payment as under:-

SL NO	PARTICULARS	CHEQUE NO & DATE	AMOUNT
1	Payment for supply of materials for the work Construction of CC footpath along with the protective wall at SNT Gyalshing	203376 20/04/2023	5,42,838
2	Payment for supply of materials for the works Construction of CC footpath at SNT	023382 25/05/2023	2,98,984
3	Payment for Construction of community toilet at Nayabazaar, Gyalshing	203385 15/07/2023	4,18,441

SL NO	PARTICULARS	CHEQUE NO & DATE	AMOUNT
4	Payment for repairing of roof/slap of this office (supplier)	203396 09/11/2023	1,68,600
5	Payment for repairing of roof/slap of this office (supplier)	203397 09/11/2023	1,12,210
6	Payment for repairing of box drain at Gyalshing	188751 13/04/2023	2,04,052

Therefore, observations were made wherein payments related to the 15th Finance Commission grants were disbursed through cheques during financial year 2023-24 instead of being routed through the Public Financial Management System(PFMS) which is the prescribed mode of transfer. This practice is not in accordance with the guidelines issued by the Nodal Department which mandates that all such payments be made through PFMS to ensure transparency, accountability and real time tracking of fund utilisation. The use of manual instruments as cheques for disbursement defeats the purpose of digital financial management and may lead to delays, lack of traceability etc.

6.2 GEYZING NAGAR PANCHAYAT : Loss of interest due to Own Source Revenue being retained in a non interest bearing current account

As per the provisions laid out under Para 3 of the Sikkim Gram Panchayat (Financial) Rules, 2003, all money received by the Nagar Panchayat from the sources specified under Clause (a) of Sub-rule (1) of Section 39 of the Sikkim Panchayat Act, 1993, are required to be deposited in a savings bank account maintained with any nationalized bank. This stipulation is intended to ensure prudent financial management and the accrual of interest on idle funds, thereby maximizing the financial resources available to the Nagar Panchayat for developmental and administrative purposes. Any deviation from this prescribed norm such as retaining funds in a current account may result in a loss of potential interest income and is not in conformity with the applicable financial regulations.

It was observed during the course of scrutiny that Geyzing Nagar Panchayat is operating two separate bank accounts for managing its Own Source Revenue (OSR) funds. Notably, one of these accounts is a current account maintained with IDBI Bank (Account No. 1887102000000259). The operation of a current account for Own Source Revenue is not in alignment with the provisions of Para 3 of the Sikkim Gram Panchayat (Financial) Rules, 2003, which clearly stipulates that all funds received from sources mentioned under Clause (a) of Sub-rule (1) of Section 39 of the Sikkim Panchayat Act, 1993, should be held in a savings account with a nationalised bank. The use of a current account which does not accrue interest has resulted in avoidable loss of potential interest income and reflects a deviation from the prescribed financial norms.

This has resulted in a loss of potential interest income that could have been earned had the funds been maintained in an interest-bearing account, thereby affecting the optimal utilization of financial resources.

6.3 Nayabazar Jorethang Nagar Panchayat Non-Deduction of Revenue Stamp Duty on Labour Payments.

During the audit of expenditure accounts of Nayabazar Jorethang Nagar Panchayat, it was observed that Revenue Stamp Duty was not affixed/deducted on certain labour payments made through Muster Roll (MR) sheets.

Payments exceeding ₹5,000 were made in cash to individual labourers or group workers under various schemes; however, the mandatory revenue stamp of ₹5 was not affixed on the corresponding MR payment receipts as per the applicable financial procedures.

This indicates non-compliance with prescribed payment documentation practices and results in incomplete authentication of disbursements.

Indian Stamp Act, 1899 (as applicable in Sikkim) – Schedule I, Article 53:

“A receipt for an amount exceeding ₹5,000 shall be duly stamped with a revenue stamp of ₹1 (amended to ₹5 in practice) to be valid as evidence of payment.”

Risk:

- Legal non-compliance with the Indian Stamp Act and state financial regulations.
- Risk of audit disallowance for unstamped payment receipts.
- Weakened internal financial control and reduced reliability of disbursement records.
- Increased risk of dispute over payment authenticity due to absent stamped acknowledgment.

Include revenue stamp verification as a checklist item prior to payment release.

6.4 Rangpo Nagar Panchayat Penalties Rs.28,080/-paid on Token tax

During the audit of vehicle-related expenditures, it was observed that a total penalty amount of ₹28,080/- was paid from the Nagar Panchayat account due to delayed payment of token tax for the following vehicles:

Vehicle No.	Tax from	Tax upto	Token tax	Fine	Total
SK.01.D.3722	15.01.24	14.01.25	4680	4680	9360
SK.01.D.4324	20.04.24	19.04.25	4460	4460	8920
SK.01.D.4325	20.04.24	19.04.25	4460	4460	8920
SK.01.D.3262	13.02.24	12.02.25	5780	5780	11560
SK.08D0161	-	-	8700	8700	17400
	Total		28,080/-	28,080/-	56,160

As per Sikkim Financial Rules (SFR), any loss or penalty incurred due to negligence, delay, or failure in performing official duties must be recovered from the government servant responsible.

However, the penalties amounting to ₹28,080/- were paid from the Nagar Panchayat account, instead of being recovered from the officer/official responsible for the delay.

This constitutes a violation of SFR provisions and reflects operational inefficiency and lack of timely compliance with statutory tax requirements. The penalty is an avoidable financial loss to the Nagar Panchayat.

6.5 Rangpo Nagar Panchayat- Irregularities on medical reimbursement payment

Audit scrutiny of medical reimbursement claims revealed several procedural lapses and non-compliance with established medical reimbursement rules. The following payments were made:

Sl. No.	Particulars	Cheque no.	Amount
1	Medical reimbursement of Smt. Sanju Mangar Councilor, ward no.1	402626 dt.5/07/24	12739/-
2	Medical reimbursement of Smt. Larshna Tamang, Councilor	402624 dt. 4.07.24	13205/-
3	Medical reimbursement of Sashi kala Singh, ATCT	402620 dt. 04.07.24	15423/-

The following observations were noticed:

- Health Department concurrence not obtained: As per norms, all medical reimbursement claims require prior concurrence from the Health Department. No such concurrence was found on record for the above cases.
- Prescribed Medical Reimbursement form not used: Medical claims must be submitted in the standard Government-approved format, accompanied by supporting documents. However, the prescribed medical reimbursement form was not used by any of the claimants.
- Claims submitted from private clinics/diagnostic centers: As per rules, medical reimbursement claims are to be processed based on treatment received from Government Hospitals unless specifically

referred. In all the above cases, bills were submitted from private clinics and diagnostic centers, without any referral or certification.

iv. Medical bills not certified by Medical Officer: All reimbursement claims require certification by a Government Medical Officer, confirming:

- genuineness of illness
- treatment undertaken
- admissibility of the claim

But no such certification was found.

v. No Individual claim files maintained: Separate files for each beneficiary must be maintained for audit and verification. No such files were created, and documents were found loosely attached or incomplete.

Due to absence of proper documentation, non-use of prescribed forms, and lack of medical officer certification, the above reimbursements appear unauthorized and irregular

6.6 MNP: Salary was given from OSR fund

During audit scrutiny of the accounts, it was noticed that salary and consolidated pay of regular staff, OFOJ staff, and Safai Mitra for the period **October 2024 to December 2024** were met from the **Own Source Revenue (OSR) fund**. As per financial norms, OSR fund is intended for meeting permissible operational and development-related expenditure and is **not meant for payment of salary and consolidated pay**, which are required to be met from the appropriate designated funds.

The utilization of OSR funds for payment of salary and consolidated pay was therefore **irregular** and resulted in diversion of OSR funds from their intended purpose. The details of such payments made

Sl. No.	Particulars	Cheque No & date	Amount
1.	Salary of OFOJ staff for the month of October 2024.	171551/28.10.2024	Rs. 31,500/-
2.	Salary of regular staff for the month of November 2024.	171568/30.11.2024	Rs. 1,50,768/-
3.	Consolidated Pay for the month of November 2024.	171569/30.11.2024	Rs. 47,407/-
4.	Consolidated Pay of safai mitra for the month of November 2024.	171570/30.11.2024	Rs. 1,23,021/-
5.	Salary of OFOJ staff for the month of Nov 2024.	171571/30.11.2024	Rs. 31,500/-
6.	Salary of Regular Staff for the month of December 2024.	387378/19.12.2024	Rs. 1,50,768/-
7.	Consolidated pay of Safai mitra for the month of December 2024.	387381/19.12.2024	Rs. 1,23,021/-
8.	Salary of OFOJ for the month of December 2024.	387382/19.12.2024	Rs. 31,500/-

from the OSR fund are furnished below:

6.7: MANGAN NP: Irregularities in Expenditure Incurred under National Urban Livelihood Mission (NULM)

During audit scrutiny of records relating to expenditure incurred under the National Urban Livelihood Mission (NULM), various irregularities were noticed, as detailed below:

Audit observed that reimbursement was made towards expenditure on Gazebo tents (blue and white color) without submission of authentic supporting documents. In the first instance, reimbursement amounting to Rs. 35,000/- was made for procurement of two sets of Gazebo tents, based on a challan

paper, without production of valid cash memos or tax invoices. The payment was made vide Cheque No. 509241 dated 13.03.2025.

Similarly, reimbursement was made towards expenditure incurred on purchase of Gazebo tent side cones (blue and white color), eight numbers, again without submission of authentic cash memos. The payment in this case was also made on the basis of a challan paper vide Cheque No. 509242 dated 13.03.2024. The absence of proper vouchers rendered the expenditure unsupported and irregular.

Further, audit scrutiny revealed irregularity in expenditure incurred on purchase of machinery for the Material Relief Facilities Centre under Mangan Nagar Panchayat, paid to Ms. Alpine through PFMS. It was noticed that as per the Notice Inviting Quotation (NIQ), the rate quoted by the supplier for the machinery was Rs. 4,92,000/-, whereas an amount of Rs. 5,12,000/- was claimed and paid in the final bill. This resulted in an excess drawl of Rs. 20,000/-, which was not supported by any justification or revised approval on record.

As per the provisions of the Sikkim Finance Rules, 1979, all expenditure is required to be supported by proper, valid and verifiable vouchers, and payments are to be restricted strictly to the approved and accepted rates. Non-submission of authentic vouchers and payment in excess of approved rates are not in conformity with the prescribed financial rules.

Due to the above irregularities, the expenditure incurred under NULM could not be verified for genuineness, resulting in wastage and inefficient utilization of NULM funds, and defeating the intended objectives of the mission.

6.7: Mangan Nagar Panchayat- Irregularities in Vehicle Repair Expenditure

During audit scrutiny of records relating to expenditure incurred on repair and maintenance of Vehicle No. SK-01G-0334, it was observed that payments were made without following the prescribed financial procedure.

Audit noticed that payments towards repair and maintenance of the vehicle were made through the following cheques:

- Cheque No. 171605 dated 29.03.2025 – Rs. 10,480/-
- Cheque No. 171607 dated 29.03.2025 – Rs. 17,552/-
- Cheque No. 200863 dated 27.08.2024 – Rs. 9,600/-
- Cheque No. 200862 dated 27.08.2024 – Rs. 14,999/-

Audit further observed that the prescribed procedures were not followed while incurring the above expenditure. The file procedure was not adhered to, and supply orders were not issued prior to execution of the work. In addition, payment vouchers were not prepared, and sanction approval of the competent authority was not obtained before releasing the payments.

As per the provisions of the Sikkim Finance Rules, 1979, all expenditure is required to be incurred only after obtaining proper administrative sanction, following the prescribed procurement procedure, issue of supply orders, and drawing of payments through duly prepared vouchers. Non-adherence to these requirements renders the expenditure irregular and unauthorized.

Due to the above lapses, the expenditure incurred on repair and maintenance of Vehicle No. SK-01G-0334 could not be verified for its reasonableness, necessity, and economy, resulting in irregular utilization of public funds.

6.8: Mangan Nagar Panchayat- Irregularities in Vehicle Repair Expenditure Irregular Payment on Refueling of HSD for Garbage Vehicles

During audit scrutiny of records relating to expenditure incurred on **refueling of HSD for garbage vehicles**, it was observed that payments were made without submission of any **supporting documents**, such as cash memos, fuel bills, log books, or stock registers.

Audit noticed that amounts were drawn repeatedly through cheques for purchase of HSD during the following period. However, in several cases, the **vehicle numbers were either not mentioned or not verifiable**, and no documentary evidence was produced to establish the actual consumption of fuel.

Details of the payments made are given below:

Sl. No.	Cheque No and Date	Amount	Vehicle No.
1	454045/30.04.2024	Rs.10,000/-	SK.03D.0666
2	454046/01.05.2024	Rs.10,000/-	SK.01D.3972
3	454095/15.05.2024	Rs.10,000/-	SK.03E.0334
4	454096/15.05.2024	Rs.10,000/-	SK.01D.3972
5	454102/22.05.2024	Rs.10,000/-	SK.01D.3972
6	454109/04.06.2024	Rs.10,000/-	Not mentioned
7	454110/04.06.2024	Rs.10,000/-	Not mentioned
8	454128/07.06.2024	Rs.10,000/-	SK.01D.3972
9	509115/07.06.2024	Rs.12000/-	Not mentioned
10	509122/19.2024	Rs.10,000/-	Not mentioned
11	509130/26.07.2024	Rs.10,000/-	SK.01D.3972
12	201007/29.07.2024	Rs.10,000/-	SK.01D.3972
13	201040/29.07.2024	Rs.10,000/-	Not mentioned
14	201042/29.07.2024	Rs.10,000/-	SK.01D.3972
15	201045/29.07.2024	Rs.10,000/-	SK.01D.3972
16	201047/29.07.2024	Rs.10,000/-	Not mentioned
17	201050/29.07.2024	Rs.10,000/-	Not mentioned
18	200931/30.07.2024	Rs. 0,000/-	Not mentioned
19	200938/30.07.2024	Rs.10,000/-	Not mentioned
20	200944/30.07.2024	Rs.10,000/-	SK.01D.3972
21	200852/14.08.2024	Rs.10,000/-	SK.01D.3972
22	201007/05.0.2024	Rs.15,000/-	SK.01D.0919 SK.01D.3972

Audit observed that **no supporting documents**, such as fuel bills were produced in support of the above payments.

As per the provisions of the **Sikkim Finance Rules, 1979**, all expenditure is required to be supported by **proper vouchers and documentary evidence**, and payments shall be made only after ensuring **verifiability, necessity, and correctness** of the expenditure. The absence of supporting records rendered the expenditure **irregular and unverifiable**.

Due to the above lapses, the expenditure incurred on refueling of HSD for garbage vehicles **could not be authenticated**, leading to the possibility of **misuse and wastage of public funds**.

6.9 Singtam Nagar Panchyat- Irregularities in Muster Roll (MR) Payments

During audit scrutiny of records relating to expenditure incurred from the 15th Finance Commission (FC) fund, it was observed that payments towards Muster Roll (MR) labour were made without proper M/R acknowledgement.

Audit noticed that expenditure amounting to Rs. 2,30,000/- was incurred towards MR payment for clearing of all five drains under Singtam Nagar Panchayat, and the payment was made vide Cheque No. 37425 dated 24.05.2024. However, MR acknowledgement from the laborers was not found on record.

6.10: Singtam Nagar Panchayat :Irregular Utilization of PM SVANidhi Fund

During audit scrutiny of records relating to utilisation of funds under the PM SVANidhi Scheme, it was observed that the funds were utilised for official purposes, which was not in accordance with the objectives of the scheme.

Audit was informed by the Nagar Panchayat that the expenditure was incurred for official use on the ground that guidelines were not available at the time. Audit observed that the plea of non-availability of guidelines cannot be accepted, as utilization of scheme funds is required to be governed strictly by the approved objectives and norms of the scheme.

Audit further noticed that the prescribed purchase procedure was not followed while incurring the expenditure from PM SVANidhi fund. Quotations were not obtained, comparative statements were not prepared, and supply orders were not issued prior to procurement. The absence of these mandatory records rendered the expenditure procedurally irregular and unverifiable.

As per the guidelines of the PM SVANidhi Scheme and the provisions of the Sikkim Finance Rules, 1979, scheme funds are to be utilized solely for the intended beneficiaries and purposes of the scheme, and all procurements are required to be made by following the prescribed financial procedures. Utilization of PM SVANidhi funds for official purposes and non-adherence to procurement procedure are not permissible.

Due to the above lapses, the expenditure incurred from the PM SVANidhi fund defeated the intended objectives of the scheme and resulted in irregular utilization of scheme funds.

B. AUDIT PARAS OF GANGTOK MUNICIPAL CORPORATION
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1. IRREGULARITIES REGARDING REVENUES

1.1 Irregularities regarding levying of taxes on parking spaces

Taxation is an important source of revenue generation. If imposed in the right manner, it minimizes the dependency of the Municipality on the central and state budget. Section 90 of the Sikkim Municipalities Act, 2007, lays down the guidelines to impose taxes, rates and fees by the Municipality with the approval of the State Government on the subjects mentioned from clause (a) to (j), which includes taxes on parking spaces. However, it was observed that there were many irregularities regarding levying of taxes on parking spaces, for which the municipality can adopt preventive measures for increasing the revenue generation.

Audit scrutiny revealed that there are a total of 18 parking zones under the jurisdiction of the Gangtok Municipal Corporation. However, in a few cases, the parking zones were allotted without following the prescribed tendering process. The tenders were not invited, and the parking contracts were awarded arbitrarily. This irregularity exposes the GMC to the risk of revenue loss.

Further, audit scrutiny revealed that parking fees were being collected in certain parking zones which were not included among the 18 notified parking zones under the jurisdiction of the Gangtok Municipal Corporation (GMC). Such instances were observed at the Tashi View Point parking zone and Ganeshtok parking zone. It was further noticed that the parking fees collected from these unauthorised locations were not deposited into the GMC account. Collection of parking fees from areas outside the approved parking zones and failure to remit the collected amount to the GMC account indicate deficiencies in enforcement mechanisms. Proper verification, regular inspection, and strict checks are required to prevent unauthorized collection of parking fees and to safeguard municipal revenue.

2. EXCESS PAYMENT

2.1 Excess Payment in Construction of Iconic Flower Pavilion at Gangtok

Audit scrutiny of records pertaining to the construction of the Iconic Flower Pavilion at Gangtok, undertaken by the Gangtok Municipal Corporation (GMC), revealed discrepancies in adherence to sanctioned financial limits. As per the administrative approval and financial sanction accorded by the competent authority, the total sanctioned cost for execution of the work was ₹1,19,60,00,000.

However, on detailed examination of the payment vouchers, bills, and related financial documents, it was observed that a total amount of ₹1,19,64,62,642 was released to the executing agency for the same work. This resulted in an excess payment of ₹4,62,642 over and above the sanctioned amount. The excess payment was made without obtaining revised administrative approval or financial sanction from the competent authority, thereby violating established financial rules and procedures. Such irregularity indicates inadequate financial oversight and weak internal control mechanisms within GMC. The excess payment exposes the Corporation to the risk of financial loss and sets an undesirable precedent of bypassing sanctioned limits.

CONCLUSION

The conclusion drawn based on the audit conducted on the accounts of the Local Bodies are as under:

The Annual Consolidated Audit Report (ACAR) for the financial year 2024–25, prepared as a statutory requirement under the *Sikkim Local Fund Audit Act, 2012*, achieved its objective of verifying financial propriety and adherence to the *Sikkim Financial Rules* across Local Bodies. The Directorate of Local Fund Audit successfully covered accounts for 212 out of 212 Local Bodies, including all Gram Panchayats, Zilla Panchayats, and Municipalities.

The financial review revealed substantial unspent balances, indicating weak financial planning and delayed execution of developmental activities. This high closing balance is compounded by the low utilization of critical grants, such as the 15th Finance Commission funds, where utilization rates were noted to be as low as 2.42% in some Gram Panchayat Units (GPUs).

A persistent and systemic failure to adhere to prescribed financial and procedural norms was observed across both Panchayati Raj Institutions (PRIs) and Municipalities. Key recurring irregularities include:

- **Financial Documentation and Control:** Widespread non-compliance with essential documentation rules, such as the failure to prepare payment vouchers, maintain proper cash books and advance registers, or conduct monthly bank reconciliation.
- **Procurement and Works Execution:** Significant procedural lapses were noted in the execution of civil works, including execution without sanctioned estimates, non-compliance with open competitive tendering procedures, and missing mandatory completion certificates or technical reports. Crucially, statutory deductions, including GST, Professional Tax, Labour Cess, and Forest Royalty, were frequently omitted or deducted but not promptly remitted to the government accounts.
- **Accountability:** Instances of **diversion of earmarked scheme funds** for unapproved purposes (such as using disaster preparedness funds for office stationery), irregular advance payment of Panchayat Honorarium, and issuing payments to individual staff (like PDAs and VGRAs) instead of the actual supplier/payee compromise financial propriety. Wasteful expenditure was also noted, such as excessive spending on garbage truck operation relative to own source revenue.
- **Audit Obstruction:** The pervasive issue of non-production of mandatory records, including Measurement Books (MB), Form No. 24, and procurement documentation, hinders the audit process and compromises the verifiability of substantial expenditures.

These repeated anomalies underline a critical need for enhanced internal controls and heightened financial literacy among functionaries in Local Bodies. The concerned authorities, namely the Rural Development Department and Urban Development Department, are urged to intervene to provide proper training and ensure stricter compliance with the *Sikkim Financial Rules* and relevant Acts. Timely and evidence-based action is required to ensure that public funds are utilized economically, efficiently, and solely for the intended purposes, thereby promoting greater transparency and accountability in local self-governance.

The DLFA has been expanding its audit coverage despite resource constraints. The DLFA has also attempted to educate local authorities on government regulations and financial rules, as well as the proper bookkeeping of expenditures and revenues. The XV Finance Commission's guidelines for the Audit Online platform have been communicated to the PRIs. The local body officials have assured the audit teams that they will take action to implement the audit's recommendations.



(KARMA LODA TSHERING, SFAS)
Director, Local Fund Audit,
Finance Department

Countersigned



(MCP PRADHAN, SFAS)
Controller of Accounts - cum - Secretary, Finance Department
Place: Gangtok

APPENDICES

APPENDIX- I

ANNUAL AUDIT PLAN 2025-26 & INSTITUTIONS AUDITED

During the financial year 2025-26, the following Local Bodies were planned and audited by the Local Fund Audit:

Sl. No	Name of the Institution	Total Units	Total Units covered	%
1.	Gram Panchayat Unit	199	199	100.00
2.	Zilla Panchayat	6	6	100.00
3.	Nagar Panchayat	5	5	100.00
4.	Municipal Council	1	1	100.00
5.	Municipal Corporation	1	1	100.00
	Total	212	212	100.00

1. Panchayati Raj Institutions

a. Gram Panchayat Units

Sl. No.	District	Block	GPU	Financial Year Audited
1	Pakyong	Duga	Sumin Lingzey	2024-25
2	Pakyong		West Pendam	-Do-
3	Pakyong		Central Pendam	-Do-
4	Pakyong		Budung Kamarey	-Do-
5	Gangtok	Khamdong	Sirwani	-Do-
6	Gangtok		Chisopani	-Do-
7	Gangtok		Khamdong	-Do-
8	Gangtok		Dung Dung Thasa	-Do-
9	Gangtok		Simik Lingzey	-Do-
10	Gangtok	Martam	Samlik Marchak	-Do-
11	Gangtok		Namli	-Do-
12	Gangtok		Martam Nazitam	-Do-
13	Gangtok		Beng Phegyong	-Do-
14	Gangtok	Nandok	Gnathang	-Do-
15	Gangtok		Assam Lingzey	-Do-
16	Gangtok		Bhusuk Naitam	-Do-
17	Gangtok		Nandok Saramsa	-Do-
18	Gangtok		Rongey Tathangchen	-Do-
19	Gangtok		Kopibari Syari	-Do-
20	Pakyong	Pakyong	East Pandam	-Do-
21	Pakyong		Chalamthang Pacheykhani	-Do-
22	Pakyong		Taza	-Do-
23	Pakyong		Biring Tareythang	-Do-
24	Pakyong		Amba	-Do-
25	Pakyong		Pachey Samsing	-Do-
26	Pakyong		Namcheybong	-Do-
27	Pakyong		Aho Yangtam	-Do-
28	Pakyong		Pakyong Yakten	-Do-
29	Pakyong	Parakha	Latuk Barapathing	-Do-
30	Pakyong		Linkey Parakha	-Do-
31	Pakyong		Riwa Machong	-Do-

Sl. No.	District	Block	GPU	Financial Year Audited
32	Gangtok	Rakdong Tintek	Tumin	-Do-
33	Gangtok		Samdong Kambal	-Do-
34	Gangtok		Rakdong Tintek	-Do-
35	Gangtok		Patuk Singbel	-Do-
36	Gangtok	Ranka	Luing Perbing	-Do-
37	Gangtok		Ranka	-Do-
38	Gangtok		Rey Mendu	-Do-
39	Gangtok		Rawtey Rumtek	-Do-
40	Pakyong	Regu	Dolepchen	-Do-
41	Pakyong		Regoh	-Do-
42	Pakyong		Premlakha Subaneydara	-Do-
43	Pakyong		Lingtam Phadamchen	-Do-
44	Pakyong		Rolep Lamaten	-Do-
45	Pakyong		Chujachen	-Do-
46	Pakyong		Rongli Changeylakha	-Do-
47	Pakyong	Rhenock	Tarpin	-Do-
48	Pakyong		Aritar	-Do-
49	Pakyong		Rhenock	-Do-
50	Pakyong		Sudunglakha	-Do-
51	Mangan	Chungthang	Chungthang	-Do-
52	Mangan		Shipgyer	-Do-
53	Mangan		Lachen Dzumsa	-Do-
54	Mangan		Lachung Dzumsa	-Do-
55	Mangan	Kabi	Kabi Rongpa	-Do-
56	Mangan		Lingchom Tingda	-Do-
57	Mangan		Phensang	-Do-
58	Mangan		Men Rongong	-Do-
59	Mangan		Rongong Tumlong	-Do-
60	Mangan		Navey Shotak	-Do-
61	Mangan		Lingdok Namphong	-Do-
62	Mangan		Kyongnosla	-Do-
63	Mangan	Mangan	Ramthang Tangyek	-Do-
64	Mangan		Namok Swayem	-Do-
65	Mangan		Mangshila Tibuk	-Do-
66	Mangan		Tingchem Chadey	-Do-
67	Mangan		Ringhim Nampatam	-Do-
68	Mangan		Singhik	-Do-
69	Mangan		Tung Naga	-Do-
70	Mangan	Passingdong	Lingthem Lingdem	-Do-
71	Mangan		Passingdang Safo	-Do-
72	Mangan		Tingvong	-Do-
73	Mangan		Sakyong Pentong	-Do-
74	Mangan		Lingdong Barfok	-Do-
75	Mangan		Hee Gyathang	-Do-
76	Mangan		Lum Gor Sangtok	-Do-
77	Namchi	Namchi	Rong Bul	-Do-
78	Namchi		Maniram Phalidara	-Do-
79	Namchi		Kitam Manpur	-Do-
80	Namchi		Mikkhola Singithang	-Do-
81	Namchi		Boomtar Salleybung	-Do-
82	Namchi		Sorok Shyanpani	-Do-

Sl. No.	District	Block	GPU	Financial Year Audited
83	Namchi		Assangthang	-Do-
84	Namchi		Mamely Kamrang	-Do-
85	Namchi		Tingrihang	-Do-
86	Namchi		Damthang	-Do-
87	Namchi		Kamrang	-Do-
88	Namchi	Namthang	Rameng-Nizrameng	-Do-
89	Namchi		Perbing-Dovan	-Do-
90	Namchi		Chuba Phong	-Do-
91	Namchi		Namthang Maneydara	-Do-
92	Namchi		Nagi Karek	-Do-
93	Namchi		Kateng Pamphok	-Do-
94	Namchi		Turung Mamring	-Do-
95	Namchi		Tanzi Bikmat	-Do-
96	Namchi		Rateypani	-Do-
97	Namchi		Saprey Naghi	-Do-
98	Namchi	Poklok Nandugaon	Salghari	-Do-
99	Namchi		Poklok Denchung	-Do-
100	Namchi		Tinik Chisopani	-Do-
101	Namchi		Denchong	-Do-
102	Namchi	Ravong	Rabong-Sangmo	-Do-
103	Namchi		Legship	-Do-
104	Namchi		Kewzing-Bakhim	-Do-
105	Namchi		Barfung-Zurung	-Do-
106	Namchi		Ralong-Namlung	-Do-
107	Namchi		Borong Phamthang	-Do-
108	Namchi		Ravang Berfong	-Do-
109	Namchi		Sangmo Rankay	-Do-
110	Namchi	Sikkip	Wak Omchu	-Do-
111	Namchi		Sanganath	-Do-
112	Namchi		Tinkitam Rayong	-Do-
113	Namchi		Lamting Tingmo	-Do-
114	Namchi	Sumbuk (Melli Sumbuk)	Sadam Suntoley	-Do-
115	Namchi		Mellidara Paiyong	-Do-
116	Namchi		Turuk Ramabong	-Do-
117	Namchi		Lungchok Kamarey	-Do-
118	Namchi		Sumbuk Kartikey	-Do-
119	Namchi		Sadam Rabitar	-Do-
120	Namchi	Temi	Ben Nampruk	-Do-
121	Namchi		Temi	-Do-
122	Namchi		Tarku	-Do-
123	Namchi		Namphing	-Do-
124	Namchi		Barnayak Tokal	-Do-
125	Namchi	Yangang	Lingi	-Do-
126	Namchi		Paiyong	-Do-
127	Namchi		Kolthang Tokday	-Do-
128	Namchi		Niya-Mangzing	-Do-
129	Namchi		Sripatam-Gagyong	-Do-
130	Namchi		Yangang-Rangang	-Do-
131	Gyalshing	Arithang Chongrong	Karzi Mangnam	-Do-
132	Gyalshing		Dhupidara Narkhola	-Do-
133	Gyalshing		Kongri Labdang	-Do-

Sl. No.	District	Block	GPU	Financial Year Audited
134	Gyalshing	Chumbong	Tashiding	-Do-
135	Gyalshing		Arithang Chongrang	-Do-
136	Soreng		Gelling Baiguney	-Do-
137	Soreng		Samsing Pipaley	-Do-
138	Soreng		Chakung	-Do-
139	Soreng		Mendogaon Berbotey	-Do-
140	Soreng		Chumbong	-Do-
141	Soreng		Zoom	-Do-
142	Soreng	Daramdin	Rumbuk	-Do-
143	Soreng		Upper Thambong	-Do-
144	Soreng		Lower Fambong	-Do-
145	Soreng		Lungchok Salyangdang	-Do-
146	Soreng		Siktam Tikpur	-Do-
147	Soreng		Okhrey	-Do-
148	Soreng		Ribdi Bhareng	-Do-
149	Gyalshing	Dentam	Sardong-Lungzik	-Do-
150	Gyalshing		Bongten Sapong	-Do-
151	Gyalshing		Karmatar-Gyaten	-Do-
152	Gyalshing		Maneybung	-Do-
153	Gyalshing		Sopakha	-Do-
154	Gyalshing		Dentam	-Do-
155	Gyalshing		Sangkhu Radhu Khandu	-Do-
156	Gyalshing		Hee	-Do-
157	Gyalshing	Gyalshing	Begha	
158	Gyalshing		Darap Nambu	-Do-
159	Gyalshing		Nambu Sindrabong	-Do-
160	Gyalshing		Singyang-Chumbong	-Do-
161	Gyalshing		Yangten	-Do-
162	Gyalshing		Gyalshing-Omchung	-Do-
163	Gyalshing		Yangthang	-Do-
164	Gyalshing		Lingchom-Tikjya	-Do-
165	Gyalshing		Tikjuk Kyongsa	-Do-
166	Soreng	Kaluk	Sangadorji	-Do-
167	Soreng		Tadong-Rinchenpong	-Do-
168	Soreng		Samdong	-Do-
169	Soreng		Deythang	-Do-
170	Soreng		Bara Samdong Boom Reshi	-Do-
171	Soreng	Mangalbaria	Parengaon	-Do-
172	Soreng		Takothang	-Do-
173	Soreng		Suldung-Kamling	-Do-
174	Soreng		Mabong-Segeng	-Do-
175	Soreng		Khaniserbong Suntale	-Do-
176	Gyalshing	Martam (Hee Martam)	Martam	-Do-
177	Gyalshing		Pecherek Hee Patal	-Do-
178	Gyalshing		Bermiok-Barthang	-Do-
179	Gyalshing		Berfok Chandabung	-Do-
180	Gyalshing		Yangsum	-Do-
181	Soreng	Soreng	Chota Samdong Arubotey	-Do-
182	Soreng		Malbasey	-Do-
183	Soreng		Bhudang	-Do-

Sl. No.	District	Block	GPU	Financial Year Audited
184	Soreng		Soreng	-Do-
185	Soreng		Singling	-Do-
186	Soreng		Timburbong	-Do-
187	Soreng		Tharpu	-Do-
189	Soreng		Karthok Bojek	-Do-
190	Soreng		Dodak	-Do-
191	Soreng		Mangsari Mangurjung	-Do-
192	Soreng		Burikhop	-Do-
193	Soreng		Lower Timburbung	-Do-
194	Gyalshing	Yuksom	Gerethang	-Do-
195	Gyalshing		Yuksom	-Do-
196	Gyalshing		Khecheopalri	-Do-
197	Gyalshing		Meliaching	-Do-
198	Gyalshing		Rimbi Tingbrum	-Do-
199	Gyalshing		Thingling	-Do-

b. Zilla Panchayat

Sl. No.	Name of Zilla Panchayat	Financial Years Audited
1.	Gangtok Zilla Panchayat	2024-25
2.	Pakyong Zilla Panchayat	-Do-
3.	Gyalshing Zilla Panchayat	-Do-
4.	Soreng Zilla Panchayat	-Do-
5.	Mangan Zilla Panchayat	-Do-
6.	Namchi Zilla Panchayat	-Do-

2. Municipalities

a. Nagar Panchayat

Sl. No.	Name of Nagar Panchayat	Financial Years Audited
1.	Mangan Nagar Panchayat	2024-25
2.	Singtam Nagar Panchayat	-Do-
3.	Rangpo Nagar Panchayat	-Do-
4.	Jorethang Nayabazar Nagar Panchayat	-Do-
5.	Gyalshing Nagar Panchayat	2023-24 & 2024-25

b. Municipal Council

Sl. No.	Name of Nagar Panchayat	Financial Years Audited
1.	Namchi Municipal Council	2023-24 & 2024-25

c. Corporation

Sl. No.	Name of Municipal Corporation	Financial Years Audited
1.	Gangtok Municipal Corporation	2023-24 & 2024-25

APPENDIX- II

**STATEMENT SHOWING THE FINANCIAL POSITION OF GRAM PANCHAYAT UNITS for the FY
2024-25 (in Rupees)**

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
Chungthang	Chungthang	15th FC	3693270	3685071	7378341	2750463	4627878
		Development Fund	346601	13119	359720	0	359720
		OSR	1131195	188926	1320121	70842	1249279
		SFC/GIA	8450350	4033866	12484216	5325637	7158579
	Chungthang Total		13621416	7920982	21542398	8146942	13395456
	Lachen Dzumsa	15th FC	5900470	2534820	8435290	2119616	6315674
		GIA	280675	1409535	1690210	1513428	176782
		SFC	5175997	904628	6080625	1201081	4879544
	Lachen Dzumsa Total		11357142	4848983	16206125	4834125	11372000
	Lachung Dzumsa	15th FC	2702966	2336291	5039257	1900432	3138825
		SFC/GIA	1988926	1861944	3850870	1803223	2047647
	Lachung Dzumsa Total		4691892	4198235	8890127	3703655	5186472
	Shipgyer	15th FC	1020566	691074	1711640	223050	1488590
		OSR	16003	22466	38469	12000	26469
		SFC/GIA	1388673	3223768	4612441	3872557	739884
	Shipgyer Total		2425242	3937308	6362550	4107607	2254943
Chungthang Total			32095692	20905508	53001200	20792329	32208871
Daramdin	Buriakhop	15th FC	1604483	1251944	2856427	752483	2103944
		OSR	89712	59752	149464	59206	90258
		SFC	3103513	2283531	5387044	2874064	2512980
	Buriakhop Total		4797708	3595227	8392935	3685753	4707182
	Dodak	15th FC	2548137	2025135	4573272	1140300	3432972
		GIA	214759	1944089	2158848	2013947	144901
		OSR	399370	58412	457782	156618	301164
		SFC	3824369	1389225	5213594	2103341	3110253
	Dodak Total		6986635	5416861	12403496	5414206	6989290
	Lower Fambong	15th FC	4139363	2451598	6590961	1205278	5385683
		GIA	237150	2078919	2316069	2118498	197571
		SFC/OSR	5715877	1117397	6833274	878872	5954402
	Lower Fambong Total		10092390	5647914	15740304	4202648	11537656
	Lungchok Salangdang	15th FC	2211011	1862036	4073047	1263423	2809624
		GIA	185968	3074497	3260465	2884501	375964
		SFC/OSR	5193975	1509540	6703515	1962407	4741108
		VWSC	20953	39010	59963	51000	8963

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Lungchok Salangdang Total		7611907	6485083	14096990	6161331	7935659
	Okhrey	15th FC	2123511	1596525	3720036	890898	2829138
		OSR/SFC	4560195	3157797	7717992	4230594	3487398
	Okhrey Total		6683706	4754322	11438028	5121492	6316536
	Ribdi Bhareng	15th FC	1549899	1338998	2888897	456486	2432411
		GIA	121318	2207339	2328657	2088152	240505
		SFC/OSR	2552187	968084	3520271	1443498	2076773
	Ribdi Bhareng Total		4223404	4514421	8737825	3988136	4749689
	Rumbuk	15th FC	1777755	1703154	3480909	1623045	1857864
		OSR	118054	66607	184661	103038	81623
		SFC	2212080	2072376	4284456	2897056	1387400
	Rumbuk Total		4107889	3842137	7950026	4623139	3326887
	Sapreynaghi	15th FC	246480	501677	748157	167775	580382
		GIA	397319	1526871	1924190	1781641	142549
		SFC/OSR	525847	296672	822519	160771	661748
		VWSC	25360	35543	60903	50095	10808
	Sapreynaghi Total		1195006	2360763	3555769	2160282	1395487
	Siktam Tikpur	GIA	298718	1852899	2151617	1856057	295560
		15th FC	2110548	1506893	3617441	1469521	2147920
		SFC/OSR	1760567	558125	2318692	1014128	1304564
	Siktam Tikpur Total		4169833	3917917	8087750	4339706	3748044
	Upper Thambong	15th FC	3880110	2838600	6718710	734702	5984008
		GIA	304756	2432100	2736856	2473237	263619
		OSR	349812	288938	638750	305920	332830
		SFC	4590971	1041170	5632141	897046	4735095
	Upper Thambong Total		9125649	6600808	15726457	4410905	11315552
Daramdin Total			58994127	47135453	106129580	44107598	62021982
Arithang Chongrang	Arithang Chongrang	OSR	177515	303177	480692	449548	31144
		SFC/GIA	2318831	2865669	5184500	3722314	1462186
	Arithang Chongrang Total		2496346	3168846	5665192	4171862	1493330
	Dhupidara Narkhola	15th FC	1712155	677487	2389642	306476	2083166
		GIA/SFC	786396	976340	1762736	322256	1440480
		OSR	81871	2280221	2362092	2337520	24572
	Dhupidara Narkhola Total		2580422	3934048	6514470	2966252	3548218
	Gerethang Labing	15th FC	2913231	1230801	4144032	1196036	2947996
		GIA/SFC	3065252	3687084	6752336	4888095	1864241

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		OSR	115623	478506	594129	791	593338
	Gerethang Labing Total		6094106	5396391	11490497	6084922	5405575
	Karjee Mangnam	15th FC	504987	344168	849155	20000	829155
		OSR	37365	10000	47365	44258	3107
		SFC/GIA	728518	2656554	3385072	2586142	798930
	Karjee Mangnam Total		1270870	3010722	4281592	2650400	1631192
	Kongri Labdang	15th FC	954780	940489	1895269	659763	1235506
		OSR	32301	111053	143354	101059	42295
		SFC/GIA	1806247	3655904	5462151	3516711	1945440
	Kongri Labdang Total		2793328	4707446	7500774	4277533	3223241
	Tashiding	15th FC	3606880	3674239	7281119	3817566	3463553
		GIA/SFC	4921080	4577255	9498335	4942993	4555342
		OSR	130245	146038	276283	77760	198523
	Tashiding Total		8658205	8397532	17055737	8838319	8217418
Arithang Chongrang Total			23893277	28614985	52508262	28989288	23518974
Baiguney	Gelling Baiguney	15th FC	1847662	1473722	3321384	945651	2375733
		OSR	6974	78589	85563	85021	542
		SFC/GIA	598712	2975857	3574569	3543369	31200
	Gelling Baiguney Total		2453348	4528168	6981516	4574041	2407475
	Mabong Segeng	15th FC	1825299	1829497	3654796	650380	3004416
		GIA/OSR	1288951	2038955	3327906	2028551	1299355
		SFC	3039423	638456	3677879	2322729	1355150
	Mabong Segeng Total		6153673	4506908	10660581	5001660	5658921
	Samsing Pipaley	OSR	51992	92021	144013	122250	21763
		15th FC	3285132	1459458	4744590	2068193	2676397
		GIA	168323	1689814	1858137	1832913	25224
		SFC	331545	651396	982941	966260	16681
	Samsing Pipaley Total		3836992	3892689	7729681	4989616	2740065
	Zoom	15th FC	2855337	1809453	4664790	1325600	3339190
		GIA	525680	3063204	3588884	3345538	243346
		SFC/OSR	1555549	686254	2241803	598708	1643095
	Zoom Total		4936566	5558911	10495477	5269846	5225631
Baiguney Total			17380579	18486676	35867255	19835163	16032092
Chumbung	Chakung	15th FC	2334305	1730224	4064529	1656184	2408345
		OSR	134217	317453	451670	189959	261711
		OSR/VWSC	5097	97805	102902	0	102902
		SFC	4951287	3316195	8267482	4278156	3989326

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Chakung Total		7424906	5461677	12886583	6124299	6762284
	Chotasamdong	15th FC	545307	1499794	2045101	0	2045101
		5thSFC/SIG/S NP	2280376	2988943	5269319	4379417	889902
		OSR	93469	38317	131786	47358	84428
	Chotasamdong Total		2919152	4527054	7446206	4426775	3019431
	Chumbung	15th FC	2700751	1705540	4406291	369960	4036331
		OSR	521673	89777	611450	133247	478203
		Sanitation	241692	32777	274469	81060	193409
		SCFC/GIA	5399998	3419867	8819865	3804381	5015484
	Chumbung Total		8864114	5247961	14112075	4388648	9723427
	Mendogaon Borbotey	15th FC	1154287	871032	2025319	348946	1676373
		5th SFC	1706588	3079664	4786252	3120773	1665479
		BMC	64089	1879	65968	10000	55968
		OSR	97207	252618	349825	231512	21106
	Mendogaon Borbotey Total		3022171	4205193	7227364	3711231	3418926
Chumbung Total			22230343	19441885	41672228	18650953	22924068
Dentam	Begha	15th FC	477277	1388100	1865377	1069151	796226
		SFC/OSR	909255	1345206	2254461	1090546	1163915
	Begha Total		1386532	2733306	4119838	2159697	1960141
	Bongten Sampong	15th FC	1217870	1833687	3051557	275486	2776071
		GIA/SFC/OS R	2746296	4002833	6749129	3068646	3680483
	Bongten Sampong Total		3964166	5836520	9800686	3344132	6456554
	Gitang Karmatar	15 FC	1485796	1701995	3187791	1631052	1556739
		SFC/GIA/OS R	2856314	3516409	6372723	4628359	1744364
	Gitang Karmatar Total		4342110	5218404	9560514	6259411	3301103
	Hee	15th FC	1467249	2313436	3780685	2725681	1055004
		SFC/OSR	1854588	554647	2409235	2059526	349709
	Hee Total		3321837	2868083	6189920	4785207	1404713
	Maneybong	15 FC	1215539	1959222	3174761	810786	2363975
		SFC/GIA/OS R	2355540	3305112	5660652	3550447	2110205
	Maneybong Total		3571080	5264334	8835414	4361233	4474181
	Mangmo Dentam	15th FC	2947156	1678358	4625514	1281813	3343701
		SFC/OSR	1522393	2398127	3920520	3484591	435929
	Mangmo Dentam Total		4469549	4076485	8546034	4766404	3779630
	ngkhu Radhu Khan	SFC,OSR	944607	4347917	5292524	5054566	237958

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		XVFC	1304230	3443481	4747711	2934246	1813465
	Sangkhu Radhu Khandu Total		2248837	7791398	10040235	7988812	2051423
	Sardong Lungzik	15th FC	1964379	1479312	3443691	1117031	2326660
		OSR	87736	107516	195252	190348	4904
		SFC/GIA	415815	2965272	3381087	2401226	979861
	Sardong Lungzik Total		2467930	4552100	7020030	3708605	3311425
	Sopakha	15th FC	1263068	1919126	3182194	1597352	1584842
		SFC/GIA/OSR	1744509	2254339	3998848	2745163	1253685
	Sopakha Total		3007577	4173465	7181042	4342515	2838527
Dentam Total			28779618	42514095	71293713	41716016	29577697
Duga	Budang Kamerey	OSR	151417	268498	419915	87009	332906
		15th FC	1354718	2537851	3892569	1216685	2675884
		SFC/GIA	2527396	1191456	3718852	1052248	2666604
	Budang Kamerey Total		4033531	3997805	8031336	2355942	5675394
	Central Pendam	15th FC	2344934	5759323	8104257	3480430	4623827
		5th SFC	3955911	1942804	5898715	2267604	3631111
		OSR	423503	2987725	3411228	2861530	549698
	Central Pendam Total		6724348	10689852	17414200	8609564	8804636
	West Pendam	15th FC	2884323	6236298	9120621	3304736	5815885
		OSR	300759	532422	833181	257224	575957
		SFC	2086358	4615060	6701418	6156442	544976
	West Pendam Total		5271440	11383780	16655220	9718402	6936818
Duga Total			16029319	26071437	42100756	20683908	21416848
Dzongu	Hee Gyathang	15th FC	2247906	1445339	3693245	1972801	1720444
		GIA	530900	2749128	3280028	2823751	456277
		OSR	36854	84477	121331	74071	47260
		SFC	2955772	965035	3920807	1659628	2261179
	Hee Gyathang Total		5771432	5243979	11015411	6530251	4485160
	Lingdong Barfok	15th FC	1737449	1190045	2927494	884424	2043070
		GIA	651509	2561992	3213501	2984824	228677
		OSR	17792	170527	188319	91916	96403
		SFC	1124331	756914	1881245	1197862	683383
	Lingdong Barfok Total		3531081	4679478	8210559	5159026	3051533
	Lingthem Lingdem	15th FC	2343372	1546147	3889519	979286	2910233
		SFC/OSR	3541499	3015130	6556629	3366365	3190264
	Lingthem Lingdem Total		5884871	4561277	10446148	4345651	6100497

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Lumgor Sangtok	15th FC	1580584	1708713	3289297	1112422	2176875
		OSR	60179	32510	92689	67534	25155
		SFC	3320624	2571574	5892198	2973507	2918691
	Lumgor Sangtok Total		4961387	4312797	9274184	4153463	5120721
	Passingdang Saffo	15th FC	934063	815156	1749219	684961	1064258
		GIA	344155	1518705	1862860	1687880	174980
		OSR	59141	21452	80593	1885	78708
		SFC	2315423	2192179	4507602	2246213	2261389
	Passingdang Saffo Total		3652782	4547492	8200274	4620939	3579335
	Sakyong Pentong	15th FC	596382	589667	1186049	606349	579700
		GIA	190744	654686	845430	676295	169135
		OSR	177182	80394	257576	33009	224567
		SFC	1770265	2435820	4206085	2966714	1239371
	Sakyong Pentong Total		2734573	3760567	6495140	4282367	2212773
	Tingvong	15th FC	933862	927311	1861173	918470	942703
		GIA	429396	1918353	2347749	1973994	373755
		OSR1	40074	114816	154890	65379	89511
		OSR2	0	176685	176685	0	176685
		SFC	2158917	1023306	3182223	765740	2416483
	Tingvong Total		3562249	4160471	7722720	3723583	3999137
Dzongu Total			30098375	31266061	61364436	32815280	28549156
Gyalshing	Darap Shingpheng	15th FC	2354346	1696544	4050890	1116491	2934399
		5th FC& GIA	1889373	3410895	5300268	4677341	622927
		OSR	85128	111550	196678	89888	106790
	Darap Shingpheng Total		4328847	5218989	9547836	5883720	3664116
	Gyalshing Omchung	15th FC	2732981	2122953	4855934	1324359	3531575
		5th SFC	2077354	4138000	6215354	5504232	711122
		OSR	134315	382338	516653	408481	108172
	Gyalshing Omchung Total		4944650	6643291	11587941	7237072	4350869
	Lingchom Tikjek	15th FC	2434988	2898200	5333188	2075857	3257331
		5th FC	3368013	1020722	4388735	1694406	2694329
		GIA	296843	1092944	1389787	1335524	54263
		OSR	358640	62796	421436	273288	148148
	Lingchom Tikjek Total		6458484	5074662	11533146	5379075	6154071
	Sindarbung	15 Th FC	412382	1237421	1649803	882993	766810
		5 Th FC/GIA	661756	1810649	2472405	2376881	95524
		OSR	24048	88067	112115	106954	5161
	Sindarbung Total		1098186	3136137	4234323	3366828	867495

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Singyang Chumbung	15th FC	2878942	2802361	5681303	1075829	4605474
		5th SFC	3443931	985912	4429843	950984	3478859
		GIA	250732	2451001	2701733	2487856	213877
		OSR	488269	408253	896522	779917	116605
	Singyang Chumbung Total		7061874	6647527	13709401	5294586	8414815
	Tikjuk Kyongsa	15th FC	481503	1448721	1930224	389741	1540483
		OSR	136398	250341	386739	134721	252018
		SFC	806778	2184702	2991480	2054491	936989
	Tikjuk Kyongsa Total		1424679	3883764	5308443	2578953	2729490
	Yangtey	15th FC	2949396	85381	3034777	1350454	1684323
		OSR	116577	165140	281717	32521	249196
		SFC	4024559	3574922	7599481	4250295	3349186
	Yangtey Total		7090532	3825443	10915975	5633270	5282705
	Yangthang	15th FC	2576054	1796888	4372942	412600	3960342
		SFC/OSR	2829663	5342771	8172434	5105284	3067150
	Yangthang Total		5405717	7139659	12545376	5517884	7027492
Gyalshing Total			37812969	41569472	79382441	40891388	38491053
Hee Martam	Berfok Chandabong	15th FC	523793	1573435	2097228	338911	1758317
		SFC/OSR	1342271	2087632	3429903	2279224	1150679
	Berfok Chandabong Total		1866064	3661067	5527131	2618135	2908996
	Bermiok Barthang	15th FC	2137442	2869305	5006747	1350086	3656661
		5th SFC & GIA	1973503	3219809	5193312	4127891	1065421
		OSR	397620	258410	656030	10958	645072
	Bermiok Barthang Total		4508565	6347524	10856089	5488935	5367154
	Martam	15th FC	1214956	1803814	3018770	1026139	1992631
		5th SFC & GIA	1886792	2708066	4594858	3448622	1146236
		OSR	128323	37802	166125	63245	102880
		OSR (garbage)	1148	19593	20741	17341	3400
		OSR(online)	22840	43447	66287	39056	27231
	Martam Total		3254059	4612722	7866781	4594403	3272378
	Pecherek Hee Patal	15th FC	1139139	1194934	2334073	494077	1839996
		5th SFC	2284236	768000	3052236	486396	2565840
	Pecherek Hee Patal Total		3423375	1962934	5386309	980473	4405836
	Yungsum	15th FC	2823342	1587396	4410738	2072119	2338619
		e	5545909	4731607	10277516	5972551	4304965

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		OSR	51536	69035	120571	98980	21591
		SFC	2671031	3075176	5746207	3801452	1944755
	Yungsum Total		11091818	9463214	20555032	11945102	8609930
Hee Martam Total			24143881	26047461	50191342	25627048	24564294
Kabi	Kabi Rongpa	15th FC	886167	974846	1861013	1050629	810384
		GIA	502620	2008922	2511542	2313024	198518
		OSR	449378	123605	572983	95042	477941
		SFC	829575	333558	1163133	310321	852812
	Kabi Rongpa Total		2667740	3440931	6108671	3769016	2339655
	Kyongnosla	15th FC	2062693	972413	3035106	650304	2384802
		GIA	568560	1520017	2088577	1509550	579027
		OSR	295989	277434	573423	446677	126746
		SFC	2259297	1060663	3319960	759341	2560619
	Kyongnosla Total		5186539	3830527	9017066	3365872	5651194
	Lingchom Tingda	15th FC	1064729	952149	2016878	460200	1556678
		GIA/SFC	1722554	1425629	3148183	2043646	1104537
		OSR	36126	94979	131105	0	131105
	Lingchom Tingda Total		2823409	2472757	5296166	2503846	2792320
	Lingdok Nampong	15th FC	1370892	1706668	3077560	1166290	1911270
		5th SFC	657993	740126	1398119	844025	554094
		OSR	58101	78711	136812	95574	41238
		Salary/Hon	403411	3037118	3440529	3406528	34001
	Lingdok Nampong Total		2490397	5562623	8053020	5512417	2540603
	Men Rongrong	15th FC	789997	1139835	1929832	743531	1186301
		4th SFC	163272	0	163272	180	163092
		5th SFC	1267405	363000	1630405	721618	908787
		GIA	921567	1669786	2591353	1779038	812315
		OSR	466630	109305	575935	128473	447462
		SIG	501447	365000	866447	279035	587412
	Men Rongrong Total		4110318	3646926	7757244	3651875	4105369
	Navey Shotak	15th FC	4188952	3009207	7198159	2334954	4863205
		5th SFC/OSR/GI A	5013594	3115914	8129508	3407840	4721668
	Navey Shotak Total		9202546	6125121	15327667	5742794	9584873
	Phensang	15th FC	886167	974846	1861013	1050629	810384
		GIA	502620	2008922	2511542	2313024	198518
		OSR	224968	115253	340221	0	340221
		OSR II	224410	8352	232762	95042	137720

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		SFC	829575	333558	1163133	310321	852812
	Phensang Total		2667740	3440931	6108671	3769016	2339655
	Rongong Tumlong	14h FC	761314	0	761314	373708	387606
		15th FC	1705140	1758427	3463567	1804191	1659376
		4th SFC	111424	0	111424	0	111424
		5th SFC	2306249	1117000	3423249	1182035	2241214
		GIA	164633	1680333	1844966	1550252	294714
		OSR	492205	116905	609110	54900	554210
	Rongong Tumlong Total		5540965	4672665	10213630	4965086	5248544
Kabi Total			34689654	33192481	67882135	33279922	34602213
Kaluk	Barasamdong Boom Reshi	15th FC	593072	1766670	2359742	682596	1677146
		GIA	33069	1861656	1894725	1814591	80134
		OSR	1161520	1154060	2315580	1312765	1002815
	amdong Boom Resh		1787661	4782386	6570047	3809952	2760095
	Deythang	14th FC & ICDS Salary	2276	75	2351	0	2351
		15th FC	489248	1193355	1682603	460311	1222292
		BMC	90924	2986	93910	0	93910
		GIA & 5th SFC	1912283	1940224	3852507	1995201	1857306
		OSR	524334	195928	720262	241510	478752
	Deythang Total		3019065	3332568	6351633	2697022	3654611
	Samdong Sribadam	15th FC	2416920	1726061	4142981	1965570	2177411
		GIA,5th SFC	2911434	3277429	6188863	4518723	1670140
		OSR	407029	557190	964219	688721	275498
	Samdong Sribadam Total		5735383	5560680	11296063	7173014	4123049
	Sangadorji	15th FC	986373	2639651	3626024	1667454	1958570
		OSR	63852	155186	219038	215828	3210
		SFC	1899802	2773380	4673182	3472810	1200372
	Sangadorji Total		2950027	5568217	8518244	5356092	3162152
	Tadong Rinchenpong	15th FFC	1449948	2659006	4108954	1162001	2946953
		5th SFC/GIA	3494802	2570461	6065263	3434833	2630430
		BIO Diversity	92406	3498	95904	100	95804
		OSR	173230	442295	615525	450473	165052
		WSSC	3793	140	3933	150	3783
	Tadong Rinchenpong Total		5214179	5675400	10889579	5047557	5842022
Kaluk Total			18706315	24919251	43625566	24083637	19541929
Khamdong	Chisopani	15th FC	1820977	2534564	4355541	361103	3994438

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		5th SFC/OSR/4T H SFC	2913304	900114	3813418	1576331	2237087
		GIA	156971	1418033	1575004	1452129	122875
		OSR (OLD)	7951	731	8682	8682	0
		OSR(NEW)	572330	221319	793649	225006	568643
	Chisopani Total		5471533	5074761	10546294	3623251	6923043
	Dung Dung Thasa	14TH FC	7063	214	7277	0	7277
		15th FC	3471644	2086985	5558629	632244	4926385
		5th SFC	1648032	698182	2346214	494591	1851623
		GIA	250420	2972024	3222444	2969007	253437
		OSR (NEW)	55208	159159	214367	13433	200934
		OSR (OLD)	171589	58007	229596	213767	15829
	Dung Dung Thasa Total		5603956	5974571	11578527	4323042	7255485
	Khamdong	15th FC	4264933	2745230	7010163	310180	6699983
		GIA	273926	3272832	3546758	3253710	293048
		OSR	525933	47889	573822	336725	237097
		SFC	2576397	925664	3502061	1046175	2455886
		TRADE LICENSE	114693	38947	153640	0	153640
	Khamdong Total		7755882	7030562	14786444	4946790	9839654
	Simik Lingzey	15th FC NEW	271000	2151346	2422346	624450	1797896
		15th FC OLD	1382833	569020	1951853	1576720	375133
		5th SFC NEW	1424048	572462	1996510	1835277	161233
		5th SFC OLD	532412	448781	981193	530474	450719
		OSR	139059	29159	168218	1416	166802
		SALARY	261315	2745550	3006865	2731923	274942
	Simik Lingzey Total		4010667	6516318	10526985	7300260	3226725
	Sirwani	15th FC	2279826	2552720	4832546	453370	4379176
		GIA	165625	1969155	2134780	2061578	73202
		OSR	73043	105943	178986	100106	78880
		SFC	1613458	852222	2465680	1690967	774713
	Sirwani Total		4131952	5480040	9611992	4306021	5305971
Khamdong Total			26973990	30076252	57050242	24499364	32550878
Mangalbaria	Khanisherbong Suntaley	15th FC	1716626	1415328	3131954	866455	2265499
		OSR	47666	1004	48670	46000	2670
		SFC/GIA	1345750	2779965	4125715	2954496	1171219
	Khanisherbong Suntaley Total		3110042	4196297	7306339	3866951	3439388
	Parengaon	15th FC	1541226	1258745	2799971	1034257	1765714

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		SFC/GIA/OS R	2766569	2260491	5027060	2075584	2951476
	Parengaon Total		4307795	3519236	7827031	3109841	4717190
	Suldung Kamling	15th FC	3708460	2853782	6562242	2032990	4529252
		OSR	41961	487041	529002	499224	29778
		SFC/GIA	2602570	3033523	5636093	3362538	2273555
	Suldung Kamling Total		6352991	6374346	12727337	5894752	6832585
	Takuthang Chuchachen	15th FC	2896170	2036765	4932935	962201	3970734
		GIA	135731	1703395	1839126	1695070	144056
		SFC/GIA	3826265	1860235	5686500	1833117	3853383
	Takuthang Chuchachen Total		6858166	5600395	12458561	4490388	7968173
Mangalbaria Total			20628994	19690274	40319268	17361932	22957336
Mangan	Mangshila Tibuk	15th FC	637760	2015810	2653570	1654818	998752
		5th FC	1047471	3095625	4143096	4118389	24707
		OSR	268405	161049	429454	111416	318038
	Mangshila Tibuk Total		1953636	5272484	7226120	5884623	1341497
	Namok Swayem	15th FC	341413	1314727	1656140	462613	1193527
		5th SFC	506541	852085	1358626	1355161	3465
		GIA	25177	1845806	1870983	1839766	31217
		OSR	86610	38192	124802	41416	83386
	Namok Swayem Total		959741	4050810	5010551	3698956	1311595
	Ramthang Tengyek	15th FC	789860	1038769	1828629	972812	855817
		5th FC	2391219	4053081	6444300	4243750	2200550
		OSR	161206	95904	257110	82654	174456
	Ramthang Tengyek Total		3342285	5187754	8530039	5299216	3230823
	Ringhim Nampitam	15th FC	1405090	2268511	3673601	1598121	2075480
		GIA	0	2985357	2985357	2985357	0
		OSR	48336	687854	736190	536492	199698
		SFC	1379992	759328	2139320	993707	1145613
	Ringhim Nampitam Total		2833418	6701050	9534468	6113677	3420791
	Singhik Sentam	15th FC	2503722	2462119	4965841	1178257	3787584
		GIA & SFC	3297095	3195882	6492977	3634820	2858157
		OSR	293621	452774	746395	425959	320436
	Singhik Sentam Total		6094438	6110775	12205213	5239036	6966177
	Tingchim Chandey	15th FC	682812	1961286	2644098	2197644	446454

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		5th FC & GIA	513717	2820484	3334201	3317008	17193
		OSR	105943	212038	317981	217116	100865
	Tingchim Chandey Total		1302472	4993808	6296280	5731768	564512
	Toong Naga	15th FC	2169323	1862723	4032046	1125636	2906410
		5th SFC/GIA	2493216	4033301	6526517	4084946	2441571
		OSR	225428	79277	304705	92995	211710
	Toong Naga Total		4887967	5975301	10863268	5303577	5559691
Mangan Total			21373957	38291982	59665939	37270853	22395086
Martam	Beng Phegyong	15th FC	1483850	3161947	4645797	2220136	2425661
		GIA	166259	2136670	2302929	1956376	180294
		OSR	130869	340504	471373	159945	311428
		SFC	1255250	1040678	2295928	1448279	847649
	Beng Phegyong Total		3036228	6679799	9716027	5784736	3765032
	Martam Nazitam	15th FC	2628275	4169370	6797645	1773218	5024427
		GIA	466913	1861922	2328835	1944433	384402
		OSR	87547	120688	208235	153095	55140
		SFC	3123498	1326000	4449498	1899915	2549583
	Martam Nazitam Total		6306233	7477980	13784213	5770661	8013552
	Namli	15th FC	1684155	2533351	4217506	2214432	2003074
		5th SFC	962591	867585	1830176	909000	921176
		GIA	83381	1397752	1481133	1458811	22322
		OSR	32280	1083445	1115725	1030911	52534
	Namli Total		2762407	5882133	8644540	5613154	2999106
	Samlick Marchak	15th FC	957296	2380831	3338127	1055732	2282395
		5th SFC	1078240	830497	1908737	1212542	696195
		GIA	191024	1837529	2028553	1902179	126374
		OSR	85811	1228161	1313972	965610	348362
	Samlick Marchak Total		2312371	6277018	8589389	5136063	3453326
Martam Total			14417239	26316930	40734169	22304614	18231016
Melli Sumbuk	Lungchok Kameray	15th FC	1788505	1599954	3388459	491638	2896821
		BMC	64016	9441	73457	7000	66457
		GIA	41697	1579	43276	0	43276
		OSR	98816	375766	474582	142819	331763
		SFC	3206420	3177698	6384118	3051672	3332446
	Lungchok Kameray Total		5199454	5164438	10363892	3693129	6670763
	Melli Dara Paiyong	15th FC	3557380	4801462	8358842	3950214	4408628
		OSR	49303	937170	986473	910570	75903
		SFC	758130	5042215	5800345	5537337	263008

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Melli Dara Paiyong Total		4364813	10780847	15145660	10398121	4747539
	Sadam Rabitar	15th FC	342286	1919518	2261804	0	2261804
		OSR	348528	321621	670149	308652	361497
		SFC	1458315	1947022	3405337	1870244	1535093
	Sadam Rabitar Total		2149129	4188161	6337290	2178896	4158394
	Sukrabarey Suntaley	15th FC	6189362	2160085	8349447	1877543	6471904
		OSR	1821217	986340	2807557	630415	2177142
		SFC	7716168	3150172	10866340	3980564	6885776
	Sukrabarey Suntaley Total		15726747	6296597	22023344	6488522	15534822
	Sumbuk Kartikey	15th FC	3707269	2197544	5904813	1012028	4892785
		OSR	76442	178700	255142	217007	38135
		SFC	3122579	2263298	5385877	2727257	2658620
	Sumbuk Kartikey Total		6906290	4639542	11545832	3956292	7589540
	Turuk Ramabong	15th FC	4793097	2674111	7467208	1049388	6417820
		BMC	63536	1924	65460	0	65460
		OSR	326912	179283	506195	472281	33914
		SFC 2	136294	5159	141453	0	141453
		SFC1	3252320	3091277	6343597	3527242	2816355
		VWSC	233741	98394	332135	58585	273550
	Turuk Ramabong Total		8805900	6050148	14856048	5107496	9748552
Melli Sumbuk Total			43152333	37119733	80272066	31822456	48449610
Namcheybong	Aho Yangtam	15th FC	2544695	3856535	6401230	1756200	4645030
		5th SFC	3779021	2563528	6342549	4776559	1565990
		OSR	1593050	1208740	2801790	2740491	61299
	Aho Yangtam Total		7916766	7628803	15545569	9273250	6272319
	Assam Lingzey	15th FC	2221878	3454766	5676644	1115667	4560977
		5th SFC	2782143	1169662	3951805	845873	3105932
		GIA	199635	1845501	2045136	1790951	254185
		OSR (N)	296086	866051	1162137	360637	801500
		OSR (O)	1180	40	1220	118	1102
	Assam Lingzey Total		5500922	7336020	12836942	4113246	8723696
	Namcheybong	15th FC	4998918	4774649	9773567	2607190	7166377
		OSR (N)	488991	1244746	1733737	1355592	378145
		SFC/GIA	5188711	4641429	9830140	6324209	3505931
	Namcheybong Total		10676620	10660824	21337444	10286991	11050453
	Sumin Lingzey	15th FC	2588956	2637579	5226535	1240452	3986083

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		5th SFC	1084346	3898047	4982393	2981936	2000457
		OSR	214884	77420	292304	157124	135180
	Sumin Lingzey Total		3888186	6613046	10501232	4379512	6121720
Namcheybong Total			27982494	32238693	60221187	28052999	32168188
Namchi	Assangthang	15th FC	1387586	1522098	2909684	2255210	654474
		5th SFC	2410592	3695408	6106000	4937120	1168880
		OSR	37137	411063	448200	360707	87493
	Assangthang Total		3835315	5628569	9463884	7553037	1910847
	Bomtar	15th FC	1995982	1526693	3522675	665109	2857566
		GIA/SFC	2286309	2108116	4394425	2383168	2011257
		OSR	179405	278902	458307	399402	58905
		VWSC	1000	25636	26636	1000	25636
	Bomtar Total		4462696	3939347	8402043	3448679	4953364
	Damthang	15th FC	2161954	1490555	3652509	607378	3045131
		5th SFC	5455506	3637713	9093219	6167861	2925358
		OSR	171547	195624	367171	222	366949
	Damthang Total		7789007	5323892	13112899	6775461	6337438
	Kamrang	15th FC	466573	1050499	1517072	277294	1239778
		5th SFC	809611	3463646	4273257	3427617	845640
		OSR	119329	91187	210516	70592	139924
	Kamrang Total		1395513	4605332	6000845	3775503	2225342
	Kitam Manpur	14th FC	17306	655	17961	0	17961
		15th FC	2260385	1211030	3471415	331903	3139512
		OSR	118051	339327	457378	393384	63994
		OSR (new)	1000	37195	38195	0	38195
		SFC/GIA	546451	4097447	4643898	2984726	1659172
		SIG	2030198	408185	2438383	1948337	490046
	Kitam Manpur Total		4973391	6093839	11067230	5658350	5408880
	Mamley	15th FC	2585943	954156	3540099	564756	2975343
		5th SFC/GIA	2530317	2188920	4719237	3138322	1580915
		OSR	62330	17354	79684	49724	29960
	Mamley Total		5178590	3160430	8339020	3752802	4586218
	Maniram Phalidara	14th FC/4th SFC	3786213	1118572	4904785	3146335	1758450
		15th FC/5th SFC	4202140	4624675	8826815	5390225	3436590
		OSR	273604	301243	574847	159867	414980
	Maniram Phalidara Total		8261957	6044490	14306447	8696427	5610020
	Mickkhola	15th FC	1715210	1549033	3264243	1063530	2200713
		GIA/SFC	2615130	3232069	5847199	3287506	2559693

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		OSR	72058	254793	326851	293095	33756
	Mickkhola Total		4402398	5035895	9438293	4644131	4794162
	Rongbul	15th FC	1488583	832880	2321463	369705	1951758
		5thSFC/GIA/OSR	4559448	3723019	8282467	4618279	3664188
	Rongbul Total		6048031	4555899	10603930	4987984	5615946
	Sorok Shyampani	15th FC	1786659	1973048	3759707	1494065	2265642
		5th SFC/GIA	1771966	3445904	5217870	4454610	763260
		OSR	117722	188217	305939	254562	51377
	Sorok Shyampani Total		3676347	5607169	9283516	6203237	3080279
	Tingrithang	15th FC	3090498	1250054	4340552	1621942	2718610
		5th SFC	2563101	3594956	6158057	3794289	2363768
		OSR	82568	111442	194010	104993	89017
		VWSC	500	43714	44214	0	44214
	Tingrithang Total		5736667	5000166	10736833	5521224	5215609
Namchi Total			55759912	54995028	110754940	61016835	49738105
Namthang	Chuba Phong	15th FC	1994694	1369254	3363948	587456	2776492
		GIA	279022	2078772	2357794	2234668	123126
		OSR	13691	17176	30867	20250	10617
		SFC	1505679	899714	2405393	607490	1797903
	Chuba Phong Total		3793086	4364916	8158002	3449864	4708138
	Karek Kabrey	15th FC	4844415	2046999	6891414	1958041	4933373
		OSR	101912	285229	387141	360468	26673
		SFC/GIA	4095550	5144706	9240256	4738318	4501938
	Karek Kabrey Total		9041877	7476934	16518811	7056827	9461984
	Kateng Pamphok	15th FC	2008844	2118778	4127622	1282302	2845320
		GIA/SFC/OSR	3950180	4340695	8290875	5600874	2690001
		OSR	72515	117199	189714	0	189714
	Kateng Pamphok Total		6031539	6576672	12608211	6883176	5725035
	Nagi Ruchung	15th FC	297244	894447	1191691	0	1191691
		GIA/SFC	28916	2071850	2100766	1596860	503906
		OSR	84297	78946	163243	133035	30208
	Nagi Ruchung Total		410457	3045243	3455700	1729895	1725805
	Namthang Maneydara	15th FC	1252713	2551969	3804682	361065	3443617
		GIA/OSR	62347	3134424	3196771	2914307	282464
		SFC	1319439	842943	2162382	868613	1293769
	Namthang Maneydara Total		2634499	6529336	9163835	4143985	5019850

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Perbing Dovan	15th FC	1923258	1525627	3448885	62960	3385925
		OSR	179613	102182	281795	78823	202972
		SFC	4543918	2805487	7349405	3326491	4022914
	Perbing Dovan Total		6646789	4433296	11080085	3468274	7611811
	Rameng Nizrameng	15th FC	984161	1356868	2341029	690494	1650535
		OSR	1221837	42324	1264161	148617	1115544
		SFC/GIA/SB M/OSR	3163452	2572500	5735952	2658620	3077332
	Rameng Nizrameng Total		5369450	3971692	9341142	3497731	5843411
	Rateypani	15th FC	1547809	1619386	3167195	1985415	1181780
		GiA	152985	2257249	2410234	2370502	39732
		OSR/SFC	819119	1110302	1929421	1551250	378171
	Rateypani Total		2519913	4986937	7506850	5907167	1599683
	Tangzi Bikmat	OSR	120757	248988	369745	108825	260920
		15th FC	1670374	1634835	3305209	998930	2306279
		GIA/SFC/OS R	1592168	4368111	5960279	5364448	595831
	Tangzi Bikmat Total		3383299	6251934	9635233	6472203	3163030
	Turung Mamring	15th FC	1736586	2657926	4394512	636152	3758360
		OSR	548783	2763395	3312178	2619401	692777
		SFC/GIA	3578158	3922370	7500528	5354413	2146115
	Turung Mamring Total		5863527	9343691	15207218	8609966	6597252
Namthang Total			45694436	56980651	102675087	51219088	51455999
Nandok	Bhusuk Naitam	15th FC	163565	1877346	2040911	1190206	850705
		GIA/SFC	1564588	2469494	4034082	3764979	269103
		OSR	62621	243279	305900	269953	35947
	Bhusuk Naitam Total		1790774	4590119	6380893	5225138	1155755
	Gnathang	15th FC	8565802	8797715	17363517	6460711	10902806
		5th SFC	3536245	4118415	7654660	4849910	2804750
		OSR	225459	1025667	1251126	1163323	87803
	Gnathang Total		12327506	13941797	26269303	12473944	13795359
	Kopibari Syari	15th FC	4797816	4717909	9515725	3952361	5563364
		5th SFC	908191	1734239	2642430	1543239	1099191
		GIA	240496	2046084	2286580	2227167	59413
		OSR	304361	109534	413895	354260	59635
	Kopibari Syari Total		6250864	8607766	14858630	8077027	6781603
	Nandok Saramsa	15th FC	2297156	3409626	5706782	2438964	3267818
		5th SFC	880038	2046642	2926680	2658892	267788

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		GIA	0	1730857	1730857	1595485	135372
		OSR	145041	474023	619064	483992	135072
	Nandok Saramsa Total		3322235	7661148	10983383	7177333	3806050
	Rongay Tathangchen	15th FC	2865101	3786332	6651433	1806024	4845409
		OSR	184747	945154	1129901	989018	140883
		SFC/GIA	1082988	4493921	5576909	5199412	377497
	Rongay Tathangchen Total		4132836	9225407	13358243	7994454	5363789
Nandok Total			27824215	44026237	71850452	40947896	30902556
Pakyong	Amba	15th FC	1361159	2026261	3387420	498737	2888683
		5th SFC	3252028	711121	3963149	1910448	2052701
		OSR	156436	200585	357021	228070	128951
		SAL	461943	1853195	2315138	2031513	283625
	Amba Total		5231566	4791162	10022728	4668768	5353960
	Bering Tareythang	15th FC	1545480	1916672	3462152	929569	2532583
		OSR (OLD)	706220	29435	735655	178610	557045
		OSR(NEW)	79146	116042	195188	1416	193772
		SFC/SAL	4649022	3811383	8460405	4631079	3829326
	Bering Tareythang Total		6979868	5873532	12853400	5740674	7112726
	alamthang Pacheykh	15th FC	2000153	2747763	4747916	1008526	3739390
		OSR / GIA/ SFC	2989584	4931315	7920899	6649106	1271793
	mthang Pacheykhar		4989737	7679078	12668815	7657632	5011183
	East Pendam	15th FC	2689348	3158519	5847867	1344770	4503097
		GIA	630668	2087390	2718058	2036514	681544
		OSR/ SFC	3748798	1512316	5261114	2170331	3090783
		TRADE LICENSE	183520	122919	306439	151354	155085
	East Pendam Total		7252334	6881144	14133478	5702969	8430509
	Pachey Samsing	15th FC	2085833	2723480	4809313	1158315	3650998
		OSR/SFC/GI A	3550326	3987600	7537926	4503636	3034290
	Pachey Samsing Total		5636159	6711080	12347239	5661951	6685288
	Pakyong Yakten	15th FC	2571813	2873851	5445664	1394257	4051407
		OSR	53917	370179	424096	171249	252847
		SFC/GIA	3232851	3009388	6242239	4046977	2195262
		TRADE LICENSE	90861	149917	240778	1416	239362
	Pakyong Yakten Total		5949442	6403335	12352777	5613899	6738878
	Taza	15th FC	819507	1747130	2566637	278890	2287747
		OSR	535473	541932	1077405	647076	430329

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		SFC/GIA	2921148	2813322	5734470	2363262	3371208
	Taza Total		4276128	5102384	9378512	3289228	6089284
Pakyong Total			40315234	43441715	83756949	38335121	45421828
Parakha	Latuk Barapathing	15th FC	836209	1306130	2142339	715221	1427118
		5th SFC	1082286	2080560	3162846	2328638	834208
		OSR	213150	18083	231233	86800	144433
	Latuk Barapathing Total		2131645	3404773	5536418	3130659	2405759
	Linkey Parakha	15th FC	1627343	1839122	3466465	1240736	2225729
		5th SFC	2183502	2847714	5031216	2706218	2324998
		OSR	279229	140773	420002	1350	418652
	Linkey Parakha Total		4090074	4827609	8917683	3948304	4969379
	Riwa Machong	15th FC	694284	1436976	2131260	869541	1261719
		5th SFC	1021317	2316968	3338285	2458190	880095
		OSR	213860	31291	245151	19074	226077
	Riwa Machong Total		1929461	3785235	5714696	3346805	2367891
Parakha Total			8151180	12017617	20168797	10425768	9743029
Poklok	Denchong	15th FC	316000	933400	1249400	209600	1039800
		5th SFC/GIA/OSR	598217	2023160	2621377	2022992	598385
	Denchong Total		914217	2956560	3870777	2232592	1638185
	Nandugaon	15th FC	1875630	1584871	3460501	874644	2585857
		5th SFC/OSR/GIA	3096237	3285468	6381705	3250095	3131610
	Nandugaon Total		4971867	4870339	9842206	4124739	5717467
	Salghari	15th FC	801571	1840840	2642411	830275	1812136
		5th SFC/GIA	2373221	3100297	5473518	3548919	1924599
		OSR	25228	112014	137242	80266	56976
	Salghari Total		3200020	5053151	8253171	4459460	3793711
	Tinik Chisopani	15th FC	2451447	2871917	5323364	2032594	3290770
		5th SFC/GIA	3312842	3608474	6921316	4072500	2848816
		OSR	219513	226893	446406	158927	287479
	Tinik Chisopani Total		5983802	6707284	12691086	6264021	6427065
Poklok Total			15069906	19587334	34657240	17080812	17576428
Rakdong Tintek	Patuk Singbel	15th FC	2285771	3846852	6132623	3297839	2834784
		SFC/OSR/GIA	3000440	4362578	7363018	5292057	2070961
	Patuk Singbel Total		5286211	8209430	13495641	8589896	4905745
	Rakdong Tintek	15th FC	2793244	3824657	6617901	3628634	2989267

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		GIA	55189	248695	303884	148525	155359
		OSR	420103	491854	911957	595419	316538
		SFC	1928867	1248361	3177228	2332372	844856
	Rakdong Tintek Total		5197403	5813567	11010970	6704950	4306020
	Samdong Kambal	15th FC	1493386	4462733	5956119	1521932	4434187
		CEC	82508	3123	85631	0	85631
		GIA	495237	2341673	2836910	2673302	163608
		SFC / OSR	1697764	1660086	3357850	2007892	1349958
	Samdong Kambal Total		3768895	8467615	12236510	6203126	6033384
	Tumin	15th FC	1458641	2723670	4182311	417140	3765171
		GIA	122023	430074	552097	452009	100088
		OSR	90262	34927	125189	26416	98773
		SFC	1487991	3764690	5252681	4478571	774110
	Tumin Total		3158917	6953361	10112278	5374136	4738142
Rakdong Tintek Total			17411426	29443973	46855399	26872108	19983291
Ranka	Luing Perbing	15th FC	1903290	2282888	4186178	1413935	2772243
		GIA	591290	2927762	3519052	2949683	569369
		OSR	272688	307038	579726	317513	262213
		SFC	1894592	3215012	5109604	3235467	1874137
		TRADE LICENSE	84826	179578	264404	24000	240404
	Luing Perbing Total		4746686	8912278	13658964	7940598	5718366
	Ranka	OSR	199903	491764	691667	531846	159821
		15th FC	2587773	1350657	3938430	702075	3236355
		GIA	357481	2211089	2568570	2107347	461223
		JJM	645854	67381	713235	10320	702915
		SFC	1880373	882218	2762591	1114188	1648403
	Ranka Total		5671384	5003109	10674493	4465776	6208717
	Rawtey Rumtek	15th FC	3164941	3661979	6826920	3197963	3628957
		JJM	122065	179394	301459	0	301459
		OSR	92658	447779	540437	383448	156989
		SFC	3227759	1167000	4394759	3135539	1259220
	Rawtey Rumtek Total		6607423	5456152	12063575	6716950	5346625
	Rey Mendu	15th FC	3272282	3980330	7252612	3376238	3876374
		GIA	80997	2534667	2615664	2408226	207438
		OSR	243742	287251	530993	390334	140659
		OSR (Trade License)	20776	90000	110776	82118	28658
		SFC	1890082	2360494	4250576	3568371	682205
	Rey Mendu Total		5507879	9252742	14760621	9825287	4935334

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
Ranka Total			22533372	28624281	51157653	28948611	22209042
Ravong	Barfung Jarrong	15th FC	3173567	2012086	5185653	1603824	3581829
		OSR	105440	191641	297081	265706	31375
		SFC/GIA	3881085	2231232	6112317	3491584	2620733
	Barfung Jarrong Total		7160092	4434959	11595051	5361114	6233937
	Borong Phamtam	15th FC	2154376	2499741	4654117	1054823	3599294
		OSR	276939	345857	622796	263935	358861
		SFC/GIA	3614411	3404990	7019401	4922871	2096530
	Borong Phamtam Total		6045726	6250588	12296314	6241629	6054685
	Kewzing Bakhim	15th FC	2558226	2620468	5178694	1325887	3852807
		OSR	309514	447388	756902	496585	260317
		SFC	5841518	3891382	9732900	4387464	5345436
	Kewzing Bakhim Total		8709258	6959238	15668496	6209936	9458560
	Legship	15th FC	1272333	2117357	3389690	408500	2981190
		OSR/SFC/GIA	2340136	2424405	4764541	3293946	1470595
	Legship Total		3612469	4541762	8154231	3702446	4451785
	Rabong Khop	15th FC	2701284	1545566	4246850	2711670	1535180
		GIA/SFC/OSR	3914176	3833319	7747495	6015517	1731978
	Rabong Khop Total		6615460	5378885	11994345	8727187	3267158
	Ralong Namlung	15th FC	3350169	2286018	5636187	1509039	4127148
		GIA	580893	2223229	2804122	2380687	423435
		SFC/OSR	5039322	997382	6036704	2154604	3882100
	Ralong Namlung Total		8970384	5506629	14477013	6044330	8432683
	Ravong Barfung	15th FC	1277292	3844439	5121731	921959	4199772
		GIA/SFC/OSR	2106020	3513043	5619063	5014963	604100
	Ravong Barfung Total		3383312	7357482	10740794	5936922	4803872
	Sangmo Rankey	15th FC	661431	1988057	2649488	1345000	1304488
		SFC/GIA/OSR	1295315	2437801	3733116	2624927	1108189
	Sangmo Rankey Total		1956746	4425858	6382604	3969927	2412677
	Tinkitam Rayong	15th FC	1395500	1394518	2790018	1220489	1569529
		GIA/SFC	2734486	2380552	5115038	3117725	1997313
		OSR	135100	72935	208035	156369	51666
	Tinkitam Rayong Total		4265086	3848005	8113091	4494583	3618508
Ravong Total			50718533	48703406	99421939	50688074	48733865

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
Regu	Chuchachen	15th FC	4057179	4419532	8476711	3253438	5223273
		5th SFC	2425813	1461757	3887570	2415855	1471715
		OSR	144613	46372	190985	171170	19815
		SALARY	584337	1865277	2449614	1902452	547162
	Chuchachen Total		7211942	7792938	15004880	7742915	7261965
	Dalapchand	15th FC	1804986	2046279	3851265	774604	3076661
		5th SFC	1406957	777693	2184650	1118114	1066536
		OSR	126874	208248	335122	238977	96145
		SALARY	46284	2161617	2207901	2155567	52334
	Dalapchand Total		3385101	5193837	8578938	4287262	4291676
	Lamaten	15th FC	1160813	1124983	2285796	633346	1652450
		5th SFC	3107139	889446	3996585	2384286	1612299
		OSR	55182	431300	486482	77768	408714
		SALARY	197631	1779553	1977184	1869660	107524
	Lamaten Total		4520765	4225282	8746047	4965060	3780987
	Phadamchen	15th FC	443514	1575960	2019474	1043651	975823
		5th SFC	1500898	2284839	3785737	2559948	1225789
		OSR	33464	103567	137031	92000	45031
	Phadamchen Total		1977876	3964366	5942242	3695599	2246643
	m Lakha Subaney D	15th FC	547145	1690817	2237962	938477	1299485
		5th SFC	1700534	1451064	3151598	2939622	211976
		OSR	71144	63019	134163	116640	17523
		SALARY	44071	1843767	1887838	1868592	19246
	Lakha Subaney Dar		2362894	5048667	7411561	5863331	1548230
	Regu	15th FC	1737253	1848486	3585739	801213	2784526
		5th SFC	1009676	903866	1913542	1524869	388673
		GIA	62719	1841168	1903887	1845010	58877
		OSR	115688	230507	346195	333164	13031
	Regu Total		2925336	4824027	7749363	4504256	3245107
	Rongli Changaylakha	15th FC	0	3117098	3117098	833311	2283787
		5th SFC	861420	1017719	1879139	1188051	691088
		GIA	414629	1855629	2270258	2262631	7627
		OSR	27577	64068	91645	48659	42986
	Rongli Changaylakha Total		1303626	6054514	7358140	4332652	3025488
Regu Total			23687540	37103631	60791171	35391075	25400096
Rhenock	Aritar	15th FC	2516732	2942917	5459649	1168070	4291579
		5th SFC	3963504	1031070	4994574	1798823	3195751
		OSR	1026874	137900	1164774	692755	472019
		SALARY	188555	2925061	3113616	2969414	144202
	Aritar Total		7695665	7036948	14732613	6629062	8103551

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Rhenock	15th FC	5354301	5480935	10835236	2809949	8025287
		GIA/SFC	9837256	4622006	14459262	4679293	9779969
		OSR	557508	274850	832358	269874	562484
	Rhenock Total		15749065	10377791	26126856	7759116	18367740
	Sudunglakha	15th FC	1562350	1667540	3229890	428765	2801125
		5th SFC	2798521	1144458	3942979	1650213	2292766
		OSR	1118100	218532	1336632	135426	1201206
		SALARY	379762	2470833	2850595	2603213	247382
	Sudunglakha Total		5858733	5501363	11360096	4817617	6542479
	Tarpin	15th FC	2360162	1738697	4098859	1396506	2702353
		5th SFC	4319528	2763136	7082664	2327505	4755159
		OSR	504107	428277	932384	513505	418879
	Tarpin Total		7183797	4930110	12113907	4237516	7876391
Rhenock Total			36487260	27846212	64333472	23443311	40890161
Sikkip	Lamting Tingmoo	15th FC	826747	2178266	3005013	1352070	1652943
		OSR	74525	180286	254811	169840	84971
		SFC	1110101	2471955	3582056	3072501	509555
	Lamting Tingmoo Total		2011373	4830507	6841880	4594411	2247469
	Sanganath	15th FC	954666	838153	1792819	743514	1049305
		SFC/OSR	2264272	2088329	4352601	3075279	1277322
	Sanganath Total		3218938	2926482	6145420	3818793	2326627
	Wok Omchu	15th FC	2123098	1734647	3857745	885354	2972391
		OSR	285363	132162	417525	216000	201525
		SFC	4942211	3206373	8148584	3267559	4881025
	Wok Omchu Total		7350672	5073182	12423854	4368913	8054941
Sikkip Total			12580983	12830171	25411154	12782117	12629037
Soreng	Budang	15th FC	1130327	1332331	2462658	555809	1906849
		OSR	76922	25214	102136	64500	37636
		SFC	822220	2699979	3522199	2875799	646400
	Budang Total		2029469	4057524	6086993	3496108	2590885
	Kathok Bojek Gpu	15th FC	822895	587417	1410312	0	1410312
		SFC/OSR	1037876	754191	1792067	1170110	621957
	Kathok Bojek Gpu Total		1860771	1341608	3202379	1170110	2032269
	Lower Timburbung	15th FC	338256	1009809	1348065	172000	1176065
		OSR	4293	46164	50457	1416	49041
		SFC	649460	1908412	2557872	2236199	321673
	Lower Timburbung Total		992009	2964385	3956394	2409615	1546779
	Malbasey	15th FC	492470	1373461	1865931	824914	1041017
		OSR	62346	47746	110092	66921	43171
		SFC	428005	2335393	2763398	2407108	356290

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Malbasey Total		982821	3756600	4739421	3298943	1440478
	Mangsari Mangarjung	15th FC	1684218	2208872	3893090	1745464	2147626
		OSR1	97736	37497	135233	128321	6912
		SBM	7309	31445	38754	17000	21754
		SFC	425842	924677	1350519	1221827	128692
	Mangsari Mangarjung Total		2215105	3202491	5417596	3112612	2304984
	Singling	15th FC	1822064	2199860	4021924	1268889	2753035
		OSR	84703	273449	358152	126586	231566
		SFC	3734598	2908729	6643327	2842497	3800830
	Singling Total		5641365	5382038	11023403	4237972	6785431
	Soreng	15th FC	651553	1775014	2426567	1141348	1285219
		GE COLLECTI	260782	1012600	1273382	1110828	162554
		OSR	3218	879971	883189	859774	23415
		SALARY A/C	19493	1448676	1468169	1463829	4340
		SFC	681155	1182993	1864148	1487896	376252
	Soreng Total		1616201	6299254	7915455	6063675	1851780
	Tharpu	15th FC	1068563	1039125	2107688	597328	1510360
		SFC/OSR	1418255	786051	2204306	1817404	386902
	Tharpu Total		2486818	1825176	4311994	2414732	1897262
	Upper Timburbung	15th FC	1054729	964676	2019405	812043	1207362
		SFC/OSR	585409	652649	1238058	1113354	124704
	Upper Timburbung Total		1640138	1617325	3257463	1925397	1332066
Soreng Total			19464697	30446401	49911098	28129164	21781934
Temi	Ben Nampruk	15th FC	4609027	3618985	8228012	1159838	7068174
		4th SFC	1584503	89990	1674493	386650	1287843
		5th SFC/GIA	8436231	4462306	12898537	5035173	7863364
		OSR	115499	167062	282561	111500	171061
	Ben Nampruk Total		14745260	8338343	23083603	6693161	16390442
	Bermiok Tokal	5th SFC	1010177	731000	1741177	840467	900710
		GIA	173160	1429829	1602989	1388500	214489
		OSR	3213843	2519130	5732973	1021892	4711081
		SNP	377246	0	377246	116270	260976
	Bermiok Tokal Total		4774426	4679959	9454385	3367129	6087256
	Namphing	15th FC	7004455	5806623	12811078	1519646	11291432
		5th SFC	5699078	4388576	10087654	4494800	5592854
		OSR	726935	386734	1113669	591628	522041
	Namphing Total		13430468	10581933	24012401	6606074	17406327
	Tarku Tenek	15th fC	2505337	2528342	5033679	1495868	3537811
		OSR	463365	371717	835082	654099	180983
		SFC	4909227	6136641	11045868	9808590	1237278

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Tarku Tenek Total		7877929	9036700	16914629	11958557	4956072
	Temi	15th FC	3043199	3136600	6179799	984633	5195166
		GIA/SFC	3461427	4191101	7652528	4371792	3280736
		OSR	499405	546801	1046206	464900	581306
	Temi Total		7004031	7874502	14878533	5821325	9057208
Temi Total			47832114	40511437	88343551	34446246	53897305
Yangang	Kolthang Tokday	15th FC	1701917	2386312	4088229	336135	3752094
		OSR/GIA/SFC	2642485	3067516	5710001	3510262	2199739
	Kolthang Tokday Total		4344402	5453828	9798230	3846397	5951833
	Lingi Sokpay	OSR	48648	99780	148428	0	148428
		15th FC	2067716	2143914	4211630	862413	3349217
		GIA/SFC	2339513	2148030	4487543	2687008	1800535
	Lingi Sokpay Total		4455877	4391724	8847601	3549421	5298180
	Lingmoo Paiyong	15th FC	2289354	2248641	4537995	2053958	2484037
		GIA/SFC	1316793	2893907	4210700	3449369	761331
		OSR	229440	129599	359039	41200	317839
	Lingmoo Paiyong Total		3835587	5272147	9107734	5544527	3563207
	Niya Mangzing	15th FC	2016231	2501861	4518092	902825	3615267
		OSR	2010732	236896	2247628	1043753	1203875
		SFC	3403488	2766018	6169506	2935097	3234409
	Niya Mangzing Total		7430451	5504775	12935226	4881675	8053551
	Sripatam Gagyong	15th FC	2733773	4136429	6870202	2432650	4437552
		OSR/GIA/SFC	2171835	5173987	7345822	6103272	1242550
	Sripatam Gagyong Total		4905608	9310416	14216024	8535922	5680102
	Yangang Rangang	15th FC	3426448	4018104	7444552	3627468	3817084
		GIA/SFC	3844259	3998481	7842740	5902995	1939745
		OSR	167901	259112	427013	366934	60079
	Yangang Rangang Total		7438608	8275697	15714305	9897397	5816908
Yangang Total			32410533	38208587	70619120	36255339	34363781
Yuksum	Khechipheri	15th FC	2172688	973396	3146084	1353611	1792473
		OSR	69593	138288	207881	119121	88760
		SFC	1312817	2241770	3554587	2262885	1291702
		VWC	181879	196569	378448	50000	328448
	Khechipheri Total		3736977	3550023	7287000	3785617	3501383
	Melli Aching	15th FC	674213	798391	1472604	605717	866887
		BMC	2359	10000	12359	10000	2359
		OSR	15370	69939	85309	71620	13689
		SFC/GIA	451226	2467620	2918846	2849674	69172

Block Adm Centre	Gram Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		VWSC	5333	0	5333	0	5333
	Melli Aching Total		1148501	3345950	4494451	3537011	957440
	Rimbi Tingbrum	15th FC	746332	1151825	1898157	527292	1370865
		4th FC	755	0	755	0	755
		5th FC	575778	382763	958541	414387	544154
		GIA	44089	1411829	1455918	1390000	65918
		OSR	76155	163521	239676	207312	32364
	Rimbi Tingbrum Total		1443109	3109938	4553047	2538991	2014056
	Thingling	15th FC	1228328	1333982	2562310	923177	1639133
		5th SFC	907785	1861567	2769352	2125617	643735
	Thingling Total		2136113	3195549	5331662	3048794	2282868
	Yuksum Dubdi	15th FC	2156475	2366340	4522815	507133	4015682
		OSR	116654	253946	370600	286881	83719
		SFC	2419258	3684486	6103744	3916253	2187491
	Yuksum Dubdi Total		4692387	6304772	10997159	4710267	6286892
Yuksum Total			13157087	19506232	32663319	17620680	15042639
Grand Total			968481584	1088171542	2056653126	1026386993	1029970387

APPENDIX- III

**STATEMENT SHOWING THE FINANCIAL POSITION OF ZILLA PANCHAYATS for the FY 2024-25
(in Rupees)**

Zilla Panchayat	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
Gangtok Zilla Panchayat	15th FC	6456079	27556772	34012851	5879502	28133349
	5th SFC	18816745	38397315	57214060	28440687	28773373
	D&A	23915958	62671613	86587571	80528359	6059212
	Eco Friendly Footpath	6369746	5540196	11909942	9455785	2454157
	OSR	593542	661379	1254921	486622	768299
Gangtok Zilla Panchayat Total		56152070	134827275	190979345	124790955	66188390
Gyalshing Zilla Panchayat	15th FC	6586445	34134958	40721403	8040411	32680992
	BRGF	3671509	120534	3792043	0	3792043
	Development Fund	30757338	44257760	75015098	63882809	11132289
	Direction & Adm	20478865	27335166	47814031	33973653	13840378
	Eco Friendly Footpath	12534170	1665082	14199252	11668780	2530472
	Innovation Fund	278238	9134	287372	0	287372
	Miscellaneous	6920581	188354	7108935	0	7108935
	Nirmal Grahana	3846886	126292	3973178	0	3973178
	OSR	1937732	1539287	3477019	2159242	1317777
	Roof Water	4434564	123546	4558110	236	4557874
Gyalshing Zilla Panchayat Total		91446328	109500113	200946441	119725131	81221310
Mangan Zilla Panchayat	15th FC/SFC	1149820	80886712	82036532	57715377	24321155
	GIA	7481587	32343050	39824637	31558671	8265966
Mangan Zilla Panchayat Total		8631407	113229762	121861169	89274048	32587121
Namchi Zilla Panchayat	15th FC	11970025	46148359	58118384	16008408	42109976
	5th SFC	16315326	42310117	58625443	34798128	23827315
	Admin Account	936109	54482201	55418310	51028164	4390146
	OSR	517348	371635	888983	173438	715545
Namchi Zilla Panchayat Total		29738808	143312312	173051120	102008138	71042982
Pakyong Zilla Panchayat	15th FC	4568650	31158883	35727533	5615541	30111992
	5th SFC	30229236	31752209	61981445	43171197	18810248
	Eco Friendly Footpath	8618036	6540519	15158555	11681497	3477058
	GIA	2762902	13202171	15965073	13543880	2421193
	JJM HOLDING AC	0	15615568	15615568	6082450	9533118
	JJM HOLDING AC SBI	55	13003333	13003388	9161281	3842107
Pakyong Zilla Panchayat Total		46178879	111272683	157451562	89255846	68195716
Soreng Zilla Panchayat	15th FC	3366186	15315389	18681575	6751558	11930017
	GIA	1767198	22347884	24115082	21103510	3011572
	SFC	11128961	13436086	24565047	20041830	4523217
Soreng Zilla Panchayat Total		16262345	51099359	67361704	47896898	19464806
Grand Total		248409837	663241504	911651341	572951016	338700325

APPENDIX - IV

STATEMENT SHOWING THE FINANCIAL POSITION OF NAGAR PANCHAYATS (in Rupees)

Financial Year	Name of NP	Name of Account	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
2023-24	Geyzing Nagar Panchayat	15th FC	4665325	22609 08	6926233	4011839	2914394
		OSR (HDFC)	311464	510000	821464	810863	10601
		OSR (IDBI)	142308	2568108	2710416	2610367	100049
		SBM	2551001	375929	2926930	386655	2540275
		SFC	5095775	4919069	10014844	7674916	2339928
	Geyzing Nagar Panchayat Total		12765873	10634014	23399887	15494640	7905247
	2023-24 Total		12765873	10634014	23399887	15494640	7905247
	Geyzing Nagar Panchayat	15th FC	2914394	80369	2994763	1157992	1836771
		OSR (HDFC)	10601	716193	726794	546185	180609
		OSR (IDBI)	100049	2799655	2899704	2862856	36848
		SBM	2540275	927169	3467444	724040	2743404
		SFC	2339928	8253537	10593465	6391437	4202028
	Geyzing Nagar Panchayat Total		7905247	12776923	20682170	11682510	8999660
	Mangan Nagar Panchayat	15th FFC	2540800	24409	2565209	2546214	18995
		NULM	0	851932	851932	49548	802384
		SBM	598417	2073176	2671593	2123374	548219
		SFC	3519206	15779218	19298424	10261598	9036826
	Mangan Nagar Panchayat Total		6658423	18728735	25387158	14980734	10406424
	Nayabazar Jorethang Nagar Panchayat	15th FC	4937304	90884	5028188	3755613	1272575
		Cesspool NJNP	74193	1033063	1107256	877812	229444
		Garbage Revenue	72835	3595302	3668137	3576262	91875
		Green Park NJNP	90975	1369010	1459985	1458943	1042
		Hawker Licence	67102	52700	119802	114625	5177
		Other Receipts	3058	2705037	2708095	1838575	869520
		Revenue Head (SFC)	8474397	18964788	27439185	18805464	8633721
		Swachh Bharat Mission	65761	862800	928561	711297	217264
		Trade Licence	111174	1932711	2043885	2026519	17366
	Nayabazar Jorethang Nagar Panchayat Total		13896799	30606295	44503094	33165110	11337984

2024-25

Financial Year	Name of NP	Name of Account	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Rangpo Nagar Panchayat	15th FC	5766428	115490	5881918	5860927	20991
		5th SFC	398213	21958679	22356892	17454280	4902612
		Cesspool Own Source	40126	3065013	3105139	3099293	5846
		Revenue Receipt	3459914	13740472	17200386	16934878	265508
		Swachh Bharat Mission	1613135	989108	2602243	2577150	25093
		Rangpo Nagar Panchayat Total	11277816	39868762	51146578	45926528	5220050
	Singtam Nagar Panchayat	15th FC	2161073	3175487	5336560	5037969	298591
		5th SFC	4155559	36552795	40708354	34995493	5712861
		PM SVANIIDHI	0	460000	460000	460000	0
		REVENUE	4795641	37980145	42775786	22844833	19930953
		SBM	367565	787298	1154863	787000	367863
		Singtam Nagar Panchayat Total	11479838	78955725	90435563	64125295	26310268
	2024-25 Total		51218123	180936440	232154563	169880177	62274386
	Grand Total		63983996	191570454	255554450	185374817	70179633

APPENDIX - V

STATEMENT SHOWING THE FINANCIAL POSITION OF GANGTOK MUNICIPAL CORPORATION (in Rupees)

Financial Year	Name of Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
2023-24	15TH.F.C Grant A/C	26387228	46970905	73358133	65073153	8284980
	Expenditure Account	61350860	293410113	354760973	347733598	7027375
	Revenue A/C	33638619	157966968	191605587	124715680	66889906
2023-24 Total		121376707	498347986	619724693	537522431	82202261
2024-25	15TH FC	54776000	984530	55760530	50518006	5242524
	EXPENSES	27342701	428249016	455591717	392165395	63426322
	REVENUE 1	20000	58287365	58307365	58287365	20000
	REVENUE 2	36492817	59358152	95850969	80129577	15721392
2024-25 Total		118631518	546879063	665510581	581100343	84410238
Grand Total		240008225	1045227049	1285235274	1118622774	166612499

APPENDIX - VI

AUDIT ONLINE

1. Analysis of Observations Recorded

Particulars for Zilla Panchayat & Equivalent	Numbers	Percentage (%)
Total No. of ZPs	6	
No. of ZPs to be Audited (Threshold)	6	100 %
No. of Audit Plans Created	6	100 %
No. of Audit Report Generated	6	100 %
No. of Settlement Report Generated	0	

Particulars for Gram Panchayat & Equivalent	Numbers	Percentage (%)
Total No. of GPs	199	
No. of GPs to be Audited (Threshold)	199	100 %
No. of Audit Plans Created	199	100 %
No. of Audit Report Generated	199	100 %
No. of Settlement Report Generated	0	

S.No.	Category Name	Observation Recorded	Percentage
1	09 - Violation of Rules	92	49.20 %
2	20 - Irregularities	59	31.55 %
3	11- Non Production of Records	19	10.16 %
4	08 - Advances pending adjustment	7	3.74 %
5	29 - Grant	3	1.60 %
6	03 - Diversion of Grant or Fund	3	1.60 %
7	13 - Excess Payments	2	1.07 %
8	06 - Non Utilization of Earmarked funds	1	0.53 %
9	04 - Non Utilization of Grants before lapsable date	1	0.53 %
	Total	187	

2. Critical Analysis

S.No.	Sub-Category Name	No. of Observations Recorded	%
	09 - Violation of Rules		
1	Others	54	58.70 %
2	Non compliance of Rules on execution of work	10	10.87 %
3	Expenditure not made due to non execution of work	8	8.70 %
4	Non preparation or late preparation of Budget	6	6.52 %
5	Other	4	4.35 %
6	Procedural Lapses	4	4.35 %
7	GST deducted but not deposited	2	2.17 %
8	Non maintenance of books of accounts	2	2.17 %
9	Payment made against incomplete voucher	1	1.09 %
10	Noncompliance of rules on execution of works/supply of goods	1	1.09 %
	20 - Irregularities		
11	Other	32	54.24 %
12	irregularities of completed work	14	23.73 %
13	Work/Purchase rule not followed	6	10.17 %
14	Other Irregularities not covered above	4	6.78 %
15	All Irregularities related to the scheme and Purchase of Raw Materials	2	3.39 %
16	E-tendering process is not adopted	1	1.69 %
	11- Non Production of Records		
17	Files not produced	7	36.84 %
18	Others	5	26.32 %
19	Other	4	21.05 %
20	Non production of files/ vouchers	1	5.26 %
21	Registers not produced	1	5.26 %

S.No.	Sub-Category Name	No. of Observations Recorded	%
22	Not providing files	1	5.26 %
	08 - Advances pending adjustment		
23	Others	7	100.00 %
	03 - Diversion of Grant or Fund		
24	Diversion of Fund	3	100.00 %
	29 - Grant		
25	Details of Grants Received	2	66.67 %
26	Grants utilization and pending detail of various schemes	1	33.33 %
	13 - Excess Payments		
27	Other	2	100.00 %
	06 - Non Utilization of Earmarked funds		
28	Other	1	100.00 %
	04 - Non Utilization of Grants before lapsable date		
29	Unspent Grants	1	100.00 %

APPENDIX VII

INFORMATION SUBMITTED TO THE OFFICE OF ACCOUNTANT GENERAL FOR ANNUAL TECHNICAL INSPECTION REPORT

1.Status of Sanctioned strength vis-à-vis in position

Year	Sanctioned strength	Person-in-position (Details in respect of Name with Designation may be given)	Vacancy
2021-22		i.Shri D. T. Bhutia, Principal Director ii.Shri B. B. Subba, Director iii.Shri K.P Sapkota, Jt. Director iv.Shri Prakash Sharma, Sr. Accounts Officer v.Shri Palden Thakarpa, Sr. Accounts Officer vi.Shri Phuchung Bhutia, Accounts Officer vii.Shri Govind Lamichaney, Accounts Officer viii.Shri Balaram Sharma, Accounts officer ix.Shri Pempa Tsh. Bhutia, Sr. Accountant x.Smt. Pem J. Sherpa, Sr. Accountant xi.Smt. Phurba Gurung, Jr. Accountant xii.Smt. Ranju Pradhan, Jr. Accountant	

Year	Sanctioned strength	Person-in-position (Details in respect of Name with Designation may be given)	Vacancy
2022-23		i. Shri D. T. Bhutia, Revenue Secretary ii. Shri B. B. Subba, Director iii. Shri K.P Sapkota, Jt. Director iv. Shri Prakash Sharma, Sr. Accounts Officer v. Shri Palden Thakarpa, Accounts Officer vi. Shri Phuchung Bhutia, Accounts Officer vii. Shri Govind Lamichaney, Accounts Officer viii. Shri Balaram Sharma, Accounts Officer ix. Shri Pempa Tsh. Bhutia, Sr. Accountant x. Smt. Pem J. Sherpa, Sr. Accountant xi. Smt. Phurba Gurung, Jr. Accountant xii. Smt. Ranju Pradhan, Jr. Accountant.	
2023-24		i) Shri Karma Loda Tshering, Addl. Director ii) Shri Devendra Rai, Jt. Director iii) Shri Palden Thakarpa, Sr. Accounts Officer iv) Shri Phuchung Bhutia, Accounts Officer v) Shri Balaram Sharma, Accounts Officer vi) Shri Pempa Tsh. Bhutia, Accounts Officer vii) Smt. Pem J. Sherpa, Accounts Officer viii) Smt. Phurba Gurung, Jr. Accountant ix) Smt. Ranju Pradhan, Jr. Accountant.	
2024-25		i) Shri Karma Loda Tshering, Addl. Director ii) Shri Devendra Rai, Jt. Director iii) Shri Palden Thakarpa, Sr. Accounts Officer iv) Smt. Sweta Pradhan, Accounts Officer v) Shri Phuchung Bhutia, Accounts Officer vi) Shri Balaram Sharma, Accounts Officer vii) Smt. Pem J. Sherpa, Accounts Officer viii) Shri. Rajesh Pradhan, Sr Accountant ix) Smt. Phurba Gurung, Jr. Accountant x) Smt. Ranju Pradhan, Jr. Accountant.	
2025-26		i) Shri Karma Loda Tshering, Director ii) Shri Palden Thakarpa, Sr. Accounts Officer iii) Smt. Sweta Pradhan, Sr. Accounts Officer iv) Shri Phuchung Bhutia, Accounts Officer v) Shri Balaram Sharma, Accounts Officer vi) Smt. Pem J. Sherpa, Accounts Officer vii) Shri. Rajesh Pradhan, Sr Accountant viii) Smt. Phurba Gurung, Accountant ix) Smt. Ranju Pradhan, Accountant.	

2. Whether the Government of Sikkim (GOS) has delineated specific sanctioned strength for the DLFA as on 31st March 2025 or not:

No

3. Whether, the GOS has specified the terms of tenure for DLFA as on 31st March 2025 or not:

No

4. List of Officers in the designated post for the period 2020-26

Post	Name	Designation	Period
Secretary / Principal Director / Director	Shri Karma Loda Tshering	Director	2025- 26 to till date
	Shri Patrick Rai	Director	2025- 26
	Shri Karma Loda Tshering	Additional Director	2023- 24 to 2025-26
	Shri B.B Subba	Principal Director	2019- 20 to 2022-23
	Shri D. T Bhutia	Revenue Secretary	2022-23
	Shri D. T Bhutia	Principal Director	2021-22
	Shri Govind Kaushik	Principal Director	2018-19 to 2020-21
Joint Director	Shri Devendra Rai	Joint Director	2022-23 to 2024-25
	Shri K.P Sapkota	Joint Director	2018-19 to 2022-23
Sr Accounts Officer	Smt Sweta Pradhan	Sr Accounts Officer	2025--26 to till date
	Shri Palden Thakarpa	Sr Accounts Officer	2023--24 to 2025-26
	Shri Prakash Sharma	Sr Accounts Officer	2020-21 to 2022-23
Accounts Officer	Smt. Sweta Pradhan	Accounts Officer	2024-25 to 2025-26
	Shri Phuchung Bhutia	Accounts Officer	2021-22 to till date
	Shri Balaram Sharma	Accounts Officer	2023-24 to 2024-25
	Smt Pem Jangmu Sherpa	Accounts Officer	2024-25 to till date
	Shri Pempa Tshering Bhutia	Accounts Officer	2024-25
	Shri Palden Thakarpa	Accounts Officer	2019-20 to 2022-23
	Shri Govind Lamichaney	Accounts Officer	2021-22 to 2022-23
	Shri Hari Sharma	Accounts Officer	2019-20 to 2020-21

5. Status of unit planned for audit and actually audited

Year	No. of units planned for audit			No. of unit audited (percentage)			No. of audit report issued		
	PRIs	ULBs	Total	PRIs	ULBs	Total	PRIs	ULBs	Total
2020-21	32	2	34	32(100%)	2(100%)	34(100%)	32	2	34
2021-22	189	3	192	189(100%)	3(100%)	192(100%)	189	3	192
2022-23	189	2	191	189(100%)	2(100%)	191(100%)	189	2	191
2023-24	191	5	196	191(100%)	5(100%)	196(100%)	191	5	196
2024-25	204	3	207	204(100%)	3(100%)	207(100%)	204	3	207

6. Responsiveness for audit

PRIs

Year	IR	Paragraphs	Number of units which first compliance not furnished	Embezzlement	
				Number	Money Value
2020-21	32	276	32		
2021-22	189	795	189		
2022-23	189	609	189		
2023-24	191	493	191		
2024-25	204	622	204		

ULBs

Year	IR	Paragraphs	Number of units which first compliance not furnished	Embezzlement	
				Number	Money Value
2020-21	2	43	2		
2021-22	3	18	3		
2022-23	2	11	2		
2023-24	5	12	5		
2024-25	3	6	3		

APPENDIX VIII

ANNUAL CONSOLIDATED AUDIT REPORT SUBMISSION

Financial Year	Report Year	Submitted for approval	Approved	Authenticated	Submitted to SLA
2015-16	2014-15	1st March 2016	5th March 2016	14th March 2016	
2016-17	2015-16	30th Jan 2017	26th Feb 2017	9th March 2017	14th March 2017
2017-18	2016-17	12th Feb 2017	22nd Feb 2018		28th Feb 2018
2018-19	2017-18	3rd Jan 2019	8th July 2019	23rd July 2019	25th July 2019
2019-20	2018-19	12th Feb 2020	20th Feb 2020	13th March 2020	17th March 2020
2020-21	2019-20	18th Feb 2021	12th March 2021	19th April 2021	15th Sept 2021
2021-22	2020-21	1st March 2022	23rd March 2022	24th May 2022	30th May 2022
2022-23	2021-22	10th March 2023	14th April 2023	11th May 2023	12th May 2023
2023-24	2022-23	7th March 2024	14 March 2024	27th June 2024	19th July 2024
2024-25	2023-24	29th Jan 2025	27th Feb 2025	24th March 2025	27th June 2025